7 Journalising, Posting and Balancing

LEARNING OBJECTIVES

After studying this chapter, you should be able to understand:

- Meaning of an Account
- Traditional Classification of Accounts
- Accounting Equation Based Classification of Accounts
- Comparision of Traditional Classification and Accounting Equation Based Classification of Accounts
- Meaning and Rules of Debit and Credit
- Meaning and Format of Journal
- Ledger – Meaning, Form, Utility, Format of a Legder Account
- Posting – Meaning, Necessity, Procedure
- Compound Entry
- Meaning, Recording and Posting of Opening Entry
- Balancing of Accounts – Meaning, Significance, Procedure

1.0 MEANING OF AN ACCOUNT

An Account is a summary of relevant transactions at one place relating to a particular head. It records not only the amount of transaction but also their effect and direction.

2.0 TRADITIONAL CLASSIFICATION OF ACCOUNTS

The classification of accounts according to the Traditional Approach is given below:

Classification of Accounts according to Traditional Approach

Types of Accounts	*Meaning*	*Examples*
(a) **Personal Accounts**	These accounts relate to natural persons, artificial persons and representative persons.	**Natural–**Ram's A/c **Artificial–**Ram & Co.'s etc **Representative–**Outstanding Salary A/c, Prepaid Insurance
(b) **Real Accounts**	These accounts relate to the tangible or intangible real assets.	**Tangible–**Land A/c **Intangible–**Goodwill A/c
(c) **Nominal Accounts**	These accounts relate to losses, profit & gains.	**Expenses–**Purchases A/c **Loss–**Loss by fire A/c **Profits & Gains–**Sales A/c, Discount Received A/c

3.0 ACCOUNTING EQUATION BASED CLASSIFICATION OF ACCOUNTS

The classification of accounts according to Accounting Equation Approach is given below:

Classification of Accounts according to Accounting Equation Approach

Types of Accounts	*Meaning*	*Examples*
(a) **Assets Accounts**	These accounts relate to Tangible *or* Intangible real assets.	Land A/c, Building A/c, Cash A/c, Goodwill, Patents.
(b) **Liabilities Accounts**	These accounts relate to the financial obligations of an enterprise towards outsiders.	Trade Creditors, Bank overdraft, Short-term loans, Long-term loans.
(c) **Capital Accounts**	These accounts relate to owners of an enterprise.	Capital A/c, Drawings A/c.
(d) **Revenue Accounts**	These accounts relate of the amount charged for goods sold *or* services rendered *or* permitting others to use enterprise's resources yielding Interest, Royalty *or* Dividend.	Sales A/c, Discount Received A/c, Dividend Received A/c, Royalty Received A/c, Interest Received A/c.
(e) **Expenses Accounts**	These accounts relate to the amount incurred *or* lost in the process of earning revenue.	Purchases A/c, Discount Allowed A/c, Salaries A/c, Interest Allowed A/c, Loss by Fire A/c.

4.0 COMPARISON OF TRADITIONAL CLASSIFICATION AND ACCOUNTING EQUATION BASED CLASSIFICATION OF ACCOUNTS

Traditional Classification of Accounts	Accounting Equation Based Classification of Accounts
1. Personal Accounts having debit balances (other than those relating to Owner)	Assets Accounts
2. Personal Accounts having credit balances (other than those relating to Owner)	Liabilities Accounts
3. Personal Account relating to Owner	Capital Account
4. Real Accounts	Assets Account
5. Nominal Accounts relating to Revenue	Revenue Account
6. Nominal Accounts relating to Expenses	Expenses Account

EXAMPLE 1

Classify the following Accounts:

1. Capital brought in
2. Drawings A/c
3. Building Purchased
4. Purchases A/c
5. Sales A/c
6. Carriage inward paid
7. Carriage outward paid
8. Cash received
9. Cash paid
10. Interest paid
11. Interest received
12. Commission paid
13. Commission received
14. Discount allowed
15. Conveyance charges
16. Sales promotion expenses
17. Entertainment expenses
18. Subscription paid
19. Subscription received
20. Light, Power and Electricity
21. Telephone, Postage and Telegram
22. Repairs incurred
23. Insurance premium paid
24. Bad Debts written off
25. Bad Debts recovered
26. Discount received
27. Printing and Stationery bought
28. Furniture and fixtures purchased
29. Bank A/c
30. Wages and Salaries paid
31. Travelling charges
32. Current A/c of a partner
33. Loan Account of a partner
34. Sales Returns
35. Bank Overdraft
36. Purchases Returns A/c
37. Outstanding Salary A/c
38. Prepaid Rent A/c
39. Interest accrued A/c
40. Interest received in advance A/c

SOLUTION

(a) According to Traditional Approach

(i) Personal Accounts – 1, 2, 29, 32, 33, 35, 37, 38, 39, and 40

(ii) Real Accounts – 3, 8, 9, 27, 28

(iii) Nominal Accounts – 4, 5, 6, 7, 10 to 26, 30, 31, 34, 36

(b) According to Accounting Equation Approach or Modern Approach

(i) Assets Accounts – 3, 8, 9, 27, 28, 29, 38, 39
(ii) Liabilities Accounts – 33, 35, 37, 40
(iii) Capital Accounts – 1, 2, 32
(iv) Revenue Accounts – 5, 11, 13, 19, 25, 26, 34
(v) Expenses Accounts – 4, 6, 7, 10, 12, 14 to 18, 20 to 24, 30, 31, 36

5.0 MEANING AND RULES OF DEBIT AND CREDIT

1. Basically debit means to enter an amount of transaction on the left side of an account and credit means to enter an amount of transaction on the right side on an account.
2. In Accounting the abbreviated form Dr. stands for debit and Cr. stands for credit.
3. Both debit and credit may represent either increase or decrease depending upon the nature of an account.
4. Debit in relation to Assets Accounts and Expenses Accounts represents an increase but in relation to Liabilities Accounts, Capital Accounts and Revenue Accounts represents a decrease.
5. Credit in relation to Assets Accounts and Expenses Accounts represents a decrease but in relation to Liabilities Accounts, Capital Accounts and Revenue Accounts represents an increase.
6. The Rules for Debit and Credit are given below:

Rules for Debit and Credit when the Accounts are classified as Personal, Real and Nominal

Types of Accounts	*Rules for Debit*	*Rules for Credit*
(a) **For Personal Accounts**	Debit the Receiver	Credit the Giver
(b) **For Real Accounts**	Debit What Comes in	Credit What Goes out
(c) **For Nominal Accounts**	Debit All Expenses and Losses	Credit all Gains and Profits

Rules for Debit and Credit when the Accounts are classified on Accounting Equation Basis

Types of Accounts	*Rules for Debit*	*Rules for Credit*
(a) **For Assets Accounts**	Debit the Increase	Credit the Decrease
(b) **For Liabilities Accounts**	Debit the Decrease	Credit the Increase
(c) **For Capital Accounts**	Debit the Decrease	Credit the Increase
(d) **For Revenue Accounts**	Debit the Decrease	Credit the Increase
(e) **For Expenses Accounts**	Debit the Increase	Credit the Decrease

EXAMPLE 2

Which rule of Debit and Credit is applicable for each of the accounts referred to in Example 1?

SOLUTION

Rules of Debit and Credit according to Traditional Classification

— Rule No. 1	Debit the receiver and credit the giver for 1, 2, 29, 32, 33, 35, 37, 38, 39 and 40.
— Rule No. 2	Debit what comes in and credit what goes out for 3, 8,9, 27, 28.
— Rule No. 3	Debit all expenses and losses and credit all gains and profits for 4, 5, 6, 7, 10 to 26, 30, 31, 34 and 36.

Rules of Debit and Credit according to Modern Classification

(a) **For Assets Accounts**	Debit the Increase and credit the Decrease for 3, 8, 9, 27, 28, 29, 38, 39.
(b) **For Liabilities Accounts**	Debit the decrease and credit the increase for 33, 35, 37, 40.
(c) **For Capital Accounts**	Debit the decrease and credit the increase for 1, 2, 32.
(d) **For Revenue Accounts**	Debit the decrease and credit the increase for 5, 11, 13, 19, 25, 26, 34.
(e) **For Expenses Accounts**	Debit the increase and credit the decrease for 4, 6, 7, 10, 12, 14 to 18, 20 to 24, 30, 31, 36.

6.0 MEANING AND FORMAT OF JOURNAL

Meaning of Journal, Jornalising and Journal Entry

Journal	A Journal is a book in which transactions are recorded in the order in which they occur i.e., in chronological order. A Journal is called a book of prime entry (also called of original entry) because all business transactions are entered first in this book.
Journalising	The process of recording a transaction in a journal is called **Journalising**.
Journal Entry	An entry made in the journal is called a **Journal Entry.**

Format of a Journal

JOURNAL

Date	*Particulars*	*L.F.*	*Debit Amount (₹)*	*Credit Amount (₹)*

Date Column	Under this column, the date on which the transaction is entered is recorded. The year and month is written once, till they change.
Particulars Column	Under this column, first the names of the accounts to be debited, then the names of the accounts to be credited and lastly the narration (i.e., a brief explanation of the transaction) are entered.
L.F., Ledger Folio Column	Under this column, the ledger page number to containing the relevant account is entered at the time of posting.
Debit Amount Column	Under this column, the amount to be debited is entered.
Credit Amount Column	Under this column, the amount to be credited is entered.

Note: *Except the L.F. column, all other columns are recorded at the time of journalising. The L.F. column is recorded at the time of posting.*

Meaning of Journalising

The process of recording a transaction in the journal is called journalising. The various steps to be followed in journalising business transactions are given below:

Steps in Journalising

Step 1 → *Ascertain What accounts are involved in a transaction.*

Step 2 → *Ascertain What is the nature of the accounts involved.*

Step 3 → *Ascertain Which Rule of debit and credit is applicable for each of the accounts involved.*

Step 4 → *Ascertain Which Account is to be debited and which is to be credited.*

Step 5 → *Record the date of transaction in the 'Date column'.*

Step 6 → *Write the Name of the Account to be debited very close to the left hand side (i.e., the line demarcating the 'Date column' and the 'Particulars column') alongwith the abbreviation 'Dr.' on the same line against the name of the account in the 'Particulars column' and the amount to be debited in the 'Debit Amount column' against the name of the account.*

Step 7 →	*Write the name of the account to be credited in the next line preceded by the word 'To' at a few spaces towards right in the 'Particulars column' and the amount to be credited in the 'Credit Amount column' against the name of the account.*
Step 8 →	*Write 'Narration' (i.e., a brief description of the transaction) within brackets in the next line in the 'Particulars column'.*
Step 9 →	*Draw a line across the entire 'Particulars column' to separate one Journal Entry from the other.*

Note: *The 'Ledger Folio column' is filled in at the time of posting into the ledger and not at the time of journalising.*

EXAMPLE 3

Analyse the following transactions according to the Traditional Approach:

(a) Ganesh started his business with cash.
(b) Borrowed from Mahesh.
(c) Purchased furniture.
(d) Purchased furniture from Mohan on credit.
(e) Purchased goods for cash.
(f) Purchased goods from Ram on credit.
(g) Sold goods for cash.
(h) Sold goods to Shyam on credit.
(i) Received cash from Shyam.
(j) Paid cash to Ram.
(k) Deposited into bank.
(l) Withdrew cash for personal use.
(m) Withdrew from bank for office use.
(n) Withdrew from bank for personal use.
(o) Received a crossed cheque from a customer, Shyam at 3 p.m.
(p) Deposited Shyam's cheque next day.
(q) Bank intimated that Shyam's cheque was dishonoured.
(r) Paid Ram by cheque.
(s) Paid salary.
(t) Paid rent by cheque.
(u) Goods withdrawn for personal use.
(v) Paid an advance to suppliers of goods.
(w) Received an advance from customers.
(x) Paid interest on loan.
(y) Paid instalment of loan.
(z) Interest allowed by bank.

SOLUTION

ANALYSIS OF TRANSACTIONS AS PER TRADITIONAL APPROACH

Transaction	*What are the Accounts involved?*	*What is the nature of accounts involved?*	*How affected*	*Whether to be Debited or Credited*
(a)	Cash A/c	Real	Cash is coming in.	Debit
	Capital A/c	Personal	Ganesh is the giver.	Credit
(b)	Cash A/c	Real	Cash is coming in.	Debit
	Loan from Mahesh A/c	Personal	Mahesh is the giver.	Credit
(c)	Furniture A/c	Real	Furniture is coming in.	Debit
	Cash A/c	Real	Cash is going out.	Credit
(d)	Furniture A/c	Real	Furniture is coming in.	Debit
	Mohan's A/c	Personal	Mohan is the giver.	Credit
(e)	Purchases A/c	Nominal	Purchase is an expense.	Debit
	Cash A/c	Real	Cash is going out.	Credit
(f)	Purchases A/c	Nominal	Purchase is an expense.	Debit
	Ram's A/c	Personal	Ram is the giver.	Credit
(g)	Cash A/c	Real	Cash is coming in.	Debit
	Sales A/c	Nominal	Sales is a revenue.	Credit
(h)	Shyam's A/c	Personal	Shyam is the receiver.	Debit
	Sales A/c	Nominal	Sales is a revenue.	Credit
(i)	Cash A/c	Real	Cash is coming in.	Debit
	Shyam's A/c	Personal	Shyam is the giver.	Credit
(j)	Ram's A/c	Personal	Ram is the receiver.	Debit
	Cash A/c	Real	Cash is going out.	Credit
(k)	Bank A/c	Personal	Bank is the receiver.	Debit
	Cash A/c	Real	Cash is going out.	Credit
(l)	Drawings A/c	Personal	Ganesh is the receiver.	Debit
	Cash A/c	Real	Cash is going out.	Credit
(m)	Cash A/c	Real	Cash is coming in.	Debit
	Bank A/c	Personal	Bank is the giver.	Credit
(n)	Drawings A/c	Personal	Ganesh is the receiver.	Debit
	Bank A/c	Personal	Bank is the giver.	Credit
(o)	Cheques on hands A/c	Real	Cheque is coming in.	Debit
	Shyam's A/c	Personal	Shyam is the giver.	Credit
(p)	Bank A/c	Personal	Bank is the receiver.	Debit
	Cheques on hands A/c	Real	Cheque is going out.	Credit
(q)	Shyam's A/c	Personal	Shyam is the receiver.	Debit
	Bank A/c	Personal	Bank is the giver.	Credit
(r)	Ram's A/c	Personal	Ram is the receiver.	Debit
	Bank A/c	Personal	Bank is the giver.	Credit
(s)	Salary A/c	Nominal	Salary is an expense.	Debit
	Cash A/c	Real	Cash is going out.	Credit
(t)	Rent A/c	Nominal	Rent is an expense.	Debit
	Bank A/c	Personal	Bank is the giver.	Credit
(u)	Drawings A/c	Personal	Ganesh is the receiver.	Debit
	Purchases A/c	Nominal	It is a decrease in expense.	Credit
(v)	Adv. to Suppliers A/c	Personal	Suppliers are the receivers.	Debit
	Cash A/c	Real	Cash is going out.	Credit
(w)	Cash A/c	Real	Cash is coming in.	Debit
	Adv. from Customers A/c	Personal	Customers are the givers.	Credit

(x)	Interest on Loan A/c	Nominal	Interest on loan is an expense.	Debit
	Cash A/c	Real	Cash is going out.	Credit
(y)	Loan A/c	Personal	Lender is the receiver.	Debit
	Cash A/c	Real	Cash is going out.	Credit
(z)	Bank A/c	Personal	Bank is the receiver.	Debit
	Bank Interest A/c	Nominal	Bank Interest is a gain.	Credit

EXAMPLE 4

Analyse the transactions given in Example 3 according to the Accounting Equation Approach.

SOLUTION

ANALYSIS OF TRANSACTIONS AS PER ACCOUNTING EQUATION APPROACH

Transaction	*What are the Accounts involved?*	*What is the nature of accounts involved?*	*How affected*	*Whether to be Debited or Credited*
(a)	Cash A/c	Asset	Increased	Debit
	Capital A/c	Capital	Increased	Credit
(b)	Cash A/c	Asset	Increased	Debit
	Loan from Mahesh A/c	Liability	Increased	Credit
(c)	Furniture A/c	Asset	Increased	Debit
	Cash A/c	Asset	Decreased	Credit
(d)	Furniture A/c	Asset	Increased	Debit
	Mohan's A/c	Liability	Increased	Credit
(e)	Purchases A/c	Expense	Increased	Debit
	Cash A/c	Asset	Decreased	Credit
(f)	Purchases A/c	Expense	Increased	Debit
	Ram's A/c	Liability	Increased	Credit
(g)	Cash A/c	Asset	Increased	Debit
	Sales A/c	Revenue	Increased	Credit
(h)	Shyam's A/c	Asset	Increased	Debit
	Sales A/c	Revenue	Increased	Credit
(i)	Cash A/c	Asset	Increased	Debit
	Shyam's A/c	Asset	Decreased	Credit
(j)	Ram's A/c	Liability	Decreased	Debit
	Cash A/c	Asset	Decreased	Credit
(k)	Bank A/c	Asset	Increased	Debit
	Cash A/c	Asset	Decreased	Credit
(l)	Drawings A/c	Capital	Decreased	Debit
	Cash A/c	Asset	Decreased	Credit
(m)	Cash A/c	Asset	Increased	Debit
	Bank A/c	Asset	Decreased	Credit
(n)	Drawings A/c	Capital	Decreased	Debit
	Bank A/c	Asset	Decreased	Credit
(o)	Cheques on hand A/c	Asset	Increased	Debit
	Shyam's A/c	Asset	Decreased	Credit
(p)	Bank A/c	Asset	Increased	Debit
	Cheques on hand A/c	Asset	Decreased	Credit
(q)	Shyam's A/c	Asset	Increased	Debit
	Bank A/c	Asset	Decreased	Credit
(r)	Ram's A/c	Liability	Decreased	Debit
	Bank A/c	Asset	Decreased	Credit

(s)	Salary A/c	Expense	Increased	Debit
	Cash A/c	Asset	Decreased	Credit
(t)	Rent A/c	Expense	Increased	Debit
	Bank A/c	Asset	Decreased	Credit
(u)	Drawings A/c	Capital	Decreased	Debit
	Purchases A/c	Expense	Decreased	Credit
(v)	Advance to Suppliers A/c	Asset	Increased	Debit
	Cash A/c	Asset	Decreased	Credit
(w)	Cash A/c	Asset	Increased	Debit
	Adv. from Customers A/c	Liability	Increased	Credit
(x)	Interest on Loan A/c	Expense	Increased	Debit
	Cash A/c	Asset	Decreased	Credit
(y)	Loan A/c	Liability	Decreased	Debit
	Cash A/c	Asset	Decreased	Credit
(z)	Bank A/c	Asset	Increased	Debit
	Bank Interest A/c	Revenue	Increased	Credit

Advantages of Journal

1. **Chronological Record**	Journal is a chronological record in the sense that it records the transactions in the order in which they occur.
2. **Explanation of Transaction**	Each journal entry in the journal carries narration which gives a brief explanation of the transaction.
3. **Recording of both aspects**	Both the aspects (i.e., debit and credit) of a transaction are recorded in the journal. Since the amounts recorded in both debit amount column and credit amount column must be equal, the possibility of committing error is reduced and the detection of errors, if any, committed becomes easy.

Limitations of Journal

When the number of transactions is large, it is practically impossible to record all the transactions through one journal because of the following reasons:

1. **Time and Cost Consuming**	The system of recording all the transactions in a journal requires (i) the writing down of the name of the account involved as many times as the transactions occur; and (ii) an individual posting of each account debited and credited and hence involves the repetitive journalising and posting labour.
2. **Delay**	Such a system does not provide the information on prompt basis.
3. **No Internal Check**	Such a system does not facilitate the installation of an internal check system since the journal can be handled by only one person.
4. **Bulky and Voluminous**	The journal becomes bulky and voluminous.

7.0 TRADE DISCOUNT

It is a reduction granted by a supplier from the List Price of goods or services on business considerations (such as quantity bought, trade practices, etc.,) other than for prompt payment.

Example — If 10 Gold Rings are sold at the list price of ₹ 50,000 each subject to trade discount of 10%. In this case trade discount will be calculated as given on below:

10 Gold Rings @ ₹ 50,000	₹ 5,00,000
Less: Trade Discount @ 10%	₹ 50,000
Amount Payable as per Invoice	₹ 4,50,000

8.0 CASH DISCOUNT

A reduction granted by a supplier from the Invoice Price in consideration of immediate payment *or* payment within a stipulated period.

Example — If in the above example, terms of payable are 2%, 30 Days, it means buyer will get 2% cash discount if he makes payment within 30 days. In case the purchaser makes the payment within 30 days, the cash discount will be calculated as under:

Amount Payable as per Invoice	₹ 4,50,000
Cash Discount @ 2%	₹ 9,000
Cash paid within 30 days	₹ 4,41,000

9.0 DISTINCTION BETWEEN TRADE DISCOUNT AND CASH DISCOUNT

Trade Discount differs from Cash Discount in the following respects:

Basis of Distinction	Trade Discount	Cash Discount
1. **Meaning**	It is a reduction granted by a supplier from the list price of goods or services on business considerations (such as quantity bought, trade practices, etc.) other than for prompt payment.	A reduction granted by a supplier from the invoice price in consideration of immediate payment or payment within a stipulated period.
2. **Purpose**	It is allowed **to promote the sales or as a trade practice.**	It is allowed to **encourage the prompt payment.**
3. **Time when allowed**	It is allowed **on purchase** of goods.	It is allowed **on immediate payment** or payment within a specified period.
4. **Disclosure in the Invoice**	It is shown **by way of deduction in the invoice itself.**	It is **not shown in the invoice.**
5. **Ledger Account**	Trade Discount Account is not opened in the ledger.	Cash Discount Account is opened in the ledger.
6. **Variation**	It may vary with the quantity purchased.	It may vary with the period within which the payment is made.

ILLUSTRATION 1

Journalise the following transactions in the books of Shri Ganesh.

2013		₹
April 1	Shri Ganesh started his business with Cash	50,000
2	Purchased goods	5,000
3	Purchased goods for Cash	10,000
4	Purchased goods from Mr Sun for Cash	15,000
5	Sold goods	6,000
6	Sold goods for Cash	12,000
8	Sold goods to Mr Sky for Cash	18,000
9	Purchased goods from Mr Moon	10,000
10	Purchased goods from Mr Star on Credit	20,000
11	Sold goods to Mr Sea	12,500
12	Sold goods to Mr Ocean on Credit	25,000
13	Mr Sea returned goods	2,500
15	Returned goods to Mr Moon	2,000
16	Received from Mr Sea	9,900
	Allowed him discount	100
17	Paid Mr Moon	7,880
	Discount allowed by him	120
29	Withdrew for personal use	1,000
30	Withdrew goods for private use (Cost ₹ 500, Selling Price ₹ 600)	
31	Paid Salary to Mr Sevakram, an employee	500
31	Paid Rent to Mr Estate, landlord	500

SOLUTION

JOURNAL OF SHRI GANESH

Date	*Particulars*	*L.F.*	*Dr. (₹)*	*Cr. (₹)*
2013 April 1	Cash A/c Dr. To Capital A/c (Being the capital brought in by Shri Ganesh)		50,000	50,000
2	Purchases A/c Dr. To Cash A/c (Being the goods purchased for cash)		5,000	5,000
3	Purchases A/c Dr. To Cash A/c (Being the goods purchased for cash)		10,000	10,000
4	Purchases A/c Dr. To Cash A/c (Being the goods purchased for cash)		15,000	15,000
5	Cash A/c Dr. To Sales A/c (Being the goods sold for cash)		6,000	6,000
6	Cash A/c Dr. To Sales A/c (Being the goods sold for cash)		12,000	12,000

8	Cash A/c	Dr.		18,000	
	To Sales A/c				18,000
	(Being the goods sold for cash)				
9	Purchases A/c	Dr.		10,000	
	To Mr Moon				10,000
	(Being the goods purchased on credit from Mr Moon)				
10	Purchases A/c	Dr.		20,000	
	To Mr Star A/c				20,000
	(Being the goods purchased on credit from Mr Star)				
11	Mr Sea A/c	Dr.		12,500	
	To Sales A/c				12,500
	(Being goods sold on credit to Mr Sea)				
12	Mr Ocean A/c	Dr.		25,000	
	To Sales A/c				25,000
	(Being goods sold on credit to Mr Ocean)				
13	Sales Returns A/c	Dr.		2,500	
	To Mr Sea A/c				2,500
	(Being the goods returned by Mr Sea)				
15	Mr Moon A/c	Dr.		2,000	
	To Purchase Returns A/c				2,000
	(Being the goods returned to Mr Moon)				
16	Cash A/c	Dr.		9,900	
	Discount Allowed A/c	Dr.		100	
	To Mr Sea				10,000
	(Being Cash received from Mr Sea & allowed him discount ₹ 100)				
17	Mr Moon	Dr.		8,000	
	To Cash A/c				7,880
	To Discount Received A/c				120
	(Being Cash paid to Mr Moon & received discount of ₹ 120)				
29	Drawings A/c	Dr.		1,000	
	To Cash A/c				1,000
	(Being the cash withdrawn for personal use)				
30	Drawings A/c	Dr.		500	
	To Purchases A/c				500
	(Being the goods costing ₹ 500 withdrawn for personal use)				
31	Salary A/c	Dr.		500	
	To Cash A/c				500
	(Being the salary paid to Sevakram)				
31	Rent A/c	Dr.		500	
	To Cash A/c				500
	(Being rent paid to landlord)				
		Total		2,08,500	2,08,500

ILLUSTRATION 2

Journalise the following Transactions of Ramesh:

2013		₹
April 1	Ramesh started business with cash	10,000
2	Paid into Bank	7,000
3	Bought goods for cash	500
4	Drew Cash from bank for office	100
13	Sold goods to Krishna on credit	150
20	Bought goods from shyam on credit	225
24	Received from Krishna	145
	Allowed him discount	5
28	Paid Shyam Cash	215
	Discount allowed	10
30	Cash Sales for the month	800
	Paid Rent	50
	Paid salary	100

SOLUTION

JOURNAL OF RAMESH

Date	*Particulars*	*L.F.*	*Dr. (₹)*	*Cr. (₹)*
2013 April 1	Cash A/c Dr. To Capital A/c (Being the amount invested by Ramesh in the business as capital)		10,000	10,000
2	Bank A/c Dr. To Cash A/c (Being the amount paid into bank)		7,000	7,000
3	Purchases A/c Dr. To Cash A/c (Being the goods purchased for cash)		500	500
4	Cash A/c Dr. To Bank A/c (Being the cash withdrawn from bank)		100	100
13	Krishna Dr. To Sales A/c (Being the goods sold to Krishna on credit)		150	150
20	Purchases A/c Dr. To Shyam (Being the goods bought from Shyam on credit)		225	225
24	Cash A/c Dr. Discount Allowed A/c Dr. To Krishna (Being the cash received from Krishna and allowed him discount)		145 5	150

28	Shyam	Dr.		225	
	To Cash A/c				215
	To Discount Received A/c				10
	(Being the cash paid to Shyam and Discount received)				
30	Cash A/c	Dr.		800	
	To Sales A/c				800
	(Being the goods sold for cash)				
30	Rent A/c	Dr.		50	
	Salaries A/c	Dr.		100	
	To Cash A/c				150
	(Being the amount paid for rent and salary)				
		Total		19,300	19,300

ILLUSTRATION 3

Record the following transactions in the journal of the Delhi Furniture Marts:

2013	
Jan 1	Started business with cash ₹ 10,000.
2	Deposited into bank ₹ 9,000.
3	Purchased machinery for ₹ 5,000 from Jawahar and gave him a cheque for amount.
15	Paid installation charges of machinery ₹ 100.
20	Purchased timber from Naveen of the list price of ₹ 2,000. He allowed 10% Trade Discount.
23	Furniture costing ₹ 500 was used in furnishing the office.
25	Sold furniture to Naresh of the list price of ₹ 1,000 and allowed him 5% Trade Discount.
28	Received a crossed cheque from Naresh for ₹ 930 in full settlement and sent the cheque to bank.
29	Sent to Naveen in full settlement a cheque for ₹ 1,750.
31	Paid wages ₹ 350 and rent ₹ 200.

SOLUTION

JOURNAL OF THE DELHI FURNITURE MARTS

Date	*Particulars*		*L.F.*	*Dr. (₹)*	*Cr. (₹)*
2013					
Jan.1	Cash A/c	Dr.		10,000	
	To Capital A/c				10,000
	(Being the business started with cash)				
2	Bank A/c	Dr.		9,000	
	To Cash A/c				9,000
	(Being the cash deposited into Bank)				
3	Machinery A/c	Dr.		5,000	
	To Bank A/c				5,000
	(Being the machinery purchased and paid by cheque)				

15	Machinery A/c	Dr.		100	
	To Cash A/c				100
	(Being the installation charges of machinery capitalised)				
20	Purchases A/c	Dr.		1,800	
	To Naveen				1,800
	(Being the timber purchased from Naveen ₹ 2,000 at a discount of 10%)				
23	Office Furniture A/c	Dr.		500	
	To Purchases A/c				500
	(Being the furniture costing ₹ 500 use in furnishing the office)				
25	Naresh	Dr.		950	
	To Sales A/c				950
	(Being the furniture sold to Naresh for ₹ 1,000 and allowed him 5% trade discount)				
28	Bank A/c	Dr.		930	
	Discount Allowed A/c	Dr.		20	
	To Naresh				950
	(Being a cheque received from Naresh in full settlement sent to bank)				
29	Naveen	Dr.		1,800	
	To Bank A/c				1,750
	To Discount Received A/c				50
	(Being a cheque for ₹ 1,750 sent to Naveen in full settlement of his account)				
31	Wages A/c	Dr.		350	
	Rent A/c	Dr.		200	
	To Cash A/c				550
	(Being the amount paid for wages and rent)				
		Total		30,650	30,650

Recording of Special Transactions relating to Goods

ILLUSTRATION 4

Journalise the following transactions in the books of Tushar:

1	Withdrawn goods for personal use (Sale Price ₹ 600, Cost ₹ 500).
2	Goods costing ₹ 500 given as charity (Sale Price ₹ 600)
3	Goods costing ₹ 1,000 distributed as free samples (Sale Price ₹ 1,200)
4	Goods stolen in transit (Sale Price ₹ 1,000, Cost ₹ 800)
5	Goods destroyed by fire (Sale Price ₹ 1,000, Cost ₹ 800)
6	Goods stolen by an employee (Sale Price ₹ 1,000, Cost ₹ 600)
7	Goods used in making of Furniture (Sale Price ₹ 2000, Cost ₹ 1,500)

SOLUTION

JOURNAL

Date	*Particulars*		*L.F.*	*Dr. (₹)*	*Cr. (₹)*
1.	Drawings A/c	Dr.		500	
	To Purchases A/c				500
	(Being the goods costing ₹ 500 withdrawn for personal use)				
2.	Charity A/c	Dr.		500	
	To Purchases A/c				500
	(Being the goods distributed as charity)				
3.	Free Sample A/c/Sales Promotion A/c	Dr.		1,000	
	To Purchases A/c				1,000
	(Being the goods costing ₹ 1,000 distributed as free samples)				
4.	Loss in Transit A/c	Dr.		800	
	To Purchases A/c				800
	(Being the goods costing ₹ 800 stolen in transit)				
5.	Loss due to fire A/c	Dr.		800	
	To Purchases A/c				800
	(Being the goods costing ₹ 800 destroyed by fire)				
6.	Loss by Embezzlement A/c	Dr.		600	
	To Purchases A/c				600
	(Being the goods costing ₹ 600 stolen by an employee)				
7.	Furniture A/c	Dr.		1,500	
	To Purchases A/c				1,500
	(Being the goods costing ₹ 1,500 used in making furniture)				
		Total		5,700	5,700

Banking Transactions

ILLUSTRATION 5

Journalise the following transactions:

1.	Paid into bank ₹ 11,000 for opening a current account
2.	Withdrew for private expenses ₹ 1,000
3.	Withdrew from bank ₹ 3,000
4.	Withdrew from bank for private use ₹ 1,500
5.	Placed on Fixed Deposit A/c at Bank by transfer from current account ₹ 5,000.

SOLUTION

JOURNAL

Date	*Particulars*		*L.F.*	*Dr. (₹)*	*Cr. (₹)*
1.	Drawings A/c	Dr.		500	
1.	Bank A/c	Dr.		11,000	
	To Cash A/c				11,000
	(Being the cash deposited into the bank)				
2.	Drawings A/c	Dr.		1,000	
	To Cash A/c				1,000
	(Being the cash withdrawn for personal use)				
3.	Cash A/c	Dr.		3,000	
	To Bank A/c				3,000
	(Being the cash withdrawn for office use)				
4.	Drawing A/c	Dr.		1,500	
	To Bank A/c				1,500
	(Being the cash withdrawn from bank for personal use)				
5.	Fixed Deposit A/c	Dr.		5,000	
	To Bank A/c				5,000
	(Being the transfer from current A/c to fixed deposit A/c)				
		Total		21,500	21,500

ILLUSTRATION 6

Journalise the following transactions:

2013	
March 1	Received a crossed cheque from Ramesh & Co. to whom goods were sold for ₹ 2,000 last year. Allowed him 1% discount.
2	Ramesh & Co.'s Cheque deposited into bank
5	Ramesh & Co.'s Cheque dishonoured (bank charged ₹ 10)
20	Ramesh & Co. settled his account by means of a Cheque for ₹ 2,025, ₹ 15 being for interest charged.
31	Bank charges (half yearly) ₹ 100

SOLUTION

JOURNAL

Date	*Particulars*		*L.F.*	*Dr. (₹)*	*Cr. (₹)*
01.03.13	Cheques-on-hand A/c	Dr.		1,980	
	Discount Allowed A/c	Dr.		20	
	To Ramesh & Co.				2,000
	(Being a cheque received not yet deposited and discount allowed 1%)				
02.03.13	Bank A/c	Dr.		1,980	
	To Cheques-on-hand A/c				1,980
	(Being the cheque deposited into the bank)				

05.03.13	Ramesh & Co.	Dr.		2,010	
	To Discount allowed A/c				20
	To Bank A/c				1,990
	(Being the cheque of Ramesh & Co. dishonoured bank charges charged & discount already allowed disallowed)				
20.03.13	Ramesh & Co.	Dr.		15	
	To Interest Received A/c				15
	(Being the interest due from Ramesh & Co.)				
20 03.13	Bank A/c	Dr.		2,025	
	To Ramesh & Co.				2,025
	(Being Ramesh & Co. settled his account by means of a cheque)				
31.03.13	Bank Charges A/c	Dr.		100	
	To Bank A/c				100
	(Being the bank charged it half-yearly charges)				
		Total		8,130	8,130

10.0 LEDGER

After recording the transaction in the Journal, the next stage is the transfer of transactions in the respective accounts opened in the ledger.

Meaning of Ledger

1. A Ledger is a principal book which contains all the accounts (Assets Accounts, Liabilities Accounts, Capital Accounts, Revenue Accounts, Expenses Accounts) to which the transactions recorded in the books of original entry are transferred.
2. As the ledger is the ultimate destination of all transactions, the ledger is called the **Book of Final Entry.**
3. It is considered a permanent record and is more frequently referred to.
4. It may be noted that an account is a formal record of all transactions relating to change in a particular item.

Form of the Ledger

A ledger may be kept in the form of bound books, loose leaf sheets *or* CDs *or* RCDs *or* DVDs *or* PAN Drive (in case computer is used) *or* any other like device.

Utility of the Ledger

The main utilities of a ledger are summarised as follows:

1. It provides complete information about all accounts in one book.
2. It enables to ascertain what the main items of revenues are.
3. It enables to ascertain what the main items of expenses are.
4. It enables to ascertain what the assets are and of what values.
5. It enables to ascertain what the liabilities are and of what amounts.
6. It facilitates the preparation of Final Accounts.

Format of a Ledger Account

A ledger account can be prepared in any one of the following two forms:

Form 1

.. . .(Name of the Account). ... . Ledger Folio No. . . . . .

Dr. *Cr.*

Date	*Particulars*	*Folio* ₹	*Amount*	*Date*	*Particulars*	*Folio* ₹	*Amount*

Form 2

. . . .(Name of the Account). . . . . Ledger Folio No. . . . . .

Date	*Particulars*	*Folio*	*Debit Amount* ₹	*Credit Amount* ₹	*Balance* ₹	*Dr./Cr.*

11.0 POSTING

Meaning of Posting

1. Posting is the process of transferring the transactions recorded in the books of original entry in the concerned accounts opened in the ledger.
2. It may be done daily, weekly, fortnightly or monthly according to the convenience and requirements of the business.

Necessity of Posting

It is necessary to post all journal entries into various accounts in the ledger because posting helps us to know the net effect of various transactions during a given period on a particular account.

Procedure of Posting from Journal

The procedure of posting is given as follows:

Procedure of Posting for an Account which has been debited in a transaction

Step 1 → *With the help of an Index, open that page on which the concerned account appears.*

Step 2 → *Enter the date of the transaction, in the 'Date column' on the debit side.*

Step 3 → *Record the name of the account credited in the Journal, in the 'Particulars column' on the debit side as "To ... (name of the account credited)..."*

Step 4 → *Record the page number of the Journal in the 'Folio column' on the debit side and in the journal, write the page number of the ledger on which a particular account appears in the 'Ledger Folio column'.*

Step 5 → *Enter the relevant amount in the 'Amount column' on the debit side.*

Procedure of Posting for an Account which has been credited in a transaction

Step 1 → *With the help of an Index, open that page on which the concerned account appears.*

Step 2 → *Enter the date of the transaction, in the 'Date column' on the credit side.*

Step 3 → *Record the name of the account debited in the Journal in the 'Particulars column' on the credit side as "By.....(name of the account debited)....."*

Step 4 → *Record the page number of the Journal in the 'Folio column' on the credit side and in the journal, write the page number of the ledger on which a particular account appears in the 'Ledger Folio column'.*

Step 5 → *Enter the relevant amount in the 'Amount column' on the credit side.*

ILLUSTRATION 7

On 1.4.2013 Mohan, a customer, paid Cash ₹ 950 on account of ₹ 1,000. Journalise and post it into the ledger.

SOLUTION

JOURNAL

Folio 2

Date	*Particulars*		*L.F.*	*Dr. (₹)*	*Cr. (₹)*
2013	Cash A/c	Dr.	5	950	
April 1	To Mohan		9		950
	(Being cash received from Mohan on account)				

LEDGER **Folio 5**

Dr. **CASH ACCOUNT** *Cr.*

Date	*Particulars*	*Folio*	*₹*	*Date*	*Particulars*	*Folio*	*₹*
2013 April 1	To Mohan	2	950				

Folio 9

Dr. **MOHAN'S ACCOUNT** *Cr.*

Date	*Particulars*	*Folio*	*₹*	*Date*	*Particulars*	*Folio*	*₹*
				2013 April 1	By Cash A/c	2	950

12.0 COMPOUND ENTRY

Meaning of Compound Entry

When more than two accounts are involved in a transaction and the transaction is recorded by means of a single journal entry instead of passing several journal entries, such single journal entry is termed as 'Compound Journal Entry'.

Note: A compound entry may also be passed if there are more transactions of the same nature taking place on the same date.

How to Pass a Compound Entry

Compound Entry may be recorded in the following three ways:

(a) by debiting one account and crediting two or more accounts; or
(b) by debiting two or more accounts and crediting one account; or
(c) by debiting several accounts and crediting several accounts.

Examples of Compound Entry

Date	*Particulars*	*L.F.*	*Dr. (₹)*	*Cr. (₹)*
1.	**Paid ₹ 490 to Ram in full settlement of his account of ₹ 500.**			
	Ram' A/c Dr.		500	
	To Cash A/c			490
	To Discount Received A/c			10
	(Being cash paid to Ram in full settlement of his A/c)			
2.	**Received ₹ 490 from Shyam in full settlement of his account of ₹ 500.**			
	Cash A/c Dr.		490	
	Discount Allowed A/c Dr.		10	
	To Shyam's A/c			500
	(Being cash received from Shyam in full settlement of his account)			

ILLUSTRATION 8

On 2.4.2013 Mohan, a customer, paid cash ₹ 950 in full settlement of his account of ₹ 1,000. Journalise and post it into the ledger.

SOLUTION

JOURNAL

Folio 5

Date	*Particulars*		*L.F.*	*Dr. (₹)*	*Cr. (₹)*
2013					
April 2	Cash A/c	Dr.	5	950	
	Discount Allowed A/c	Dr.	4	50	
	To Mohan's A/c		8		1,000
	(Being the cash received from Mohan in full settlement)				

LEDGER

Folio 5

Dr. **CASH ACCOUNT** *Cr.*

Date	*Particulars*	*Folio*	₹	*Date*	*Particulars*	*Folio*	₹
2013							
April 2	To Mohan's A/c	5	950				

Folio 4

Dr. **DISCOUNT ALLOWED ACCOUNT** *Cr.*

Date	*Particulars*	*Folio*	₹	*Date*	*Particulars*	*Folio*	₹
2013							
April 2	To Mohan's A/c	5	50				

Folio 8

Dr. **MOHAN'S ACCOUNT** *Cr.*

Date	*Particulars*	*Folio*	₹	*Date*	*Particulars*	*Folio*	₹
				2013			
				April 2	By Cash A/c	5	950
					By Discount Allowed A/c	5	50

13.0 MEANING, RECORDING AND POSTING OF OPENING ENTRY

Meaning of an 'Opening Entry'

'Opening Entry' is a journal entry by means of which previous accounting period's balances of various Assets, Liabilities and Capital are brought forward in the books of Current Accounting Period.

Method of Recording an 'Opening Entry'

While passing an opening entry, all Assets Accounts (individually) are debited and all Liabilities Accounts (individually) are credited and the Net worth (i.e., Excess of Assets over Liabilities) is credited to Proprietor's Capital Account (*in case of a Proprietary concern*) *or* Partners' Capital Accounts (*in case of a Partnership Concern*).

Procedure of Posting an Opening Entry

The procedure of posting an opening entry is same as in case of an ordinary journal entry except that in case of an account which has been debited, the words **To balance b/f** are recorded in the 'Particulars column' on the debit side and in case of an account which has been credited, the words **By balance b/f** are recorded in the 'Particulars column' on the credit side.

ILLUSTRATION 9

Pass the opening entry in the journal of Ram (as on 1st April 2013) and post the same into the ledger:

Cash-in-hand ₹ 1,000, Cash at Bank ₹ 5,000, Stock of ₹ 20,000, Land and Building ₹ 1,00,000, Plant and Machinery ₹ 50,000, Furniture and Fixtures ₹ 25,000, Owings from *X* Ltd. ₹ 12,500, Prepaid Insurance ₹ 500, Interest received in advance ₹ 250, Loan from *Y* Ltd. 10,000, Owing to *Z* Ltd. ₹ 3,750.

SOLUTION

JOURNAL

Folio 1

Date	*Particulars*		*L.F.*	*Dr. (₹)*	*Cr. (₹)*
2013					
April 1	Cash in hand	Dr.	1	1,000	
	Bank	Dr.	2	5,000	
	Stock	Dr.	3	20,000	
	Land and Building	Dr.	4	1,00,000	
	Plant and Machinery	Dr.	5	50,000	
	Furniture and Fixtures	Dr.	6	25,000	
	X Ltd.	Dr.	7	12,500	
	Prepaid Insurance	Dr.	8	500	
	To Interest received in advance		9		250
	To Loan from Y Ltd.		10		10,000
	To Z Ltd.		11		3,750
	To Ram's Capital A/c *(balancing figure)*		12		**2,00,000**
	(Being the balances brought forward from the last year)				

LEDGER OF RAM **Folio 1**

Dr. **CASH ACCOUNT** *Cr.*

Date	*Particulars*	*Folio*	*₹*	*Date*	*Particulars*	*Folio*	*₹*
2013							
April 1	To Balance b/f	1	1,000				

Folio 2

Dr. **BANK ACCOUNT** *Cr.*

Date	*Particulars*	*Folio*	*₹*	*Date*	*Particulars*	*Folio*	*₹*
2013							
April 1	To Balance b/f	1	5,000				

Folio 3

Dr. **STOCK ACCOUNT** *Cr.*

Date	*Particulars*	*Folio*	₹	*Date*	*Particulars*	*Folio*	₹
2013 April 1	To Balance b/f	1	20,000				

Folio 4

Dr. **LAND AND BUILDING ACCOUNT** *Cr.*

Date	*Particulars*	*Folio*	₹	*Date*	*Particulars*	*Folio*	₹
2013 April 1	To Balance b/f	1	1,00,000				

Folio 5

Dr. **PLANT & MACHINERY ACCOUNT** *Cr.*

Date	*Particulars*	*Folio*	₹	*Date*	*Particulars*	*Folio*	₹
2013 April 1	To Balance b/f	1	50,000				

Folio 6

Dr. **FURNITURE & FIXTURES ACCOUNT** *Cr.*

Date	*Particulars*	*Folio*	₹	*Date*	*Particulars*	*Folio*	₹
2013 April 1	To Balance b/f	1	25,000				

Folio 7

Dr. **X LTD.** *Cr.*

Date	*Particulars*	*Folio*	₹	*Date*	*Particulars*	*Folio*	₹
2013 April 1	To Balance b/f	1	12,500				

Folio 8

Dr. **PREPAID INSURANCE** *Cr.*

Date	*Particulars*	*Folio*	₹	*Date*	*Particulars*	*Folio*	₹
2013 April 1	To Balance b/f	1	500				

Folio 9

Dr. **INTEREST RECEIVED IN ADVANCE** *Cr.*

Date	*Particulars*	*Folio*	₹	*Date*	*Particulars*	*Folio*	₹
				2013 April 1	By Balance b/f	1	250

Folio 10

Dr. **LOAN FROM Y LTD.** *Cr.*

Date	*Particulars*	*Folio*	₹	*Date*	*Particulars*	*Folio*	₹
				2013 April 1	By Balance b/f	1	10,000

Folio 11

Dr. **Z LTD.** *Cr.*

Date	*Particulars*	*Folio*	₹	*Date*	*Particulars*	*Folio*	₹
				2013 April 1	By Balance b/f	1	3,750

Folio 12

Dr. **RAM'S CAPITAL ACCOUNT** *Cr.*

Date	*Particulars*	*Folio*	₹	*Date*	*Particulars*	*Folio*	₹
				2013 April 1	By Balance b/f	1	2,00,000

14.0 BALANCING OF ACCOUNTS

Meaning of Balancing of Accounts

After posting into the ledger, the next stage is to ascertain the net effect of all transactions posted to an account. The process of ascertaining the difference between the total of debits and total of credits appearing in an account, is known as **Balancing of an account.**

Balance of an Account

1. Balance of an account is the difference between the total of debits and total of credits appearing in an account.
2. It signifies the net effect of all transactions posted to that account during a given period.
3. It may be a debit balance or a credit balance or a nil balance depending upon whether the debit or the credit side total is higher.

Types of Accounts that are Balanced

Normally, Personal Accounts and Real Accounts are balanced. Nominal Accounts are not usually balanced but are closed by transfer to Trading and Profit & Loss Account.

Significance of Balancing

Balancing an account is necessary to ascertain the net effect of all transactions posted to that account during a given period.

Procedure for Balancing a Ledger Account

Step 1 → *Total both the 'Debit Amount column' and 'Credit Amount column' separately and ascertain the difference in two totals.*

Step 2 → *If the debit side total exceeds the credit side total, put such difference (called debit balance) on the credit side in 'Credit Amount column', write the date on which balancing is being done in the 'Date column' and the words 'By Balance c/d' in 'Particulars column'.*

OR

If the credit side total exceeds the debit side total, put such difference (called credit balance) on the debit side in 'Debit Amount column', write the date on which balancing is being done in the 'Date column' and the words 'To Balance c/d' in 'Particulars column'.

Step 3 → *Total both the 'Debit Amount column' and 'Credit Amount column' and put the total on both the sides and draw a double line immediately beneath the totals.*

Step 4 → *Enter the date of the beginning of next period in 'Date column' and bring down the debit balance on the debit side along with the words 'To Balance b/d' in Particulars column and the credit balance on the, credit side along with the words 'By Balance b/d' in 'Particulars column'.*

ILLUSTRATION 10

Balance the following ledger accounts on 31st Jan. 2013.

Folio 8

Dr. **RAM'S ACCOUNT** *Cr.*

Date	*Particulars*	*Folio*	₹	*Date*	*Particulars*	*Folio*	₹
02.01.13	To Sales A/c		1,00,000	05.01.13	By Sales Returns		10,000
				25.01.13	By Cash A/c		20,000
				31.01.13	By Bank A/c		30,000
				31.01.13	By Discount A/c		1,000

Folio 8

Dr. **SHYAM'S ACCOUNT** *Cr.*

Date	*Particulars*	*Folio*	₹	*Date*	*Particulars*	*Folio*	₹
06.01.13	To Purchase Returns A/c		8,000	01.01.13	By Purchases A/c		1,00,000
26.01.13	To Cash A/c		20,000				
31.01.13	To Bank A/c		30,000				
31.01.13	To Discount A/c		1,000				

SOLUTION

Steps involved in Balancing Ram's Account

Step 1 → Total of Debit Amount Column ₹ 1,00,000
Total of Credit Amount Column ₹ 61,000
Difference or Balance ₹ 39,000

Since the total of debit amount column exceeds the total of credit amount column, the difference in the both these totals is called Debit Balance. Credit side is called shorter side.

Step 2 → Enter the date of balancing (i.e., 31.01.2013), in Date Column 'By Balance c/d' in Particulars column, and the difference in the Amount Column on the shorter side i.e., credit side.

Step 3 → Total both the amounts columns and draw a double line immediately beneath the totals.

Step 4 → Enter the date of the beginning of the next period (i.e., 1st Feb.) in the 'Date Column', 'To Balance b/d' in 'Particulars Column' and debit balance in 'Amount Column' on the debit side.

After taking the aforesaid steps, Ram's Account will appear as follows:

Folio 8

Dr. **RAM'S ACCOUNT** *Cr.*

Date	*Particulars*	*Folio*	₹	*Date*	*Particulars*	*Folio*	₹
02.01.13	To Sales A/c		1,00,000	05.01.13	By Sales Returns		10,000
				25.01.13	By Cash A/c		20,000
				31.01.13	By Bank A/c		30,000
				31.01.13	By Discount A/c		1,000
				31.01.13	By Balance c/d		39,000
			1,00,000				1,00,000
01.02.13	To Balance b/d		39,000				

Steps involved in Balancing Shyam's Account

Step 1 → Total of Debit Amount Column ₹ 59,000
Total of Credit Amount Column ₹ 1,00,000
Difference Balance ₹ 41,000

Since the total of credit amount column exceeds the total of debit amount column, the difference in both these totals is called 'Credit Balance'. Debit side is called shorter side.

Step 2 → Enter the date of Balancing (i.e., 31.01.2013) in the 'Date Column', 'To Balance c/d' on 'Particulars Column' and the difference in the Account Column on the shorter side i.e., debit side.

Step 3 → Total both the amounts column and draw a double line immediately beneath the totals.

Step 4 → Enter the date of the beginning of the next period (i.e., 1st Feb.) in the 'Date Column', 'By Balance c/d' in 'Particulars Column' and credit balance in 'Amount Column' on the credit side.

After taking the aforesaid steps, Shyam's Account will appear as follows:

Folio 8

Dr. **SHYAM'S ACCOUNT** *Cr.*

Date	*Particulars*	*Folio*	₹	*Date*	*Particulars*	*Folio*	₹
06.01.13	To Purchase Return A/c		8,000	01.01.13	By Purchase A/c		1,00,000
26.01.13	To Cash A/c		20,000				
31.01.13	To Bank A/c		30,000				
31.01.13	To Discount A/c		1,000				
31.01.13	To Balance c/d		41,000				
			1,00,000				1,00,000
				01.02.13	By Balance b/d		41,000

THEORETICAL QUESTIONS

1. What is an Account?
2. Enumerate the heads of Traditional Classification of Accounts.
3. Enumerate the heads of Accounting Equation based Classification of Accounts.
4. Classify the following Accounts:

1. Purchases A/c
2. Purchases Returns A/c
3. Sales A/c
4. Sales Returns A/c
5. Cash A/c
6. Bank A/c
7. Bank Overdraft A/c
8. Drawings A/c
9. Outstanding Salary A/c
10. Prepaid Rent A/c
11. Interest accrued A/c
12. Interest received in advance A/c
13. Cheques -in-hands A/c
14. Interest on Investments
15. Depreciation
16. Loan given
17. Loan taken

5. What is meant by the term 'Debit'?
6. What is meant by the term 'Credit'?
7. What is a Journal?
8. What is Journalising?
9. What is Journal Entry?
10. Which column in a Journal is not filled at the time of journalising?
11. What is Narration?
12. State any two Advantages of Journal.
13. State any two Limitations of Journal.
14. What is done to overcome the shortcomings of the use of the journal only as a book of original entry?
15. List any two differences between Trade Discount and Cash Discount.
16. Name the book in which accounts are opened.
17. What is a Ledger?
18. What is the object of preparing an Account?
19. Why is the Ledger called the Book of Final Entry?
20. Enumerate the forms in which a ledger may be kept.

21. Enumerate any five utilities of ledger.
22. What is Posting?
23. What is the necessity of Posting?
24. What is a Compound Entry?
25. What is an Opening Entry?
26. How is an Opening Entry recorded in a Journal?
27. What is balancing of an Account?
28. What is Balance of an Account?
29. What is the significance of Balancing?

PRACTICAL QUESTIONS

1. Journalise the following transactions in the books of Shri Ganesh:

2013		₹
April 1	Shri Ganesh started his business with Cash	30,000
2	Purchased goods	3,000
3	Purchased goods for Cash	6,000
4	Purchased goods from Mr Sun for Cash	9,000
5	Sold goods	3,600
6	Sold goods for Cash	7,200
8	Sold goods to Mr Sky for Cash	10,800
9	Purchased goods from Mr Moon	6,000
10	Purchased goods from Mr Star on Credit	12,000
11	Sold goods to Mr Sea	7,500
12	Sold goods to Mr Ocean on Credit	15,000
13	Mr Sea returned goods	1,500
15	Returned goods to Mr Moon	1,200
16	Received from Mr Sea	5,940
	Allowed him discount	60
17	Paid Mr Moon	4,728
	Discount allowed by him	72
29	Withdrew for personal use	600
30	Withdrew goods for private use (Cost ₹ 300, Selling Price ₹ 360)	
31	Paid Salary to Mr Sevakram, an employee	300
31	Paid Rent to Mr Estate, landlord	300

[**Ans.** Total of Journal ₹ 1,25,100]

2. Journalise the following transactions of Mahesh:

2013		₹
April 1	Ramesh started business with cash	20,000
" 2	Paid into Bank	14,000
" 3	Bought goods for cash	1,000
" 4	Drew Cash from bank for office	200
" 13	Sold goods to Krishna on credit	300
" 20	Bought goods of Shyam on credit	450
" 24	Received from Krishna	290
	Allowed him discount	10
" 28	Paid Shyam Cash	430
	Discount allowed	20
" 30	Cash Sales for the month	1,600
	Paid Rent	100
	Paid salary	200

[**Ans.** Total of Journal ₹ 38,600]

3. Record the following transactions in the journal of the Delhi Furniture Marts:

2013	
Jan 1	Started business with cash ₹ 20,000.
2	Deposited into bank ₹ 18,000.
3	Purchased machinery for ₹ 10,000 from Jawahar and gave him a cheque for amount.
15	Paid installation charges of machinery ₹ 200.
20	Purchased timber from Naveen of the list price of ₹ 4,000. He allowed 10% Trade Discount.
23	Furniture costing ₹ 1,000 was used in furnishing the office.
25	Sold furniture to Naresh of the list price of ₹ 2,000 and allowed him 5% Trade Discount.
28	Received a crossed cheque from Naresh for ₹ 1,860 in full settlement and sent the cheque to bank.
29	Sent to Naveen in full settlement a cheque for ₹ 3,500.
31	Paid wages ₹ 700 and rent ₹ 400.

[**Ans.** Total of Journal ₹ 61,300]

4. Journalise the following transactions in the books of Tushar Tulsian:

1. Withdrawn goods for personal use (sale price ₹ 360, cost ₹ 300).
2. Goods costing ₹ 300 given as charity. (sale price ₹ 360)
3. Goods costing ₹ 600 distributed as free samples. (sale price ₹ 720)
4. Goods stolen in transit (sale price ₹ 600, cost ₹ 480)
5. Goods destroyed by fire (sale price ₹ 600, cost ₹ 480)
6. Goods stolen by an employee (sale price ₹ 600, cost ₹ 360)
7. Goods used in making of furniture (sale price ₹ 1,200, cost ₹ 900)

[**Ans.** Total of Journal ₹ 3,420]

5. Journalise the following transactions:

1. Paid into bank ₹ 6,600 for opening a current account
2. Withdrew for private expenses ₹ 600
3. Withdrew from bank ₹ 1,800
4. Withdrew from bank for private use ₹ 900
5. Placed on Fixed Deposit A/c at Bank by transfer from current account ₹ 3,000.

[**Ans.** Total of Journal ₹ 12,900]

6. Journalise the following transactions:

2013	
March 1	Received a cheque from Ramesh & Co. to whom goods were sold for ₹ 1,200 last year. Allowed him 1% discount
2	Ramesh & Co.'s cheque deposited into bank
5	Ramesh & Co.'s cheque dishonoured (bank charged ₹ 6)
20	Ramesh & Co. settled his account by means of a cheque for ₹ 1,215, ₹ 9 being for interest charged.
31	Bank charges (half yearly) ₹ 60

[**Ans.** Total of Journal ₹ 4,878]

8 Subsidiary Books I — Cash Book

LEARNING OBJECTIVES

After studying this chapter, you should be able to understand:

- Need for Sub-division of the Journal
- Meaning of Special Journals (or Subsidiary Books)
- Advantages of Special Journals (or Subsidiary Books)
- Meaning and Types of Cash Books
- Single Column Cash Book – Meaning, Format
- Cash Book with Discount Column – Meaning, Format
- Three Column Cash Book – Meaning, Format, Posting
- Petty Cash Book – Meaning, Format, Posting

1.0 NEED FOR SUB-DIVISION OF THE JOURNAL

1. When the number of transactions is large, it is practically impossible to record all the transactions through one journal **because of the following limitations of Journal**:

(a) The system of recording all the transactions in a journal requires (i) the writing down of the name of the account involved as many times as the transactions occur; and (ii) an individual posting of each account debited and credited and hence involves the repetitive journalising and posting labour.

(b) Such a system does not provide the information on prompt basis.

(c) Such a system does not facilitate the installation of an internal check system since the journal can be handled by only one person.

(d) The journal becomes bulky and voluminous.

2. To overcome the shortcomings of the use of the journal only as a book of original entry, the journal is sub-divided into special journals.

3. The journal is sub-divided in such a way that a separate book is used for each category of transactions which are repetitive in nature and are sufficiently large in number.

2.0 MEANING OF SPECIAL JOURNALS (OR SUBSIDIARY BOOKS)

Meaning of Special Journals (or Subsidiary Books)

Special Journals refer to the journals meant for specific transactions of similar nature. Special Journals are also known as subsidiary books *or* day books.

Types of Special Journals (or Subsidiary Books)

The proforma and number of special journals vary according to the requirements of each enterprise. In any large business, the following special journals are generally used:

Specific Transactions to be Recorded In Special Journals

Name of Special Journal	*Specific transactions to be recorded*
I. **Cash Journals:**	
(a) Simple Cash Book	Cash Transactions
(b) Cash Book with Discount Column	Cash and Discount transactions
(c) Cash Book with Bank & Discount Column	Cash, Bank and Discount transactions
(d) Petty Cash Book	Petty Cash transactions
II. **Goods Journals:**	
(a) Purchases Book	Credit Purchases of Goods
(b) Sales Book	Credit Sales of Goods
(c) Sales Returns Book (*or* Returns Inward book)	Goods returned by those customers to whom goods were sold on credit
(d) Purchase Returns Book (*or* Returns Outward Book)	Goods returned to those suppliers from whom goods were purchased on credit
III. **Bills Journal:**	
(a) Bills Receivable Book	Bills Receivable drawn
(b) Bills Payable Book	Bills Payable accepted
IV. **Journal Proper**	Transactions not covered elsewhere

3.0 ADVANTAGES OF SPECIAL JOURNALS (OR SUBSIDIARY BOOKS)

The advantages of using Special Journals are as follows:

1. **Facilitates division of work** — The accounting work can be divided among many persons.
2. **Permits the installation of Internal Check System** — The accounting work can be divided in such a manner that the work of one person is automatically checked by another person. With the use of internal check, the possibility of occurrence of error/fraud may be avoided.
3. **Permits the use of specialized skill** — The accounting work requiring specialised skill may be assigned to a person possessing the required skill. With the use of a specialised skill, prompt, economical and more accurate supply of accounting information may be obtained.

4. **Time and labour saving in journalizing and posting** — *For instance,* when Sales Book is kept, the name of Sales Account will not be required to be written down in the Journal as many times as the sales transactions and at the same time, Sales Account will not be required to be posted again and again since only a periodic total of Sales Book is posted to the Sales Account.

4.0 MEANING AND TYPES OF CASH BOOKS

Meaning of Cash Book

A Cash Book is a special journal which is used for recording all Cash Receipts and Cash Payments.

Cash Book — both a Journal and a Ledger

The Cash Book is a book of original entry (*or* Prime Entry) since transactions are recorded for the first time from the source documents. The Cash Book is a ledger in the sense that it is designed in the form of a Cash Account and records Cash receipts on the debit side and cash payments on the credit side. Thus, the Cash Book is both a journal and a ledger.

Types of Cash Books

The various types of Cash Book from the point of view of uses may be as follows:

1. Single Column Book
2. Cash Book with Discount Column
3. Cash Book with Bank & Discount Column
4. Petty Cash Book

5.0 SINGLE COLUMN CASH BOOK

Meaning of Single Column Cash Book

Single Column Cash Book has one amount column on each side. All cash receipts are recorded on the debit side and all cash payments on the credit side. In fact, this book is nothing but a Cash Account. Hence, there is no need to open Cash Account in the ledger.

Format of Single Column Cash Book

Debit Side **SINGLE COLUMN CASH BOOK** Credit Side

Date	*Particulars*	*L.F.*	*Amount* ₹	*Date*	*Particulars*	*L.F.*	*Amount* ₹

ILLUSTRATION 1

Enter the following transactions in Single Column Cash Book:

Date	*Particulars*	*₹*
2013		
Jan. 1	Cash in hand	1,700
5	Paid to R. Bansal	300
	Discount allowed by him	10
8	Purchased goods from Goyal & Co. for cash	400
10	Received from R. Kansal	980
	Discount allowed	20
16	Sold goods to Garg & Co. for cash	400
21	Paid to S. Ansel	295
	Discount received	5
25	Paid wages	50
31	Paid to X & Co. in full settlement of his account which shows a credit balance of ₹ 400	390
31	Purchased furniture	200

SOLUTION

Dr. **CASH BOOK** *Cr.*

Date	*Particulars*	*L.F.*	*₹*	*Date*	*Particulars*	*L.F.*	*₹*
2013				2013			
Jan. 1	To Balance b/d		1,700	Jan. 5	By R. Bansal		300
10	To R. Kansal		980	8	By Purchases		400
15	To Sales A/c		400	21	By S. Ansel		295
				25	By Wages A/c		50
				31	By X & Co.		390
					By Furniture		200
					By Balance c/d		1,445
			3,080				3,080
2013							
Feb. 1	To Balance b/d		1,445				

ILLUSTRATION 2

Prepare a Simple Cash Book from the following transactions of Mr Ram Gopal of Delhi.

2013		*₹*	*2013*		*₹*
April 1	Mr Ram Gopal Commenced business with cash	8,000	April 17	Paid for stationery Paid for office furniture	15 185
3	He bought goods for cash	5,000	21	Received from	
5	Sold goods for cash	100		Mr Kailash Chand	680
6	Received cash from		22	Paid for advertising	90
	Mr Manohar Lal	360	25	Purchased Postage	
9	Paid into bank	3,000		stamps	8
13	Paid cash to Hari Krishan	215	28	Paid rent	100
16	Sold goods for cash	1,500	30	Paid electricity charges	15

SOLUTION

Dr. **CASH BOOK** *Cr.*

Date	*Particulars*	*L.F.*	₹	*Date*	*Particulars*	*L.F.*	₹
2013				2013			
April 1	To Capital A/c		8,000	April 3	By Purchases A/c		5,000
5	To Sales A/c		100	9	By Bank A/c		3,000
6	To Manohar Lal		360	13	By Hari Krishan		215
16	To Sales A/c		1,500	17	By Stationery A/c		15
21	To Kailash Chand		680	18	By Furniture A/c		185
				22	By Advertising A/c		90
				25	By Postage A/c		8
				28	By Rent A/c		100
				30	By Electricity Charges A/c		15
				30	By Balance c/d		2,012
			10,640				10,640
May 1	To Balance b/d		2,012				

6.0 CASH BOOK WITH DISCOUNT COLUMN

Meaning of Cash Book with Discount Column

Cash Book with Discount Column has two amount columns (one for Cash and another for Discount) on each side. All Cash Receipts and Cash Discount allowed are recorded on the debit side and all Cash Payments and Cash Discount received are recorded on the credit side.

Format of Cash Book with Discount Column

Debit Side **CASH BOOK WITH DISCOUNT COLUMN** Credit Side

Date	*Particulars*	*L.F.*	*Discount* ₹	*Cash* ₹	*Date*	*Particulars*	*L.F.*	*Discount* ₹	*Cash* ₹

ILLUSTRATION 3

Prepare a Two Column Cash Book from the following transactions of Shri R. K. Gupta:

Date	*Particulars*	*₹*
2013		
Jan.1	Cash in hand	4,000
6	Cash Purchases	2,000
10	Wages paid	40
11	Cash Sales	6,000
12	Cash received from Suresh and	1,980
	allowed him discount	20
19	Cash paid to Munna	2,470
	and discount received	30
27	Cash paid to Radhey	400
28	Purchased goods for cash	2,070

SOLUTION

Dr. **TWO COLUMN CASH BOOK OF SHRI R.K. GUPTA** *Cr.*

Date	*Particulars*	*L.F.*	*Discount* ₹	*Cash* ₹	*Date*	*Particulars*	*L.F.*	*Discount* ₹	*Cash* ₹
2013					2013				
Jan. 1	To Balance b/d			4,000	Jan. 6	By Purchases A/c			2,000
11	To Sales A/c			6,000	10	By Wages A/c			40
	To Suresh		20	1,980	19	By Munna		30	2,470
					27	By Radhey			400
					28	By Purchases A/c			2,070
					31	By Balance c/d			5,000
			20	11,980				30	11,980
2013									
Feb.1	To Balance b/d			5,000					

7.0 THREE COLUMN CASH BOOK

Meaning of Three Column Cash Book

Three Column Cash Book has three amount columns (one for Cash, one for Bank and one for Discount) on each side. All Cash Receipts, Deposits into Bank and Discount Allowed are recorded on debit side and all Cash Payments, Withdrawals from bank and Discount Received are recorded on the credit side. In fact, a three column cash book serves the purpose of Cash Account and Bank Account. Hence, there is no need to open these two accounts in the ledger.

Format of Three Column Cash Book

Debit side **THREE-COLUMN CASH BOOK** Credit Side

Date	*Particulars*	*L.F.*	*Dis-count* ₹	*Cash* ₹	*Bank* ₹	*Date*	*Particulars*	*L.F.*	*Dis-count* ₹	*Cash* ₹	*Bank* ₹

Posting from Main Cash Book

The various items appearing on the debit side and credit side of the Cash Book are posted as follows:

Posting of items appearing on debit side	***Posting of items appearing on credit side***
(a) **All the receipts** appearing on the debit side are **posted to the credit** of the respective ledger accounts in the ledger by writing 'By Cash/Bank A/c' in the particulars column since cash/cheque has been received in respect of them.	**All the payments** appearing on the credit side are **posted to the debit** of the respective ledger accounts in the ledger by writing 'To Cash/Bank A/c' in the particulars column since cash/cheque has been paid in respect of them.
(b) **An individual entry in the discount allowed column** is **posted to** the **credit** of the respective personal accounts in the ledger by writing 'By Discount Allowed A/c' in the particulars column.	**An individual entry in the discount received column** is **posted to** the **debit** of the respective personal accounts in the ledger by writing 'To Discount Received A/c' in the particulars column.
(c) **The total of discount allowed column on** the **debit side** is **posted to** the **debit of** the **'Discount Allowed A/c'** in the ledger by writing 'To Sundries as per Cash Book' in the particulars column.	**The total of discount received column on** the **credit side** is **posted** to the **credit of the 'Discount Received A/c'** in the ledger by writing 'By Sundries as per Cash book' in the particulars column.

TUTORIAL NOTES

1. *Cash account is not opened in the ledger since the 'Cash column' in the Cash Book serves the purpose of a Cash Account.*
2. *In case of a Cash Book with Bank Column, Bank Account is not opened in the ledger since the 'Bank column' in the Cash Book serves the purpose of a Bank Account.*
3. *In case of Cash Book with Discount column, 'Discount Allowed Account' and 'Discount Received Account' are opened in the ledger since the Cash Book does not serve the purpose of Discount Account.*
4. *In case of Cash Book with Discount Column, 'Discount Columns' are totalled and never balanced.*
5. *Posting in the 'Discount Allowed Account' and 'Discount Received Account' are made only for the totals and not for the individual transactions.*
6. *All Contra entries (i.e., entries of which debit and credit aspects are simultaneously recorded in the Cash Book. e.g. cash deposited into the Bank or Cash withdrawn from the Bank) are ignored while posting from Cash Book to the Ledger since both the aspects (Debit and Credit) are recorded in the Cash Book itself. These entries are marked with letter 'C' in Ledger Folio Column.*
7. *Whenever cheques/drafts received are not deposited immediately into the bank, then all such receipts should be first recorded as 'Cheques-on-hand' in the Journal Proper and subsequently, when these are deposited into the bank, the same should be recorded on debit side in 'Bank Column' by writing ' To Cheques-on-hand A/c' in the particulars column.*
8. *Unless otherwise indicated it is presumed that the cheque received has been deposited on the very same day.*

ILLUSTRATION 4

Prepare a Three Column Cash Book of M/s Tulsian & Co. from the following particulars.

2013	
Jan. 1	Cash in hand ₹ 50,000, Bank Overdraft ₹ 20,000.
2	Paid into bank ₹ 10,000.
3	Bought goods from Hari for ₹ 200 for cash.
4	Bought goods for ₹ 2,000 paid cheque for them, discount allowed 1%.
5	Sold goods to Mohan for cash ₹ 1,175.
6	Received a crossed cheque from Shyam to whom goods were sold for ₹ 800. Discount allowed 12.5%.
7	Shyam's cheque deposited into bank.
8	Purchased an old typewriter for ₹ 200. Spent ₹ 50 on its repairs.
9	Bank notified that Shyam's cheque has been returned dishonoured and debited the account in respect of charges ₹ 10.
10	Received a money order for ₹ 25 from Hari.
11	Shyam settled his account by means of a crossed cheque for ₹ 820, ₹ 20 being for interest charged.
12	Withdrew from bank ₹ 10,000.
18	Discounted a B/E for ₹ 1,000 at 1% through bank.
20	Honoured our own acceptance by cheque ₹ 5,000.
22	Withdrew for personal use ₹ 1,000.
24	Paid trade expenses ₹ 2,000.

25	Withdrew from bank for private expenses ₹ 1,500.
26	Purchased machinery from Rajiv for ₹ 5,000 and paid him by means of a bank draft purchased for ₹ 5,005.
27	Issued cheque to Ram Saran for cash purchase of furniture ₹ 1,575.
28	Received a crossed cheque for commission ₹ 500 from R. & Co. and deposited into bank.
29	Ramesh who owed us ₹ 500 became bankrupt and paid us 50 paise in the rupee.
30	Received payment of a loan of ₹ 5,000 and deposited ₹ 3,000 out of its into bank.
31	Paid rent to landlord 'Mohan' by a cheque of ₹ 220.
31	Interest allowed by bank ₹ 30.
31	Half yearly bank charges ₹ 50.

SOLUTION

[See Solution on page 9.10]

8.0 PETTY CASH BOOK

Meaning of Petty Cash Book

Petty Cash Book is the book which is used to record the payments of Petty Cash Expenses.

Meaning of Petty Cashier

Petty Cashier is the person who is authorised to make payments of Petty Cash Expenses and to record them in Petty Cash Book.

Features of Petty Cash Book

The main features of petty cash book are as follows:

1. The amount of cash received from the main cashier is recorded on the left hand side column.
2. The payments of petty cash expenses are recorded on the right hand side in the respective columns.
3. It can never show a credit balance because the cash payments can never exceed the cash receipts.
4. Its balance represents unspent petty cash in hand.
5. Recording is done on the basis of internal as well as external vouchers. Whenever external vouchers are not received, (e.g. in case of autorickshaw charges, coolie charges, postage stamps etc.), internal vouchers are prepared and got verified by an authorised person.
6. All the columns of expenses are totalled periodically and such periodic totals are individually posted to the debit side of the respective expenses accounts in the ledgers by writing 'To Sundries as per Petty Cash Book' in the particulars column.
7. Petty Cash Book is both a book of original entry as well as a book of final entry. In other words, it serves the purpose of both journal and ledger. It is a journal in the sense that all petty cash payments are recorded in it for the first time from the source documents. It is a ledger in the sense that it serves the purpose of 'Petty Cash Account' in which cash receipts from main cashier are recorded on the debit side and cash payments are recorded on the credit side. Hence, there is no need to open Petty Cash Account in the ledger.

Solution to Illustration 4:

THREE COLUMN CASH BOOK OF M/S TULSIAN & CO.

Dr. *Cr.*

Date	*Particulars*	*L.F.*	*Discount* ₹	*Cash* ₹	*Bank* ₹	*Date*	*Particulars*	*L.F.*	*Discount* ₹	*Cash* ₹	*Bank* ₹
2013						2013					
						Jan. 1	By Balance b/d				20,000
Jan. 1	To Balance b/d			50,000		Jan. 2	By Bank A/c	C		10,000	
2	" Cash	C			10,000	3	" Purchases A/c			200	
5	" Sales			1,175		4	" Purchases A/c		20		1,980
7	" Cheque-on-hand				700	8	" Typewriter			200	
10	" Hari			25			" Typewriter			50	
11	" Shyam				820	9	" Shyam		100		700
							" Bank charges				10
12	" Bank	C		10,000		12	" Cash	C			10,000
18	" B/E		10		990	20	" B/P				5,000
28	" Commission				500	22	" Drawings			1,000	
29	" Ramesh			250		24	" Trade expenses			2,000	
30	" Loans			5,000		25	" Drawings				1,500
	" Cash	C			3,000	26	" Machinery				5,000
31	" Interest				30		" Draft Commission				5
31	" Balance c/d				30,000	27	" Furniture				1,575
	(Bank overdraft)					30	" Bank	C		3,000	
						31	" Rent				220
							" Bank charges				50
							" Balance c/d			50,000	
			10	66,450	46,040				120	66,450	46,040
2013						2013					
Feb. 1	To Balance b/d			50,000		Feb. 1	By Balance b/d				30,000

Similarities between Main Cash Book and Petty Cash Book

1. Both are books of original entry. In other words, both serve the purpose of journal. Both are journal in the sense that the transactions are recorded in it for the first time from the source documents.
2. Both are books of final entry. In other words, both serve the purpose of ledger. Both are ledger in the sense that main cash book serves the purpose of 'Main Cash Account' and 'Bank Account' (only in case of three column cash book) and Petty Cash Book serves the purpose of 'Petty Cash Account'.

Differences between Main Cash Book and Petty Cash Book

1. In the Main Cash Book **all Cash Receipts** are recorded whereas in the Petty Cash Book only **Cash Receipts from Main Cashier** are recorded.
2. In the Main Cash Book **all Cash Payments except payments of Petty Cash Expenses**, are recorded whereas in the Petty Cash Book **only Payments of Petty Cash Expenses** are recorded.

Imprest vs. Non-Imprest System of Petty Cash Book

(a) **Meaning of Imprest or Float —** The amount which the main cashier hands over to the petty cashier in order to meet the petty cash expenses of a given period is known as 'Imprest' or 'Float'.

(b) Petty Cash book may be maintained on Imprest System *or* Non-imprest System.

(i) **Imprest System of Petty Cash —** Under Imprest System, the Chief Cashier makes the reimbursement of the amount spent by the petty cashier and the Petty Cashier again has the same amount of petty cash at the end as in the beginning.

(ii) **Non-Imprest System of Petty Cash —** Under Non-Imprest System, the Chief Cashier may hand over the cash to the Petty Cashier equal to/ more than/less than the amount spent by the petty cashier. The Petty cashier may or may not have the same closing balance of petty cash as opening balance.

(c) Imprest System of Petty Cash — The features of Imprest System of Petty Cash are as follows:

1. **Estimation by Chief Cashier —** The Chief Cashier **estimates** the total petty cash expenses for a particular fixed period.
2. **Advances by Chief Cashier —** The Chief Cashier **advances** the estimated amount to the petty cashier in the beginning of the period.
3. **Submission of Petty Cash Book by Petty Cashier —** The Petty Cashier **submits** the petty cash book alongwith supporting vouchers to the chief cashier at the end of the period.
4. **Examination of Petty Cash Book by Chief Cashier —** The Chief Cashier **examines** the petty cash book.
5. **Reimbursement of Amount Spent —** The Chief Cashier **makes the reimbursement** of the amount spent by the Petty Cashier.

6. **Availability of Same Amount of Petty Cash —** The Petty Cashier **again** has the **same amount** of petty cash in the beginning of new period.

(d) Advantages of Imprest System of Petty Cash

1. **Control over Mistakes**	The choices of mistakes are reduced since the chief cashier regularly examines the petty cash book.
2. **Control over Petty Expenses**	Petty expenses are kept within the limits imprest since the petty cashier can never of spend more than the available petty cash.
3. **Control over Fraud**	Misappropriation if any, is always kept within the limits of imprest.

Format of Petty Cash Book

The format of Petty Cash Book may be designed according to the requirements of the business. However, the simplest form is given below:

PETTY CASH BOOK

Receipts				*Payments*									
Date	*Particulars*	*Cash Book Folio*	*Total* ₹	*Date*	*Particulars*	*Voucher No.* ₹	*Postage Telegram* ₹	*Conveyance Travelling* ₹	*Staff Welfare Entertainment* ₹	*Cartage* ₹	*Printing & Stationery* ₹	*Misc. Items* ₹	*Total*

Advantages of Petty Cash Book

1. **Saving of Chief Cashier's Time —** The time of chief cashier is saved when petty expenses are recorded in petty cash book.
2. **Saving of Labour in Posting —** There is saving in labour in posting because of the following two reasons:

(a) limited number of accounts are opened for heads of petty expenses only,

(b) periodical totals (say monthly) of each column of expenses are posted to the debit of the respective ledger accounts.

3. **Control over Mistakes —** The chances of mistakes are reduced since the chief cashier regularly examines the petty cash book.
4. **Control over Petty Expenses —** Petty expenses are kept within the limits of imprest since the petty cashier can never spend more than the available petty cash.
5. **Control over Fraud —** Misappropriation if any, is always kept within the limits of imprest.
6. **Benefits of Specialisation —** The benefits of specialisation are available since recording of cash transactions is divided between main cash book and petty cash book.

Posting from Petty Cash Book

All the heads of expenses (including miscellaneous) are totalled periodically (usually monthly) and such periodic totals are individually posted to the debit side of the concerned ledger accounts in the ledger by writing 'To Sundries as per Petty Cash Book' in the particulars column. The ledger folio number is written under every total amount of expense to indicate that the entry has been posted in the ledger. In the folio column of the ledger account, the page number of the petty cash book is written.

ILLUSTRATION 5

Insert the following transactions in Tabular Petty Cash Book. On 1st Feb. 2013 ₹ 4,000 were given to Petty Cash Clerk.

Date	*Particulars*	₹
2013		
Feb. 1	Chowkidar Wages	1,500
2	Pencils	525
8	Railways freight on account of books	231
12	Postage Stamps	125
14	Telegrams	244
15	Sundry Expenses	056

SOLUTION

PETTY CASH BOOK

Cash Receipts ₹	*Date*	*Particulars*	*V. No*	*Total Amount paid* ₹	*Printing & Stationery* ₹	*Wages* ₹	*Postage & Stamps* ₹	*Carriage* ₹	*Misc. Exp.* ₹
	2013								
4,000	Feb. 1	To Cash							
	1	By Chowkidar Wages	1	1,500		1,500			
	2	By Pencils	2	525	525				
	8	By Railway freight	3	231				231	

	12	By Postage & Stamps	4	125			125		
	14	By Telegram	5	244			244		
	15	By Sundry Expenses	6	56					56
		Total Payment		2,681	525	1,500	369	231	56
	28	By Balance c/d		1,319					
4,000		Grand Total		4,000					
	March								
1,319	1	To Balance b/d							
2,681	1	To Cash							

THEORETICAL QUESTIONS

1. Why is a Journal sub-divided?
2. How is a Journal sub-divided?
3. What is a Special Journal?
4. List any four Special Journals.
5. State any two advantages of using Special Journals.
6. What is a Cash Book?
7. Explain that the Cash book is a journal as well as a ledger account.
8. List the various types of Cash Books.
9. What is a Single Column Cash Book?
10. Can there be a credit balance in a Simple Cash Book? State with reason.
11. Name the account which is not opened in the ledger in the case of a Single Column Cash Book.
12. What is a Cash Book with Discount Column?
13. Can there be a credit balance in a Cash Book with Discount Column? State with reason.
14. Name the account which is not opened in the ledger in the case of a Cash Book with Discount Column.
15. What is a Three Column Cash Book?
16. Can there be a Credit Balance in a Three Column Cash Book? State with reason.
17. Name the accounts which are not opened in the ledger in the case of a Three Column Cash Book.
18. If the total of Bank Column on credit side exceeds the total of Bank Column on debit side, what does it indicate?
19. Which discount is recorded in the discount column of a Cash Book?
20. Which discount is recorded on the debit side of a Cash Book?
21. Which discount is recorded on the credit side of a Cash Book?
22. Can the total of Discount Allowed Column exceed the total of Discount Received Column?
23. Are the discount Columns of Cash Book balanced?

24. How are the discount columns of a Cash Book posted in the ledger?

25. What is a Contra Entry?

26. Give two examples of Contra Entry.

27. How is Contra Entry distinguished from other entries?

28. What is a Petty Cash Book?

29. Who is Petty Cashier?

30. Explain the meaning of Imprest System of Petty Cash.

31. Explain the method of posting the Petty Cash Book.

32. State the name and side of the account to which Total of Discount Column on the credit side of the Cash Book would be posted.

33. State the name and side of the account to which Cash received from a Customer for goods sold on credit would be posted.

34. State the name and side of the account to which Cash paid to a Supplier for goods bought on credit would be posted.

35. State the name and side of the account to which Cash paid for purchase of furniture would be posted.

36. State the name and side of the account to which Cash received for sale of old furniture would be posted.

37. State the name and side of the account to which a Sale to Ram for Cash would be posted.

38. State the name and side of the account to which a Purchase from Shyam for Cash would be posted.

PRACTICAL QUESTIONS

1. Enter the following transactions in Single Column Cash Book:

Date	*Particulars*	₹
2013		
Jan. 1	Cash in hand	3,400
5	Paid to R. Bansal	600
	Discount allowed by him	20
8	Purchased goods from Goyal & Co. for Cash	800
10	Received from R. Kansal	1,960
	Discount allowed	40
16	Sold goods to Garg & Co. for Cash	800
21	Paid to S. Ansel	590
	Discount received	10
25	Paid wages	100
31	Paid to X & Co. in full settlement of his account	
	which shows a credit balance of ₹ 800	780
31	Purchased furniture	400

[**Ans.** Cash Balance ₹ 2,890]

3. Prepare a Two Column Cash Book from the following transactions of Shri R. K. Gupta:

Date	*Particulars*	₹
2013		
Jan. 1	Cash in hand	8,000
6	Cash Purchases	4,000
10	Wages paid	80
11	Cash Sales	12,000
12	Cash received from Suresh and	3,960
	allowed him discount	40
19	Cash paid to Munna	4,940
	and discount received	60
27	Cash paid to Radhey	800
128	Purchased goods for cash	4,140

[**Ans.** Cash Balance ₹ 10,000]

4. Prepare a Three Column Cash Book of M/s Tulsian & Co. from the following particulars.

2013	
Jan. 1	Cash in hand ₹ 1,00,000, Bank Overdraft ₹ 40,000
2	Paid into bank ₹ 20,000.
3	Bought goods from Hari for ₹ 400 for cash.
4	Bought goods for ₹ 4,000 paid cheque for them, discount allowed 1%.
5	Sold goods to Mohan for cash ₹ 2,350.
6	Received a Crossed cheque from Shyam to whom goods were sold for ₹ 1,600. Discount allowed 12.5%.
7	Shyam's cheque deposited into bank.

8	Purchased an old typewriter for ₹ 400. Spent ₹ 100 on its repairs.
9	Bank notified that Shyam's cheque has been returned dishonoured and debited the account in respect of charges ₹ 20.
10	Received a money order for ₹ 50 from Hari.
11	Shyam settled his account by means of a Crossed Cheque for ₹ 1,640, ₹ 40 being for interest charged.
12	Withdrew from bank ₹ 20,000.
18	Discounted a B/E for ₹ 2,000 at 1% through bank.
20	Honoured our own acceptance by cheque ₹ 10,000.
22	Withdrew for personal use ₹ 2,000.
24	Paid trade expenses ₹ 4,000.
25	Withdrew from bank for private expenses ₹ 3,000.
26	Purchased machinery from Rajiv for ₹ 10,000 and paid him by means of a bank draft purchased for ₹ 10,010.
27	Issued cheque to Ram Saran for cash purchase of furniture ₹ 3,150.
28	Received a Crossed Cheque for commission ₹ 1,000 from R. & Co. and deposited into bank.
29	Ramesh who owed us ₹ 1,000 became bankrupt and paid us 50 paise in the rupee.
30	Received payment of a loan of ₹ 10,000 and deposited ₹ 6,000 out of its into bank.
31	Paid rent to landlord 'Mohan' by a cheque of ₹ 440.
31	Interest allowed by bank ₹ 60.
31	Half yearly bank charges ₹ 100.

[**Ans.** Cash Balance ₹ 1,00,000, Bank Overdraft ₹ 60,000]

5. Insert the following transactions in Tabular Petty Cash Book. On 1st Feb. 2013 ₹ 240 were given to Petty Cash Clerk.

Date	*Particulars*	*₹*
Feb. 1	Chowkidar Wages	90.00
2	Pencils	31.50
8	Railways freight on account of books	13.86
12	Postage Stamps	7.50
10	Telegrams	14.64
15	Sundry Expenses	3.36

Unit II: Supplementary Material

Topics added to complete the Unit II syllabus

The syllabus for Unit II (Accounting Process) lists: single vs double entry, journal, ledger, cash and bank, and trial balance. The Tulsian chapters in this PDF cover journal, ledger, posting, balancing and the cash book (including the bank column). The pages that follow add the remaining topics from freely available textbooks:

A. Single entry vs double entry system
   NCERT Class 11 Accountancy, Financial Accounting Part I, Ch. 2, Section 2.3 (Systems of Accounting)
   NIOS Senior Secondary Accountancy (320), Lesson 21: Accounts from Incomplete Records (single entry system: features, uses, limitations, statement of affairs, conversion method)

B. Cash and bank: Bank Reconciliation Statement
   NCERT Class 11 Accountancy, Financial Accounting Part I, Ch. 5

C. Trial balance
   NCERT Class 11 Accountancy, Financial Accounting Part I, Ch. 6: Trial Balance and Rectification of Errors (meaning, objectives, methods of preparation, errors that do and do not affect the trial balance, suspense account)

Source: NCERT (ncert.nic.in) and NIOS (nios.ac.in) textbooks. Page numbers inside these chapters are those of the original books.

2.3 Systems of Accounting

The systems of recording transactions in the book of accounts are generally classified into two types, viz. Double entry system and Single entry system. Double entry system is based on the principle of "Dual Aspect" which states that every transaction has two effects, viz. receiving of a benefit and giving of a benefit. Each transaction, therefore, involves two or more accounts and is recorded at different places in the ledger. The basic principle followed is that every debit must have a corresponding credit. Thus, one account is debited and the other is credited.

Double entry system is a complete system as both the aspects of a transaction are recorded in the book of accounts. The system is accurate and more reliable as the possibilities of frauds and mis-appropriations are minimised. The arithmetic inaccuracies in records can mostly be checked by preparing the trial balance. The system of double entry can be implemented by big as well as small organisations.

Single entry system is not a complete system of maintaining records of financial transactions. It does not record two-fold effect of each and every transaction. Instead of maintaining all the accounts, only personal accounts and cash book are maintained under this system. In fact, this is not a system but a lack of system as no uniformity is maintained in the recording of transactions. For some transactions, only one aspect is recorded, for others, both the aspects are recorded. The accounts maintained under this system are incomplete and unsystematic and therefore, not reliable. The system is, however, followed by small business firms as it is very simple and flexible (you will study about them in detail later in this book).

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ACCOUNTS FROM INCOMPLETE RECORDS

We have studied so far the Double Entry System of accounting. According to this system, both the aspects of a transaction are recorded. Another system of recording transactions called Single Entry System also exists, under which both the aspects of a transaction may not be recorded. Unlike Double Entry System in Single Entry system, no set rules are followed. Even the books of account to be maintained are not certain. Usually, under this system the cash book and personal ledgers are maintained : real and nominal accounts are not. In this system because both the aspects of transactions are not recorded the system is known as 'Accounts from Incomplete ecords' or 'Single Entry System of Accounting'. Sometimes accounts that had been maintained, on double entry system may be rendered incomplete because of the happening of certain events like fire, floods, earthquakes etc. Accounting records that are not maintained according to Double Entry System are known as Accounts from Incomplete Records or Single Entry System of Accounting.

OBJECTIVES

After studying this lesson you will be able to:

- state the meaning of Single Entry System;
- explain uses and limitations of Single Entry System/Accounts from Incomplete Records;
- explain ascertainment of profit/loss by conversation method.
- ascertainment of profit /loss by statement of affairs method;
- ascertain the missing figures of total debtors, total creditors, B/R A/c and Cash Book;



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- ascertain capital with begining by preparing opening statement of affair and
- prepare final accounts.

21.1 DEFINATION

Kohler defines Single Entry System as, "*A system of book keeping in which as a rule only records of cash and of personal accounts are maintained, it is always incomplete double entry varying with the circumstances.*"

Sometimes, the term Single Entry System is mistakenly understood that under this system only one aspect of a transaction is recorded in the books. This is not ture. The fact remains that under this system, while for certain transactions both the aspects are recorded, for others only one aspect is recorded and some trasactions are even ignored.

Features

The features of the Single Entry System are as follows :

i. **Suitability :** This system is suitable for small businesses such as sole trader or partnership firm. Limited companies due to legal provisions, cannot maintain accounting books on Single Entry System.

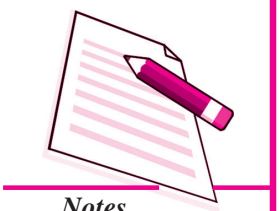
ii. **Preparation of Cash Book :** Generally, a Cash Book is prepared in this system in which business as well as private transactions are mixed up.

iii. **Preparation of Personal Accounts :** Normally under this system, only personal accounts are prepared and real and nominal accounts are avoided.

iv. **No Uniformity :** This system may differ from firm to firm, because same principles are not followed by all the enterprises.

v. **Requirement of Original Vouchers :** Usually under this system, we have to depend on originally vouchers for collecting the necessary informations.

vi. **Preparation of Final Accounts :** In the absence of all nominal and real accounts the final accounts cannot be prepared easily. It is posible after converting the available information into double entry system and missing amounts are determined then Trading & Profit & Loss A/c can be prepared. The amount of all assets and all liabilities can also be computed from incomplete records, but they are based on estimates. That is the reason that the statement of assets and liabilities prepared under this system at the end of an accounting period is called a Statement of Affairs instead of Balance Sheet.



Notes

21.2 USES OF SINGLE ENTRY SYSTEM

Uses of Single Entry System are as follows :

i. **Simple Method :** Single entry is a very simple method of recording business transactions.

ii. **Less Expensive :** It is less expensive when it is compared to Double Entry System of book keeping.

iii. **Suitable for Small Concerns :** It is mainly suited to small business concerns with limited number of transactions and very few assets and liabilities.

iv. **No Need of Knowledge of Principles of Book Keeping :** Under Single Entry System, accounting records can be easily maintained as their maintenance does not require knowledge of the principles of book keeping.

v. **Easy to Ascertain Profit or Loss :** Ascertainment of profit or loss in much easier. To ascertain profit or loss, the proprietor has to compare the financial position of business at the close of the accounting period with that at the beginning.

Limitations of Single Entry System

Single Entry System provides the incompleteness and in sufficiency of information, hence it has the following limitations :

i. **Arithmetical Accuracy Cannot be Proved :** Trial Balance can not be prepared and hence, arithmetical accuracy of books cannot be proved or tested. Chances of error, mischief of fraud remaining undetected are high.

ii. **No Control on Assets :** Since asset accounts are not maintained, it may be difficult to keep full control, in order to avoid misappropriations of assets.

iii. **True Profits cannot be Known :** Trading and Profit and Loss Account cannot be prepared and hence, the correct profit earned or loss suffered during the accounting period is not known.

iv. **Financial Position of the Business cannot be Judged :** Balance Sheet, called Statement of Affairs under Single Entry System, is prepared in an unsatisfactory manner. The asets and liabilities are not provided from records but are put down by physical inspection and on estimated basis. Hence, Balance Sheet cannot be drawn up with a view to ascertaining the true financial position of the business on a particular date. Thus, exact position of total net assets cannot be known.



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v. **No Internal Check :** Since internal check is not possible, the method gives enough room for errors and frauds, besides their detection is very difficult.

vi. **Difficult to Ascertain the Business Value :** The records being inadequate, it is difficult to value the business, especially goodwill.

vii. **Inadequate for Planning and Control :** Accounting information supplied by the accounting records is inadequate for managerial planning and control.

viii. **Incomplete and Unscientific System :** This system is incomplete and unscientific as both the aspects fo a transactions are not recorded and no set rules are followed for recording them.

ix. **Comparative Study is Difficult :** A major defect of this system is that the financial position of the current year cannot be compared with that of the previous year due to incomplete information of transactions of business.

INTEXT QUESTIONS 21.1

I. Fill in the blanks with appropriate words :

i. The assets and liabilities are put down by physical and _____.

ii. Single Entry System is a very _____ method of recording business transactions.

iii. Single Entry System is _____ expensive as compared to Double Entry System of book keeping.

II. State whether the following statements are true or false :

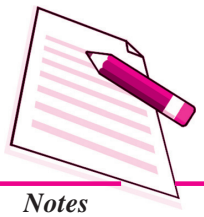
i. A statement of Affairs prepared from incomplete records provides satisfactory information.

ii. Prepration of incomplete records is scientific system.

iii. Comperative study is difficult in Single Entryf System.

21.3 ASCERTAINING PROFIT FROM INCOMPLETE RECORDS

We know that the main purpose of any business is to earn profit. Every business owner, therefore, is desirous to know whether he has earned profit or incurred loss after a certain period of time generally at the end of a year. In fact, to ascertain profit



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or loss becomes all the more essential if the business happens to be a partnership firm because the partners have to share the profits of the firm at the end of the each accounting period. Then, the question arises as to how to ascertain profits when the accounting records are incomplete. The reason is that Profit and Loss Account cannot be prepared in the absence of Trial Balance. In such a situation, there are two methods used for ascertaining profits of the business. They are :

i. Net Worth Method or Statement of Affairs Method, and

ii. Conversion Method

Net Worth Method or Statement of Affairs Method

To ascertain profit, from incomplete records, it is necessary to prepare a Statement of Affairs at the end of the year and also at the beginning of the year, if not already prepared.

A Statement of Affairs is a statement of all assets and liabilities. The difference between the amount of the two sides is taken as capital.

Like the Balance Sheet, the Statement of Affairs has two sides - the right-hand side for assets and the left-hand side for liabilities. To prepare the statment, information has to be collected from various sources. Information about assets will be available from the Cash Book, the Personal Ledger, etc. The value of the Closing Stock will be ascertained by preparing Stock Sheets and valuing the Stock in Hand, at lower of cost and market value. If the trader has any other assets also, like furniture, machinery, etc., the value will be ascertained and included among the assets. The business is likely to have full knowledge of the amounts owing to outsiders. The difference between the total of assets and liabilities will be capital.

Capital = Total Assets - Total Liabilities

For ascertaining profit the capital in the beginning of the year must also be ascertained, if necessary, by preparing a Statement of Affairs as at the beginning of the year. If the capital at the end of the year exceeds that at the beginning, we can say that there has been a profit. If, on the other hand, the capital in the beginning was more than that at the end, there must have been a loss. However, two adjustments must be borne in mind for ascertaining profit :

i. **Adjustments for Capital Introduced :** If the proprietor broght in some additional capital during the year, it should be deducted from the capital at the end (since this increase is not due to profit but is due to fresh introduction of capital); and



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ii. **Adjustement for Drawings :** The drawings of the proprietor should be added to the capital at the end. Had the drawings not been made, the capital at the close of the year would have been higher.

Formula : Formula for determining the profit is put as follows :

Profit = (Capital at the end + Drawing - Additional Capital Introduced - Capital at the beginning)

The above formula may be shown as follows in the form of Statement of Profit or Loss :

Statement of Profit or Loss
for the year ended .....

Particulars	₹
Capital at the end	.....
Add : Drawings during the year	.....
Less : Additional Capital introduced during the year	.....
Adjusted Capital at the end	.....
Less : Capital in the beginning	.....
Profit or Loss for the year	.....

Now the procedure explained above can be simply summarised as follows :

i. First, prepare Statement of Affairs at the beginning for calculating capital in the beginning.

ii. Then, prepare Statement of Affairs at the end in order to calculate capital at the end.

iii. Adjust the capital at the end by adding drawings, and deducting therefrom capital introduced during the year.

iv. From the adjusted capital at the end deduct capital in the beginning. This difference is either a profit or a loss.

Look at the following illustration and study how opening and closing capital are determined by preparing Statement of Affairs and then how profit is ascertained after making the necessary adjustments for additional capital and drawings.

Illustration 1

Ram maintains books on Single Entry System. He gives you the following information:

	₹
Capital on April 1, 2013	60,800
Capital on April 1, 2014	67,600
Drawings made during the Period : April 2013 to March 2014	19,200
Capital introduced on August 1, 2013	8,000

You are required to calculate profit or loss made by Ram.

Solution :

Statement of Profit or Loss
for the year ended March 31, 2014

Particulars	₹
Capital as on April 1, 2013	67,600
Add: Drawings made during the period :	
April 2013 to March 2014	19,200
	86,800
Less : Capital introduced on August 1, 2013	8,000
Adjusted Capital on April 1, 2014	78,800
Less: Capital on April 1, 2013	60,800
Profit made during the period	18,000

Illustration : 2

Rani who keeps her books on Single Entry System, tells you that her capital on 31st March, 2014 was ₹ 18,700 and her capital on 1st April, 2013 ₹ 19,200. She has withdrawn ₹ 8,420 for household purposes 8,420. She once sold her investment of ₹ 2,000 at 2% premium and brought that money into the business.

You are required to prepare a Statement of Profit or Loss.

Solution :

Statement of Profit or Loss
for the year ended March 31, 2014

Particulars	₹
Capital at the end (as given)	18,700
Add: Drawings made during the year	8,420
	27,120



Notes

Less: Capital introduced during the year : 102/100 x ₹ 2,000	2,040
Adjusted Capital at the end	25,080
Less: Capital in the beginning	19,200
Net Profit for the year	5,880

Illustration : 3

Following was the position of Arvind as on 31.3.2013 and 31.3.2014

	31.3.2013 ₹	*31.3.2014* ₹
Cash	2,000	1,800
Sundry Debtors	78,000	90,000
Stock	68,000	64,000
Plant and Machinery	1,20,000	1,60,000
Sundry Creditors	30,000	29,800
Bills Payable	-----	10,000

During 2013-14 he introduced ₹ 20,000 as new capital. He withdrew ₹ 6,000 every month for his household expenses. Ascertain his Profit for the year ending March 31, 2014.

Solution :

Statement of Affairs

as at 31st March, 2013

Liabilities	₹	*Assets*	₹
Sundry Creditors	30,000	Cash	2,000
Capital (Balancing Figure)	2,38,000	Sundry Debtors	78,000
		Stock	68,000
		Plant and Machinery	1,20,000
	2,68,000		2,68,000

Statement of Affaris

as at 31st March, 2014

Liabilities	₹	*Assets*	₹
Sundry Creditors	29,800	Cash	1,800

Bills Payable	10,000	Sundry Debtors	90,000
Capital (Balancing Figure)	2,76,000	Stock	64,000
		Plant and Machinery	1,60,000
	3,15,800		3,15,800

Statement of Profit/Loss for the year ending March 31, 2014

Particulars	₹
Capital on March 31, 2014	2,76,000
Add : Drawings during 2013-14 (₹ 6,000 x 12)	72,000
	3,48,000
Less : Fresh Capital introduced	20,000
Adjusted Capital on March 31, 2014	3,28,000
Less : Capital on March 31, 2013	2,38,000
Profit earned during 2013-14	90,000

Illustration : 4

M.S. Dhoni, a trader, does not keep proper books of account. However, he furnishes you the following particulars :

	March 31, 2013 ₹	*March 31, 2014* ₹
Cash at Bank	4,500	3,000
Cash in Hand	300	4,000
Stock-in Trade	40,000	45,000
Debtors	12,000	20,000
Office Equipment	5,000	5,000
Sundry Creditors	30,000	20,000
Furniture	4,000	4,000

During the year he introducd ₹ 6,000 as further capital and withdrew ₹ 4,000 as drawings. Write off Depreciation on furniture at 10% and on office equipment at 5%.

Prepare a statement showing the Profit or Loss made by him for the year ended 31st March, 2014.



Notes

Solution :

Statement of Affairs
as at 31.3.2013

Liabilities	₹	*Assets*	₹
Sundry creditors	30,000	Cash in hand	4,500
Capital	35,800	Cash at Bank	300
		Stock in Trade	40,000
		Debtors	12,000
		Office Equipment	5,000
		Furnitures	4,000
	65,800		65,800

Statement of Affairs
as at 31.3.2014

Liabilities	₹	*Assets*	₹
Sundry Creditors	20,000	Cash in Hand	3,000
Capital	61,000	Cash at Bank	4,000
		Stock in Trade	45,000
		Debtors	20,000
		Office Equipments	5,000
		Furniture	4,000
	81,000		81,000

Statement of Profit/Loss for the year ending March 31, 2014

Particulars		₹
Capital on March 31, 2014 before making adjustment of depreciation		61,000
Add : Drawings		4,000
		65,000
Less : Capital introduced during the year		6,000
Profit before adjustment		59,000
Less : Capital on 31 March 2013		35,800
Less : Depreciation on Office Furniture	400	23,200
Depreciation on Equipment	250	650,
Net Profit		22,550

Statement of Affairs (Revised)
as at March 31, 2014

Liabilities		₹	*Assets*		₹
Sundry Creditors		20,000	Cash at Bank		3,000
Capital (Opening)	35,800		Cash in Hand		4,000
Add: Capital introduced	6,000		Stock-in-Trade		45,000
Profit	25,000		Debtors		20,000
	64,350		Office Equipment	5,000	
Less: Drawings	4,000	60,350	***Less:*** Depreciation	250	4,750
			Furniture	4,000	
			Less: Depreciation	400	3,600
		80,350			80,350

INTEXT QUESTIONS 21.2

State whether the following are True or False :

i. Capital = Total Assets + Liabilities

ii. Total Assets = Capital + Liabilities

iii. Profit = (Capital at the end + Drawing - Additional Capital Introduced - Capital at the beginning)

21.4 CONVERSION METHOD

Preparation of Final Accounts from Incomplete Records

You have learnt Net Worth Method for ascertaining business results, *i.e.,* profits. But, under this method certain vital information (*e.g.,* sales, purchases and operating expenses) is not available from incomplete records, We can get such information by adopting Conversion Method. Conversion Method means converting the accounts from incomplete records to complete records.

The steps involved in conversion are :

i. ***Prepare Cash and Bank Summary*** (if not available in proper form with both sides tallied) to ascertain the missing incormation (figures) (such as opening and closing balances of cash or bank, cash purchases/cash sales, drawings, etc.)



Notes

ii. ***Prepare Total Debtors Account*** to ascertain the missing information (*e.g.,* opening/closing balances, Bills Receivable received, Credit Sales, Payment Received from Debtors).

iii. ***Prepare Bills Receivable Account*** to ascertain the missing information (such as opening/closing blances, Bills Receivable, Bills Receivable collected, Bills Receivable endorsed).

iv. ***Prepare Total Creditors Account*** to ascertain the missing information (such as opening/closing creditors, credit purchases, Bills Payable accepted, Bills Receivable endorsed, payment made to creditors)

v. ***Prepare Bills Payable Account*** to ascertain the mising information (such as opening/closing balances, Bills Payable accepted, Bills Payable discharged).

vi. ***Prepare Opening Statement of Affairs*** to find out capital in the beginning.

vii. Now, prepare ***Trading Account, Profit and Loss Account*** **and** ***Balance Sheet*** from the various information given in the question and from the computation made as above. Before preparing the Financial Statements, Trial Balance may also be prepared to check the arithmetical accuracy.

Hints for Tracing the Missing Figures

Missing Figure	*Hints*
1. Net Credit Sales	a) Prepare Total Debtors Account b) Total Sales - Cash Sales - Sales Returns
2. Cash Sales	a) Cash and Bank Account Summary b) Total Sales - Net Credit Sales
3. Net Sales	a) Cash Sales + Credit Sales - Sales Returns b) Cost of Goods Sold + Gross Profit
4. Cost of Goods Sold	a) Opening Stock + Net Purchases + Direct Expenses - Closing Stock b) Net Sales - Gross Profit
5. Gross Profit	a) Net Sales - Cost of Goods Sold b) Net Sales x Rate of Gross Profit/100
6. Cash Purchases	a) Prepare Cash and Bank Account Summary b) Total Purchases - Net Credit Purchases

7. Net Credit Purchases	a) Prepare Total Creditors Account b) Total Purchases - Cash Purchases - Purchases Return
8. Net Purchases	a) Cash Purchases + Credit Purchases - Purchases Returns b) Cost of Goods Sold + Closing Stock - Opening Stock
9. Payment to Creditors	a) Total Creditors Account b) Cash and Bank Account Summary
10. Collection from Debtors	a) Total Debtors Account b) Cash and Bank Summary

INTEXT QUESTIONS 21.3

State Whether the following statements are true or false :

(i) Net Credit Sales = Total Sales + Cash Sales - Sales Return

(ii) Net Sales = Cost of goods sold + Gross Profit

(iii) Net Purchases = Cost of goods sold + Closing stock - Opening stock

(iv) Gross Profit = Net ales - Cost of Goods Sold.

21.5 CALCULATION OF MISSING FIGURES

The information required for preparing the Final Accounts is not directy available from incomplete records. In other words, certain figures are missing from the accounts. Hence, we need to find out such mising figures by preparing relevant accounts. The important ones are discussed below :

i. **Ascertaining Total Purchases :** Total purchases are calculated by combining cash and credit purchases. Cash purchases, if not given in the question, can be ascertained by balancing Cash Book. Credit purchases are calculated by preparing - (a) Total Creditors Account, or (b) Total Creditors Account and Bills Payable Account.

(a) Total Creditors Account : For ascertaining the amount of credit purchases, the Total Creditors Account should be prepared. The available information



Notes

should first be entered - opening balance on the credit side, cash paid on debit side, any discount received on debit side, and the closing balance on the debit side. Bills issued to them should also be shown on debit side. The difference between the totals of the two sides will be credit purchases.

The specimen of Total Creditors Account is given below :

Total Creditors Account

Dr. Cr.

Particulars	₹	*Particulars*	₹
To Cash/Bank A/c	.....	By Balance b/d	.....
To Discount Received	.....	By Bills Payable (Bills Payable	
To Bills Payable	.....	dishonoured)	.....
To Purchases Returns	.....	By Total Debtors A/c	.....
To Balance c/d	.....	(Endorsed Bills Receivable	
		dishonoured)	
		By Credit Purchase	
		(Balancing Figure)	.....

Illustration : 5

From the following information, you are required to calculate total purchases:

	₹
Cash Purchases	1,700
Creditors as on January 1, 2013	800
Cash Paid to Creditors	3,100
Purchases Returns	100
Creditors as on December 31, 2013	1,340

Solution :

Total Creditors Account

Dr. Cr.

Particulars	₹	*Particulars*	₹
To Cash/Bank A/c	3,100	By Balance b/d	800
To Purchase Returns	100	By Purchases made during	3,740
To Balance c/d	1,340	the year (Balancing Figure)	
	4,540		4,540

Total Purchases = Cash Purchases + Credit Purchases
= ₹ 1,700 + ₹ 3,740
= ₹ 5,440

(b) Calculation of Bills Payable Accepted : Just like total Creditors Account, a Bills Payable Account is drawn-up. All known figures (such as opening and closing balances of bills payable, bills payable honoured during the year) are inserted in the account and the missing figure is derived.

A format of Bills Payable Account is given below :

Bills Payable Account

Dr. Cr.

Particulars	₹	*Particulars*	₹
To Cash/Bank A/c (Bills Payable discharged)	.....	By Balance b/d	.....
To Creditors (Bills Payable dishonoured)	.....	By Total Creditors (Bills Payable accepted)	.....
To Balance c/d	.....		
	.....		.....

Illustration : 6

From the following information calculate the total purchases :

	₹
Opening balance of Bills Payable	15,000
Opening balance of creditors	18,000
Closing balance of Bills Payable	21,000
Closing balance of creditors	12,000
Cash paid to creditors during the year	90,600
Bills Payable discharged during the year	26,700
Purchases Returns	3,600
Cash Purchases	77,400



Notes

Solution :

Bills Payable Account

Dr. Cr.

Particulars	₹	*Particulars*	₹
To Cash/Bank A/c	26,700	By Balance b/d	15,000
To Balance c/d	21,000	By Creditors, being bills accepted during the year (Balancing Figure)	32,700
	47,700		47,700

Total Creditors Account

Dr. Cr.

Particulars	₹	*Particulars*	₹
To Cash/Bank A/c	90,600	By Balance b/d	18,000
To Purchases Returns	3,600	By Purchases (Bal. Fig.)	1,20,900
To Bills Payable (Fig. taken from Bills Payable A/c)	32,700		
To Balance c/d	12,000		
	1,38,900		1,38,900

Total Purchases = Cash Purchases + Creidt Purchases
= ₹ 77,400 + ₹ 1,20,900
= ₹1,98,300

ii. Ascertaining Total Sales : Total sales are calculated by combining cash and credit sales. Cash sales are given in the Cash Book. Credit sales are ascertained by preparing : (a) Total Debtors Account, or (b) Total Debtors Account and Bills Receivable Account.

(a) Total Debtors Account : The amount of credit sales is ascertained by preparing the Debtors Account. The available information is first entered - opening balance on the debit side, cash received on the credit side, any discount allowed or bad debt written off on the credit side and the closing balance on the credit side. Bills received from them is shown on the credit side, the amount of bills dishonoured is entered on the debit side. The difference between the totals of the two sides will be credit sales.

Total Debtors Account

Dr. Cr.

Particulars	₹	*Particulars*	₹
To Balance b/d	.....	By Cash/Bank	.....
To Bills Receivable (Dishonoured)	.....	By Discount Allowed	.....
To Credit Sales (Balancing Figure)	.....	By Sales Returns	.....
		By Bad Debts	.....
		By Bills Receivable	.....
		By Balance c/d	.....
	.....		.....

Illustration : 7

From the following information, calculate the total sales made during the period:

	₹
Debtors as on January 1, 2013	40,800
Cash received from Debtors	1,21,600
Sales Returns	10,800
Bad Debts	4,800
Debtors as on December 31, 2013	55,200
Cash Sales	1,13,600

Solution :

Total Debtors Account

Dr. Cr.

Particulars	₹	*Particulars*	₹
To Balance b/d	40,800	By Cash/Bank	1,21,600
To Credit Sales	1,51,600	By Sales Returns	10,800
(Balancing Fig.)		By Bed Debts	4,800
		By Balance c/d	55,200
	1,92,400		1,92,400



Notes

Total Sales	=	Cash Sales	+	Creidt Sales
	=	₹ 1,13,600	+	₹ 1,51,600
	=	₹ 2,65,200		

(b) Calculation of Bills Receivable Received from Customers : Just like Total Debtors Account, a Bills Receivable Account is drawn-up. All known figures (such as opening and closing balances of bills receivable, bill honoured during the year, bill dishonoured, renewed during the year) are inserted in the account and the missing figure is derived as Balancing Figure.

A format of Bills Receivable Account is given below :

Bills Receivable Account

Dr. Cr.

Particulars	₹	*Particulars*	₹
To Balance b/d	.....	By Cash/Bank (B/R Collected)	.....
To Total Debtors	.....	By Bank (B/R discounted)	.....
(Bill Receivable received)		By Banker's Discount	
		(Discounting charges)	.....
		By Total Debots	
		(B/R dishonoured)	.....
		By Total Creditors	
		(B/R endorsed)	.....
		By Balance c/d	.....
	.....		.....

Illustration : 8

From the following information, calculate the total sales :

	₹
Bills Receivable in the beginning	1,560
Debots in the beginning	6,160
Bills Receivable encashed during the year	4,180
Cash received from Debots	14,000
Bad Debts written off	560

Sales Returns	1,740
Bills Receivable (Dishonoured)	360
Bills Receivable at the end	1,200
Debtors at the end	5,100
Cash Sales	8,180

Solution :

Bills Receivable Account

Dr. Cr.

Particulars	₹	*Particulars*	₹
To Balance b/d	1,560	By Cash/Bank	4,180
To Debtors, being the bills received during the year (Balancing Figure)	4,180	By Debtors (Bill Receivable dishonoured)	360
		By Balance c/d	1,200
	5,740		5,740

Total Debtors Account

Dr. Cr.

Particulars	₹	*Particulars*	₹
To Balance b/d	6,160	By Cash/Bank	14,000
To Bills Receivable (Dishonoured)	360	By Bad Debts	560
To Sales (Balancing Figure)	19,060	By Sales Returns	1,740
		By Bills Receivable	4,180
		By Balance c/d	5,100
	25,580		25,580

Total Sales = Cash Sales + Creidt Sales
= ₹ 8,180 + ₹ 19,060
= ₹ 27,240

iii. Ascertaining Balance of Sundry Debtors and Sundry Creditors : If credit sales and credit purchases are given, the opening or closing balances of debtors and/or creditors can be ascertained by preparing Total Debtors Account and Total Creditors Account.



Notes

Illustration : 9

From the following information, prepare the Total Debtors Account and Total Creditors Account and find out credit sales and credit purchases :

	₹
Debtors as on 1st January	5,000
Creditors as on 1st January	4,000
Debtors as on 31st December	4,000
Creditors as on 31st December	6,000
Bills receivable received during the year	10,000
Bills Payable issued during the year	8,000
Cash received from customers	30,000
Cash returned to customers	500
Cash paid to suppliers	20,700
Discount allowed by suppliers	270
Discount allowed by customers	150
Bad Debts written off	1,200
Bad Debts recovered	300
Bills Receivable endorsed to creditors	4,000
Bills Receivable dishonoured by customers	1,000
Endorsed Bills Receivable dishonoured	500
Discounted Bills Receivable dishonoured	700
Sales Returns	600
Purchases Returns	200

Solution :

Total Debtors Account

Dr. Cr.

Particulars	₹	*Particulars*	₹
To Balance b/d	5,000	By Cash/Bank	30,000
To Credit Sales (Balancing Fig.)	38,250	By Discount	150
To Cash Returned	500	By Bad Debts	1,200
To Bills Receivable (Dishonoured)	1,000	By Sales Returns	600
To Creditors	500	By Bills Receivable	10,000

To Bank (Discounted B/R Dishonoured)	700	By Balance c/d	4,000
	45,950		45,950

Total Creditors Account

Dr. Cr.

Particulars	₹	*Particulars*	₹
To Cash/Bank	20,700	By Balance b/d	4,000
To Discount	270	By Purchases (Credit)	
To Bills Receivable (Endorsed)	4,000	(Balancing Figure)	34,670
To Purchases Returns	200	By Debtors (Bills endorsed	
To Bills Payable	8,000	dishonoured)	500
To Balance c/d	6,000		
	39,170		39,170

iv. **Ascertaining Balancing of Bills receivable and Bills Payable :** If the opening or closing balances of these items are not given, the missing figures can be ascertained by preparing Bills Receivable Account and Bills Payable Account.

Illustration : 10

From the following particulars, ascertain closing balance of Bills Receivable Account and opening balance of Bills Payable Account :

	₹
Opening balance of Bills Receivable	11,000
Closing balance of Bills Payable	8,000
Bills Payable issued	35,000
Bills Receivable encashed	46,000
Bills Receivable received	49,000
Bills Payable paid in cash	36,000
Bills Receivable dishonoured	1,000



Notes

Solution :

Bills Receivable Account

Dr. Cr.

Particulars	₹	*Particulars*	₹
To Balance b/d	11,000	By Cash/Bank	46,000
To Sundry Debtors	49,000	By sundry Debtors	1,000
		By Balance c/d (Bal. Fig.)	13,000
	60,000		60,000

Bills Payable Account

Dr. Cr.

Particulars	₹	*Particulars*	₹
To Cash/Bank	36,000	By Balance b/d (Bal. Fig.)	9,000
To Balance c/d	8,000	By Sundry Creditors	35,000
	44,000		44,000

Illustration : 11

Ashok does not maintain proper books of account. From the following particulars, prepare the Trading and Profit and Loss Account for the year ended December 31, 2014 and the Balance Sheet as on that date :

	December 31, 2013 ₹	*December 31, 2014* ₹
Debtors	9,000	12,500
Stock	4,900	6,600
Furniture	500	750
Creditors	3,000	2,250

Analysis of other transactions is as follows :

	₹
Cash collected from Debtors	30,400
Cash paid to Creditors	22,000
Salaries	6,000
Rent	750

Office Expense	900
Drawing	1,500
Additional Capital introduced	1,000
Cash Sales	750
Cash Purchases	2,500
Discount Received	350
Discount Allowed	150
Returns Inwards	500
Returns Outwards	400
Bad ebts	100

He had ₹ 2,500 as Cash Balance at the beginning of the year.

Solution :

Trading and Profit & Loss Account
for the year ended December 31, 2014

Dr. Cr.

Particulars		₹	*Particulars*		₹
To Opening Stock		4,900	By Sales :		
To Purchases :			Cash	750	
Cash	2,500		Credit (Note 3)	34,650	
Credit (Note 4)	22,000			35,400	
	24,500		*Less:* Returns	500	34,900
Less: Return	400	24,100	By Closing Stock		6,600
To Gross Profit c/d		12,500			
		41,500			41,500
To Salaries		6,000	By Gross Profit b/d		12,500
To Rent		750	By Discount Received		350
To Office Expenses		900			
To Discount Allowed		150			
To Bad Debts		100			
To Net Profit transferred to Capital A/c		4,950			
		12,850			12,850



Notes

Balance Sheet
as at December 31, 2014

Liabilities		₹	*Assets*	₹
Creditors		2,250	Cash (Note 2)	1,000
Creditors for Furniture			Debtors	12,500
(Rs. 750 - Rs. 500)	13,900		Stock	6,600
Add: Capital introduced	1,000		Furniture	750
Net Profit	4,950			
	19,850			
Less: Drawings	1,500	18,350		
		20,850		20,850

Working Notes :

1. Balance Sheet as at December 31, 2013

Liabilities	₹	*Assets*	₹
Creditors	3,000	Cash and Bank Balance	2,500
Capital (Balancing Fig.)	13,900	Debtors	9,000
		Stock	4,900
		Furniture	500
	16,900		16,900

2. Cash Book

Particulars	₹	*Particulars*	₹
To Balance b/d	2,500	By Sundry Creditors	22,000
To Sundry Debtors	30,400	By Salaries	6,000
To Capital	1,000	By Rent	750
To Cash Sales	750	By Office Expenses	900
		By Drawings	1,500
		By Purchases	2,500
		By Balance c/d	1,000
	34,650		34,650

3. Total Debtors Account

Particulars	₹	*Particulars*	₹
To Balance b/d	9,000	By Cash/Bank	30,400
To Credit Sales (Balancing Fig.)		34,650 By Discount	
150			
		By Returns Inward	500
		By Bad Debts	100
		By Balance c/d	12,500
	43,650		43,650

4. Total Creditors Account

Liabilities	₹	*Assets*	₹
To Cash/Bank	22,000	By Balance b/d	3,000
To Discount	350	By Credit Purchase	
To Return Outward	400	(Balancing Figure)	22,000
To Balance c/d	2,250		
	25,000		25,000

WHAT YOU HAVE LEARNT

- Single entry system is a system in which accounting records are not according to double entry principle of book keeping.
- Usually under this system, only personal accounts are maintained and real and nominal accounts are avoided.
- A Statement of Affairs is a statement of all assets and liabilities. The difference between the amount of the two sides is taken as capital.
- There are two methods used for ascertaining profits of the business from incomplete records are :
  - i. Net Worth Method or Statement of Affairs Method
  - ii. Conversion Method



Notes

- Under Statement of Affairs Method, Statement of Affairs at close and at opening are prepared to determine opening and closing capital. The capital is adjusted with respect to capital introduced and drawings made, to determine profit earned during the year.
- Under Conversion method, in complete records are converted into Double Entry System and Profit is determined.

TERMINAL EXERCISE

1. Define Single Entry System and explain its features.
2. List any three circumstances under which records may be rendered as incomplete.
3. How is profit calculated under statement of Affairs Method?
4. What do you mean by Single Entry System? Also explain the uses of Single Entry System.
5. What steps are taken to convert a set of books not maintained under Double Entry System into the same?
6. Arvind does not keep proper records of his business, he gives you the following information :

	₹
Opening Capital	2,00,000
Closing Capital	2,50,000
Drawings during the year	60,000
Capital added during the year	75,000

Calculate profit or loss for the year.

7. The following information is supplied to you by a shopkeeper :

	1 April 2013	*31 March 2014*
	₹	₹
Cash	6,000	7,000
Sundry Debtors	68,000	64,000
Stock	59,000	87,000

Furniture	15,000	13,500
Sundry Creditors	20,000	18,000
B/p	15,000	11,000

During the year the shopkeeper withdrew ₹ 2,500 per month for domestic purposes. He also borrowed from a friend at 9% a sum of ₹ 20,000 on 1st October 2013. He has not yet paid the interest. A provision of 5% on debtors for doubtful debts was to be made.

Ascertain the profit or loss made by him during the period.

ANSWERS TO INTEXT QUESTIONS

21.1 I. (i) estimated (ii) simple (iii) less

II. (i) False (ii) False (iii) True

21.2 (i) False (ii) True (iii) True

ANSWERS TO TERMINAL EXERCISE

6. Profit = ₹ 35,000

7. Profit = ₹ 35,400

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Bank Reconciliation Statement

5

Learning Objectives

After studying this chapter, you will be able to :

- *state the meaning and need for the preparation of bank reconciliation statement;*
- *identify causes of difference between bank balance as per cash book and pass book;*
- *prepare the bank reconciliation statement;*
- *ascertain the correct bank balance as per cash book;*

In chapter 4, you have learnt that the business organisations keep a record of their cash and bank transactions in a cash book. The cash book also serves the purpose of both the cash account and the bank account and shows the balance of both at the end of the period.

Once the cash book has been balanced, it is usual to check its details with the records of the firm's bank transactions as recorded by the bank. To enable this check, the cashier needs to ensure that the cash book is completely up to date and a recent bank statement (or a bank passbook) has been obtained from the bank. A bank statement or a bank passbook is a copy of a bank account as shown by the bank records. This enable the bank customers to check their funds in the bank regularly and update their own records of transactions that have occurred. An illustrative bank passbook of a current account is shown in figure 5.1.

The amount of balance shown in the passbook or the bank statement must tally with the balance as shown in the cash book. But in practice, these are usually found to be different. Hence, we have to ascertain the causes for such difference. It will be observed that a bank statement/passbook shows all deposits in the credit column and withdrawals in the debit column. Thus, if deposits exceed withdrawals it shows a credit balance and if withdrawals exceed deposits it will show a debit balance (overdraft).

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5.1 Need for Reconciliation

It is generally experienced that when a comparison is made between the bank balance as shown in the firm's cash book, the two balances do not tally. Hence, we have to first ascertain the causes of difference thereof and then reflect them in a statement called *Bank Reconciliation Statement* to reconcile (tally) the two balances.

In order to prepare a bank reconciliation statement we need to have a bank balance as per the cash book and a bank statement as on a particular day along with details of both the books. If the two balances differ, the entries in both the books are compared and the items on account of which the difference has arisen are ascertained with the respective amounts involved so that the bank reconciliation statement may be prepared. Its format shown in figure 5.5.

	Particulars	*Amount* ₹
	Balance as per cash book	.....
Add:	Cheques issued but not presented	.....
	Interest credited by the bank	.....
		.....
Less:	Cheques deposited but not credited by the bank	.....
	Bank charges not recorded in the cash book	.....
	Balance as per the passbook	xxxx

Fig. 5.2 : *Proforma of bank reconciliation statement*

It can also be prepared with two amount columns one showing additions (+ column) and another showing deductions (-column). For convenience, we usually adopt this treatment.

	Particulars	*Amount* ₹ (+)	*Amount* ₹ (–)
	Balance as per cash book	.....	
	Cheques issued but not presented `	.....	
	Interest credited by the bank	.....	
	Cheque deposited but not credited by the bank		.....
	Bank charges not recorded in the cash book		.....
	Balance as per the passbook.		xxxx

Fig. 5.3 : *Proforma of bank reconcitiation statement (table form)*

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ENDRA NATIONAL BANK
AUGHT PLACE

COUNT NO. 03355
ME : DEV PANDIT
ADWAI, RUNAKUTA, DELHI-34

MULTI-MODULE PACKAGE
STATEMENT OF ACCOUNT
FROM 01/08/2016 TO 30/09/2016

DATE : 30/09/2016
OP.ID : GK
PAGE NO. : 1

	PARTICULARS	*CHEQUE No.*	*DEBIT ₹ P.*	*CREDIT ₹ P.*	*BALANCE ₹ P.*	*+REMARKS*
				Opening Balance :	50,782.30	+
3/2016	DELHI PLA	356376	35,000.00		15,782.30	+
3/2016	TO SELF	356377	10,000.00		5,782.30	+
3/2016	BY CLG			10,673,00	16,455,30	+
3/2016	BY CLG			9,143.00	25,598.30	+
3/2016	TO SELF	356378	20,000.00		5,598.30	+
3/2016	BY CLG			25,808.00	31,406.30	+
3/2016	BY CLG			32,949.00	64,355,30	+
)/2016	To SELF	356381	30,000.00		34,355.30	+
)/2016	DELHI PLASTIC	356382	10,000.00		24,355.30	+
)/2016	ICICI	657755	6,074.00		18,281.30	+
)/2016	BY CLG			3,146.00	21,427.30	+
)/2016	TO SELF	356380	9,500,00		11,927.30	+
)/2016	BY CLG			5,320.00	17,247.30	+
)/2016	BY CLG			18,564.00	35,811.30	+
)/2016	TO SERVICE CHARGES		120.00		35,691.30	+
)/2016	TO SELF	356383	20,000.00		15,691.30	+
)/2016	TO SELF	356385	10,000.00		5,691.30	+
)/2016	BY CLG			16,198.00	21,889.30	+

)HERENDRA NATIONAL BANK
UNTANT/MANAGER

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Fig. 5.1 : *Specimen of bank statement (current account)*

Reconciliation of the cash book and the bank passbook balances amounts to an explanation of differences between them. The differences between the cash book and the bank passbook is caused by:

- *timing differences on* recording of the transactions.
- *errors* made by the business or by the bank.

5.1.1 Timing Differences

When a business compares the balance of its cash book with the balance shown by the bank passbook, there is often a difference, which is caused by the time gap in recording the transactions relating either to payments or receipts. The factors affecting time gap includes :

5.1.1(a) Cheques issued by the bank but not yet presented for payment

When cheques are issued by the firm to suppliers or creditors of the firm, these are immediately entered on the credit side of the cash book. However, the receiving party may not present the cheque to the bank for payment immediately. The bank will debit the firm's account only when these cheques are actually paid by the bank. Hence, there is a time lag between the issue of a cheque and its presentation to the bank which may cause the difference between the two balances.

5.1.1(b) Cheques paid into the bank but not yet collected

When firm receives cheques from its customers (debtors), they are immediately recorded in the debit side of the cash book. This increases the bank balance as per the cash book. However, the bank credits the customer account only when the amount of cheques are actually realised. The clearing of cheques generally takes few days especially in case of outstation cheques or when the cheques are paid-in at a bank branch other than the one at which the account of the firm is maintained. This leads to a cause of difference between the bank balance shown by the cash book and the balance shown by the bank passbook.

5.1.1(c) Direct debits made by the bank on behalf of the customer

Sometimes, the bank deducts amount for various services from the account without the firm's knowledge. The firm comes to know about it only when the bank statement arrives. Examples of such deductions include: cheque collection charges, incidental charges, interest on overdraft, unpaid cheques deducted by the bank – i.e., stopped or bounced, etc. As a result, the balance as per passbook will be less than the balance as per cash book.

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5.1.1(d) Amounts directly deposited in the bank account

There are instances when debtors (customers) directly deposits money into firm's bank account. But, the firm does not receive the intimation from any source till it receives the bank statement. In this case, the bank records the receipts in the firm's account at the bank but the same is not recorded in the firm's cash book. As a result, the balance shown in the bank passbook will be more than the balance shown in the firm's cash book.

5.1.1(e) Interest and dividends collected by the bank

When the bank collects interest and dividend on behalf of the customer, then these are immediately credited to the customers account. But the firm will know about these transactions and record the same in the cash book only when it receives a bank statement. Till then the balances as per the cash book and passbook will differ.

5.1.1(f) Direct payments made by the bank on behalf of the customers

Sometimes the customers give standing instructions to the bank to make some payment regularly on stated days to the third parties. For example, telephone bills, insurance premium, rent, taxes, etc. are directly paid by the bank on behalf of the customer and debited to the account. As a result, the balance as per the bank passbook would be less than the one shown in the cash book.

5.1.1(g) Cheques deposited/bills discounted dishonoured

If a cheque deposited by the firm is dishonoured or a bill of exchange drawn by the business firm is discounted with the bank is dishonoured on the date of maturity, the same is debited to customer's account by the bank. As this information is not available to the firm immediately, there will be no entry in the firm's cash book regarding the above items. This will be known to the firm when it receives a statement from the bank. As a result, the balance as per the passbook would be less than the cash book balance.

5.1.2 Differences Caused by Errors

Sometimes the difference between the two balances may be accounted for by an error on the part of the bank or an error in the cash book of the business. This causes difference between the bank balance shown by the cash book and the balance shown by the bank statement.

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5.1.2(a) Errors committed in recording transaction by the firm

Omission or wrong recording of transactions relating to cheques issued, cheques deposited and wrong totalling, etc., committed by the firm while recording entries in the cash book cause difference between cash book and passbook balance.

5.1.2(b) Errors committed in recording transactions by the bank

Omission or wrong recording of transactions relating to cheques deposited and wrong totalling, etc., committed by the bank while posting entries in the passbook also cause differences between passbook and cash book balance.

Test Your Understanding - I

I. Read the following transactions and identify the cause of difference on the basis of time gap or errors made by business firm/bank. Put a sign (✓) for the correct cause.

S.No.	*Transactions*	*Time Gap*	*Errors made by business/ bank*
1.	Cheques issued to customers but not presented for payment.		
2.	Cheque amounting to ₹ 5,000 issued to M/s. XYZ but recorded as ₹ 500 in the cash book.		
3.	Interest credited by the bank but yet not recorded in the cash book.		
4.	Cheque deposited into the bank but not yet collected by the bank.		
5.	Bank charges debited to firm's current account by the bank.		

II. Fill in the blanks :

(i) Passbook is a copy of.....as it appears in the ledger of the bank.

(ii) When money is with drawn from the bank, the bank ..... the account of the customer.

(iii) Normally, the cash book shows a debit balance, passbook shows .....balance.

(iv) Favourable balance as per the cash book means .....balance in the bank column of the cash book.

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(v) If the cash book balance is taken as starting point the items which make the cash book balance smaller than the passbook must be .....for the purpose of reconciliation.

(vi) If the passbook shows a favourable balance and if it is taken as the starting point for the purpose of bank reconciliation statement then cheques issued but not presented for payment should be .....to find out cash balance.

(vii) When the cheques are not presented for payment, favourable balance as per the cash book is .....than that of the passbook.

(viii) When a banker collects the bills and credits the account passbook overdraft shows .....balance.

(ix) If the overdraft as per the passbook is taken as the starting point, the cheques issued but not presented are to be .....in the bank reconciliation statement.

(x) When the passbook balance is taken as the starting point items which makes the passbook balance .....than the balance in the cash book must be deducted for the purpose of reconciliation.

5.2 Preparation of Bank Reconciliation Statement

After identifying the causes of difference, the reconciliation may be done in the following two ways:

(a) Preparation of bank reconciliation statement without adjusting cash book balance.

(b) Preparation of bank reconciliation statement after adjusting cash book balance.

It may be noted that in practice, the bank reconciliation statement is prepared after adjusting the cash book balance, about which you will study later in the chapter.

5.2.1 Preparation of Bank Reconciliation Statement without adjusting Cash Book Balance

To prepare bank reconciliation statement, under this approach, the balance as per cash book or as per passbook is the starting item. The debit balance as per the cash book means the balance of deposits held at the bank. Such a balance will be a credit balance as per the passbook. Such a balance exists when the deposits made by the firm are more than its withdrawals. It indicates the *favourable balance as per cash book or favourable balance as per the passbook*. On the other hand, the credit balance as per the cash book indicates *bank overdraft*. In other words, the excess amount withdrawn over the amount deposited in the bank. It is also known as *unfavourable balance as per cash book or unfavourable balance as per passbook.*

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We may have four different situations while preparing the bank reconciliation statement. These are :

1. When debit balance (favourable balance) as per cash book is given and the balance as per passbook is to be ascertained.
2. When credit balance (favourable balance) as per passbook is given and the balance as per cash book is to be ascertained.
3. When credit balance as per cash book (unfavourable balance/overdraft balance) is given and the balance as per passbook is to ascertained.
4. When debit balance as per passbook (unfavourable balance/overdraft balance) is given and the cash book balance as per is to ascertained.

5.2.1(a) Dealing with favourable balances

The following steps may be initiated to prepare the bank reconciliation statement:

(i) The date on which the statement is prepared is written at the top, as part of the heading.

(ii) The first item in the statement is generally the balance as shown by the cash book. Alternatively, the starting point can also be the balance as per passbook.

(iii) The cheques deposited but not yet collected are deducted.

(iv) All the cheques issued but not yet presented for payment, amounts directly deposited in the bank account are added.

(v) All the items of charges such as interest on overdraft, payment by bank on standing instructions and debited by the bank in the passbook but not entered in cash book, bills and cheques dishonoured etc. are deducted.

(vi) All the credits given by the bank such as interest on dividends collected, etc. and direct deposits in the bank are added.

(vii) Adjustment for errors are made according to the principles of rectification of errors. (The rectification of errors has been discussed in detail in chapter 6.)

(viii) Now the net balance shown by the statement should be same as shown by the passbook.

It may be noted that treatment of all items shall be the reverse of the above if we adjust passbook balance as the starting point. (see illustration 3)

The following solved illustrations will help you understand dealing with favourable balance as per cash book and passbook.

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Illustration 1

From the following particulars of Mr. Vinod, prepare bank reconciliation statement as on March 31, 2017.

1. Bank balance as per cash book ₹ 50,000.
2. Cheques issued but not presented for payment ₹ 6,000.
3. The bank had directly collected dividend of ₹ 8,000 and credited to bank account but was not entered in the cash book.
4. Bank charges of ₹ 400 were not entered in the cash book.
5. A cheques for ₹ 6,000 was deposited but not collected by the bank.

Solution

Bank Reconciliation Statement of Mr. Vinod as on March 31, 2017

	Particulars	+ ₹	– ₹
1.	Balance as per cash book	50,000	
2.	Cheques issued but not presented for payment	6,000	
3.	Dividends collected by the bank	8,000	
4.	Cheque deposited but not credited by the bank		6,000
5.	Bank charges debited by the bank		400
6.	Balance as per passbook.		57,600
		64,000	64,000

Illustration 2

From the following particulars of Anil & Co. prepare a bank reconciliation statement as on August 31, 2017.

1. Balance as per the cash book ₹ 54,000.
2. ₹ 100 bank incidental charges debited to Anil & Co. account, which is not recorded in cash book.
3. Cheques for ₹ 5,400 is deposited in the bank but not yet collected by the bank.
4. A cheque for ₹ 20,000 is issued by Anil & Co. not presented for payment.

Solution

Bank Reconciliation Statement of Anil & Co. as on August 31, 2017

	Particulars	*(+) Amount* ₹	*(–) Amount* ₹
1.	Balance as per cash book	54,000	-
2.	Cheqeus issued but not presented for payment	20,000	-
3.	Cheques deposited but not credited by the bank	-	5,400
4.	Bank incidental charges debited by the bank	-	100
5.	Balance as per passbook	-	68,500
		74,000	74,000

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Illustration 3

The bank passbook of M/s. Boss & Co. showed a balance of ₹ 45,000 on May 31, 2017.

1. Cheques issued before May 31, 2017, amounting to ₹ 25,940 had not been presented for encashment.
2. Two cheques of ₹ 3,900 and ₹ 2,350 were deposited into the bank on May 31 but the bank gave credit for the same in June, 2017.
3. There was also a debit in the passbook of ₹ 2,500 in respect of a cheque dishonoured on 31.5.2017. Prepare a bank reconciliation statement as on May 31, 2017.

Solution

Bank Reconciliation Statement of Bose & Co as on May 31, 2017

	Particulars	*(+) Amount* ₹	*(–) Amount* ₹
1.	Balance as per passbook	45,000	
2.	Cheques deposited but not collected by the bank (₹ 3,900+ ₹ 2,350)	6,250	
3.	Cheque dishonoured recorded only in passbook	2,500	
4.	Cheques issued but not presented for payment		25,940
5.	Balance as per cash book		27,810
		53,750	53,750

5.2.1(b) Dealing with overdrafts

So far we have dealt with bank reconciliation statement where bank balances has been positive – i.e., there has been money in the bank account. However, businesses sometimes have overdrafts at the bank. Overdrafts are where the bank account becomes negative and the businesses in effect have borrowed from the bank. This is shown in the cash book as a credit balance. In the bank statement, where the balance is followed by Dr. (or sometimes OD) means that there is an overdraft and called debit balance as per passbook.

An overdraft is treated as negative figure on a bank reconciliation statement. The following solved illustration will help you understand the preparation of bank reconciliation statement when there is an overdraft.

Illustration 4

On March 31, 2017, Rakesh had on overdraft of ₹ 8,000 as shown by his cash book. Cheques amounting to ₹ 2,000 had been paid in by him but were not collected by the bank. He issued cheques of ₹ 800 which were not presented to the bank for payment. There was a debit in his passbook of ₹ 60 for interest and ₹ 100 for bank charges. Prepare bank reconciliation statement.

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Solution

Bank Reconciliation Statement of Rakesh as on April 01, 2017

	Particulars	*(+) Amount* ₹	*(–) Amount* ₹
1.	Overdraft as per cash book		8,000
2.	Cheques deposited but not yet collectedcharged by the bank		2,000
3.	Bank charges		60
4.	Cheques issued but not presented for payment	800	100
5.	Balance as per bank passbook (overdraft)	9,360	
		10,160	10,160

Illustration 5

On March 31, 2017 the bank column of the cash book of Agrawal Traders showed a credit balance of ₹ 1,18,100 (Overdraft). On examining of the cash book and the bank statement, it was found that :

1. Cheques received and recorded in the cash book but not sent to the bank of collection ₹ 12,400.
2. Payment received from a customer directly by the bank ₹ 27,300 but no entry was made in the cash book.
3. Cheques issued for ₹ 1,75,200 not presented for payment.
   Interest of ₹ 8,800 charged by the bank was not entered in the cash book. Prepare bank reconciliation statement.

Solution

Bank Reconciliation Statement of Agarwal Traders as on March 31, 2017

	Particulars	*(+) Amount* ₹	*(–) Amount* ₹
1.	Overdraft as per cash book		1,18,100
2.	Cheques received and recorded in the cash book but not sent to the bank for collection		12,400
3.	Interest on bank overdraft debited by the bank but not entered in the cash book		8,800
4.	Payment received from the customer directly	27,300	
5.	Credited in the bank a/c but not entered in the cash book	1,75,200	
6.	Cheques issued but not presented for payment		
7.	Balance as per the passbook (favourable balance)		63,200
		2,02,500	2,02,500

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Illustration 6

From the following particulars of Asha & Co. prepare a bank reconciliation statement on December 31, 2017.

	₹
Overdraft as per passbook	20,000
Interest on overdraft	2,000
Insurance Premium paid by the bank	200
Cheque issued but not presented for payment	6,500
Cheque deposited but not yet cleared	6,000
Wrongly debited by the bank	500

Solution

Bank Reconciliation Statement of Asha & Co as on December 31, 2017

	Particulars	*(+) Amount* ₹	*(–) Amount* ₹
1.	Overdraft as per passbook		20,000
2.	Interest on overdraft	2,000	
3.	Insurance premium paid by the bank	200	
4.	Cheque issued but not presented for payment		6,500
5.	Cheques deposited but not yet cleared	6,000	
6.	Wrongly debited by the bank	500	
7.	Balance as per the cash book (overdraft)	17,800	
		26,500	26,500

Illustration 7

From the following particulars, prepare a bank reconciliation statement as on March 31, 2017.

(a) Debit balance as per cash book is ₹ 10,000.

(b) A cheque for ₹ 1,000 deposited but not recorded in the cash book.

(c) A cash deposit of ₹ 200 was recorded in the cash book as if there is not bank, column therein.

(d) A cheque issued for ₹ 250 was recorded as ₹ 205 in the cash column.

(e) The debit balance of ₹ 1,500 as on the previous day was brought forward as a credit balance.

(f) The payment side of the cash book was under cast by ₹ 100.

(g) A cash discount allowed of ₹ 112 was recorded as ₹ 121 in the bank column.

(h) A cheque of ₹ 500 received from a debtor was recorded in the cash book but not deposited in the bank for collection.

(i) One outgoing cheque of ₹ 300 was recorded twice in the cash book.

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Solution

Bank Reconciliation statement as on September 30, 2017

	Particulars	*(+) Amount* ₹	*(–) Amount* ₹
1.	Debit balance as per cash book	10,000	
2.	Error in carrying forward	3,000	
3.	Cheque recorded twice in cash book	300	
4.	Cheque deposit not record in bank column	200	
5.	Cheque deposit but not recorded	1,000	
6,	Under casting of payment side		100
7.	Cheque issued but not entered		250
8.	A cash discount wrongly recorded in bank column		121
9.	Cheque recorded but not deposited		500
10.	Credit balance as per passbook		13,529
		14,500	14,500

Illustration 8

From the following particulars, prepare the bank reconciliation statement of Shri Krishan as on March 31, 2017.

(a) Balance as per passbook is ₹ 10,000.
(b) Bank collected a cheque of ₹ 500 on behalf of Shri Krishan but wrongly credited it to Shri Kishan's account.
(c) Bank recorded a cash book deposit of ₹ 1,589 as ₹ 1,598.
(d) Withdrawal column of the passbook under cast by ₹ 100.
(e) The credit balance of ₹ 1,500 as on the pass-book was recorded in the debit balance.
(f) The payment of a cheque of ₹ 350 was recorded twice in the passbook.
(g) The pass-book showed a credit balance for a cheque of ₹ 1,000 deposited by Shri Kishan.

Solution

Bank Reconciliation Statement as on March 31, 2017

	Particulars	*(+) Amount* ₹	*(–) Amount* ₹
1.	Credit balance as per passbook	10,000	
2.	Cheque wrongly credited to another customer account	500	
3.	Error in carrying forward	3,000	
4.	Cheque recorded twice	350	
5.	Excess credit for cash deposit		9
6.	Under casting of withdrawal column		100
7.	Wrong credit		1,000
8.	Debit balance as per cash book		12,741
		13,850	13,850

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Test Your Understanding - II

Select the Correct Answer:

1. A bank reconciliation statement is prepared by:
   (a) Creditors (b) Bank
   (c) Account holder in a bank (d) Debtors
2. A bank reconciliation statement is prepared with the balance:
   (a) Passbook (b) Cash book
   (c) Both passbook and cash book (d) None of these
3. Passbook is a copy of:
   (a) Copy of customer Account (b) Bank column of cash book
   (c) Cash column of cash book (d) Copy of receipts and payments
4. Unfavourable bank balance means:
   (a) Credit balance in passbook (b) Credit balance in cash book
   (c) Debit balance in cash book (d) None of these
5. Favourable bank balance means:
   (a) Credit balance in the cash book (b) Credit balance in passbook
   (c) Debit balance in the cash book (d) Both (b) and (c)
6. A bank reconciliation statement is mainly prepared for:
   (a) Reconcile the cash balance of the cash book.
   (b) Reconcile the difference between the bank balance shown by the cash book and bank passbook
   (c) Both (a) and (b)
   (d) None of these

Test your Understanding - III

State whether each of the following statements is True or False

1. Passbook is the statement of account of the customer maintained by the bank.
2. A business firm periodically prepares a bank reconciliation statement to reconcile the bank balance as per the cash book with the passbook as these two show different balances for various reasons.
3. Cheques issued but not presented for payment will reduce the balance as per the passbook.
4. Cheques deposited but not collected will result in increasing the balance of the cash book when compared to passbook.
5. Overdraft as per the passbook is less than the overdraft as per cash book when there are cheques deposited but not collected by the banker.
6. The debit balance of the bank account as per the cash book should be equal to the credit balance of the account of the business in the books of the bank.
7. Favourable bank balance as per the cash book will be less than the bank passbook balance when there are unpresented cheques for payment.
8. Direct collections received by the bank on behalf of the customers would increase the balance as per the bank passbook when compared to the balance as per the cash book.
9. When payments made by the bank as per the standing instructions of the customer, the balance in the passbook will be more when compared to the cash book.

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Key Terms Introduced in the Chapter

1. Bank Reconciliation Statement
2. Cash book and Passbook

Summary with Reference to Learning Objectives

1. *Bank Reconciliation Statement:* A statement prepared to reconcile the bank balance as per cash book with the balance as per passbook or bank statement, by showing the items of difference between the two accounts.
2. *Causes of difference:*
   – timing of recoding the transaction.
   – error made by business or by the bank.
3. *Correct cash balance:* It may happen that some of the receipts or payments are missing from either of the books and errors, if any, need to be rectified. This arise the need to look at the entries/errors recorded in both statements and other information available and compute the correct cash balance before reconciling the statements.

Questions for Practice

Short Answers

1. State the need for the preparation of bank reconciliation statement?
2. What is a bank overdraft?
3. Briefly explain the statement 'wrongly debited by the bank' with the help of an example.
4. State the causes of difference occurred due to time lag.
5. Briefly explain the term 'favourable balance as per cash book'.
6. Enumerate the steps to ascertain the correct cash book balance.

Long Answers

1. What is a bank reconciliation statement. Why is it prepared?
2. Explain the reasons where the balance shown by the bank passbook does not agree with the balance as shown by the bank column of the cash book.
3. Explain the process of preparing bank reconciliation statement with amended cash balance.

Numerical Questions

Favourable balance of cash book and passbook –

1. From the following particulars, prepare a bank reconciliation statement as at March 31, 2017.
   (i) Balance as per cash book ₹ 3,200
   (ii) Cheque issued but not presented for payment ₹ 1,800
   (iii) Cheque deposited but not collected upto March 31, 2014 ₹ 2,000
   (iv) Bank charges debited by bank ₹ 150
   (*Ans*: Balance as per passbook ₹ 2,850)

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2. On March 31, 2017 the cash book showed a balance of ₹ 3,700 as cash at bank, but the bank passbook made up to same date showed that cheques for ₹ 700, ₹ 300 and ₹ 180 respectively had not presented for payment, Also, a cheque amounting to ₹ 1,200 deposited into the account had not been credited. Prepare a bank reconciliation statement.
(*Ans* : Balance as per passbook ₹ 3,680)

3. The cash book shows a bank balance of ₹ 7,800. On comparing the cash book with passbook the following discrepancies were noted:
   (a) Cheque deposited in bank but not credited ₹ 3,000
   (b) Cheque issued but not yet present for payment ₹ 1,500
   (c) Insurance premium paid by the bank ₹ 2,000
   (d) Bank interest credit by the bank ₹ 400
   (e) Bank charges ₹ 100
   (d) Directly deposited by a customer ₹ 4,000
   (*Ans:* Balance as per passbook ₹ 8,600)

4. Bank balance of ₹ 40,000 showed by the cash book of Atul on December 31, 2016. It was found that three cheques of ₹ 2,000, ₹ 5,000 and ₹ 8,000 deposited during the month of December were not credited in the passbook till January 02, 2017. Two cheques of ₹ 7,000 and ₹ 8,000 issued on December 28, were not presented for payment till January 03, 2017. In addition to it bank had credited Atul for ₹ 325 as interest and had debited him with ₹ 50 as bank charges for which there were no corresponding entries in the cash book.
   Prepare a bank reconciliation statement as on December 31, 2016.
   (*Ans:* Balance as per passbook ₹ 40,275)

5. On comparing the cash book with passbook of Naman it is found that on March 31, 2014, bank balance of ₹ 40,960 showed by the cash book differs from the bank balance with regard to the following:
   (a) Bank charges ₹ 100 on March 31, 2017, are not entered in the cash book.
   (b) On March 21, 2017, a debtor paid ₹ 2,000 into the company's bank in settlement of his account, but no entry was made in the cash book of the company in respect of this.
   (c) Cheques totaling ₹ 12,980 were issued by the company and duly recorded in the cash book before March 31, 2017, but had not been presented at the bank for payment until after that date.
   (d) A bill for ₹ 6,900 discounted with the bank is entered in the cash book without recording the discount charge of ₹ 800.
   (e) ₹ 3,520 is entered in the cash book as paid into bank on March 31st, 2017, but not credited by the bank until the following day.
   (f) No entry has been made in the cash book to record the dishon or on March 15, 2017 of a cheque for ₹ 650 received from Bhanu.
   Prepare a reconciliation statement as on March 31, 201.
   (*Ans:* Balance as per passbook ₹ 50,870)

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6. Prepare bank reconciliation statement as on December 31, 2017. This day the passbook of Mr. Himanshu showed a balance of ₹ 7,000.
   (a) Cheques of ₹ 1,000 directly deposited by a customer.
   (b) The bank has credited Mr. Himanshu for ₹ 700 as interest.
   (c) Cheques for ₹ 3000 were issued during the month of December but of these cheques for ₹ 1,000 were not presented during the month of December.

   (*Ans:* Balance as per cash book ₹ 3,300).
7. From the following particulars prepare a bank reconciliation statement showing the balance as per cash book on December 31, 2016.
   (a) Two cheques of ₹ 2,000 and ₹ 5,000 were paid into bank in October, 2016 but were not credited by the bank in the month of December.
   (b) A cheque of ₹ 800 which was received from a customer was entered in the bank column of the cash book in December 2016 but was omitted to be banked in December, 2016.
   (c) Cheques for ₹ 10,000 were issued into bank in November 2016 but not credited by the bank on December 31, 2016.
   (d) Interest on investment ₹ 1,000 collected by bank appeared in the passbook.

   Balance as per Passbook was ₹ 50,000

   (*Ans:* Balance as per cash book ₹ 47,800)
8. Balance as per passbook of Mr. Kumar is 3,000.
   (a) Cheque paid into bank but not yet cleared

   Ram Kumar ₹ 1,000

   Kishore Kumar ₹ 500
   (b) Bank Charges ₹ 300
   (c) Cheque issued but not presented

   Hameed ₹ 2,000
   Kapoor ₹ 500
   (d) Interest entered in the passbook but not entered in the cash book ₹ 100

   Prepare a bank reconciliation statement.

   (*Ans:* Balance as per cash book ₹ 2,200).
9. The passbook of Mr. Mohit current account showed a credit Balance of ₹ 20,000 on dated December 31, 2016. Prepare a Bank Reconciliation Statement with the following information.
   (i) A cheque of ₹ 400 drawn on his saving account has been shown on current account.
   (ii) He issued two cheques of ₹ 300 and ₹ 500 on of December 25, but only the Ist cheque was presented for payment.
   (iii) One cheque issued by Mr. Mohit of ₹ 500 on December 25, but it was not presented for payment whereas it was recorded twice in the cash book.

   (*Ans:* Balance as per cash book ₹ 18,900).

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Unfavourable balance of cash book

10. On Ist January 2017, Rakesh had an overdraft of ₹ 8,000 as showed by his cash book. Cheques amounting to ₹ 2,000 had been paid in by him but were not collected by the bank by January 01, 2017. He issued cheques of ₹ 800 which were not presented to the bank for payment up to that day. There was a debit in his passbook of ₹ 60 for interest and ₹ 100 for bank charges. Prepare bank reconciliation statement for comparing both the balance.
(*Ans:* Overdraft as per passbook ₹ 9,360)

11. Prepare bank reconciliation statement.
    (i) Overdraft shown as per cash book on December 31, 2017 ₹ 10,000.
    (ii) Bank charges for the above period also debited in the passbook ₹ 100.
    (iii) Interest on overdraft for six months ending December 31, 2017 ₹ 380 debited in the passbook.
    (iv) Cheques issued but not incashed prior to December 31, 2017 amounted to ₹ 2,150.
    (v) Interest on Investment collected by the bank and credited in the passbook ₹ 600.
    (vi) Cheques paid into bank but not cleared before December, 31, 2017 were ₹ 1,100.
    (*Ans:* overdraft as per passbook ₹ 8,830).

12. Kumar find that the bank balance shown by his cash book on December 31, 2017 is ₹ 90,600 (Credit) but the passbook shows a difference due to the following reason:
    A cheque (post dated) for ₹ 1,000 has been debited in the bank column of the cash book but not presented for payment. Also, a cheque for ₹ 8,000 drawn in favour of Manohar has not yet been presented for payment. Cheques totaling ₹ 1,500 deposited in the bank have not yet been collected and cheque for ₹ 5,000 has been dishonoured.
    (*Ans:* overdraft as per passbook ₹ 90,100).

13. On December 31, 2017, the cash book of Mittal Bros. Showed an overdraft of ₹ 6,920. From the following particulars prepare a Bank Reconciliation Statement and ascertain the balance as per passbook.
    (1) Debited by bank for ₹ 200 on account of Interest on overdraft and ₹ 50 on account of charges for collecting bills.
    (2) Cheques drawn but not encashed before December, 31, 2017 for ₹ 4,000.
    (3) The bank has collected interest and has credited ₹ 600 in passbook.
    (4) A bill receivable for ₹ 700 previously discounted with the bank had been dishonoured and debited in the passbook.
    (5) Cheques paid into bank but not collected and credited before December 31, 2017 amounted ₹ 6,000.
    (*Ans:* Overdraft as per passbook ₹ 9,170).

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Unfavourable balance of the passbook

14. Prepare bank reconciliation statement of Shri Bhandari as on March 31, 2017
    (i) The Payment of a cheque for ₹ 550 was recorded twice in the passbook.
    (ii) Withdrawal column of the passbook under cast by ₹ 200
    (iii) A Cheque of ₹ 200 has been debited in the bank column of the Cash Book but it was not sent to bank at all.
    (iv) A Cheque of ₹ 300 debited to Bank column of the cash book was not sent to the bank.
    (v) ₹ 500 in respect of dishonoured cheque were entered in the passbook but not in the cash book.
    Overdraft as per passbook is ₹ 20,000.
    (*Ans:* Overdraft as per cash book ₹ 21,350).
15. Overdraft shown by the passbook of Mr. Murli is ₹ 20,000. Prepare bank reconciliation statement on dated March 31, 2017.
    (i) Bank charges debited as per passbook ₹ 500.
    (ii) Cheques recorded in the cash book but not sent to the bank for collection ₹ 2,500.
    (iii) Received a payment directly from customer ₹ 4,600.
    (iv) Cheque issued but not presented for payment ₹ 6,980.
    (v) Interest credited by the bank ₹ 100.
    (vi) LIC paid by bank ₹ 2,500.
    (vii) Cheques deposited with the bank but not collected ₹ 3,500.
    (*Ans:* Overdraft as per cash book ₹ 22,680).
16. Raghav & Co. have two bank accounts. Account No. I and Account No. II. From the following particulars relating to Account No. I, find out the balance on that account of March 31, 2017 according to the cash book of the firm.
    (i) Cheques paid into bank prior to March 31, 2017, but not credited for ₹ 10,000.
    (ii) Transfer of funds from account No. II to account no. I recorded by the bank on March 31, 2017 but entered in the cash book after that date for ₹ 8,000.
    (iii) Cheques issued prior to March 31, 2017 but not presented until after that date for ₹ 7,429.
    (iv) Bank charges debited by bank not entered in the cash book for ₹ 200.
    (v) Interest Debited by the bank not entered in the cash book ₹ 580.
    (vi) Overdraft as per Passbook ₹ 18,990.
    (*Ans:* Overdraft as per cash book ₹ 23,639).
17. Prepare a bank reconciliation statement from the following particulars and show the balance as per cash book.

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(i) Balance as per passbook on March 31, 2017 overdrawn ₹ 20,000.

(ii) Interest on bank overdraft not entered in the cash book ₹ 2,000.

(iii) ₹ 200 insurance premium paid by bank has not been entered in the cash book.

(iv) Cheques drawn in the last week of March 2017, but not cleared till date for ₹ 3,000 and ₹ 3,500.

(v) Cheques deposited into bank on February 2017, but yet to be credited on dated March 31, 2017 ₹ 6,000.

(vii) Wrongly debited by bank ₹ 500.

(*Ans:* Overdraft as per cash book ₹ 17,800).

18. The passbook of Mr. Randhir showed an overdraft of ₹ 40,950 on March 31, 2017.

Prepare bank reconciliation statement on March 31, 2017.

(i) Out of cheques amounting to ₹ 8,000 drawn by Mr. Randhir on March 27 a cheque for ₹ 3,000 was encashed on April 2017.

(ii) Credited by bank with ₹ 3,800 for interest collected by them, but the amount is not entered in the cash book.

(iii) ₹ 10,900 paid in by Mr. Randhir in cash and by cheques on March, 31 cheques amounting to ₹ 3,800 were collected on April, 07.

(iv) A Cheque of ₹ 780 credited in the passbook on March 28 being dishonoured is debited again in the passbook on April 01, 2017. There was no entry in the cash book about the dishonour of the cheque until April 15.

(*Ans:* Overdraft as per cash book ₹ 43,170)

Checklist to Test Your Understanding

Test Your Understanding - I

(I) 1. Time gap 2. Error 3. Time gap
4. Time gap 5. Time gap

(II) (i) Customer account (ii) Debit (iii) Credit
(iv) Debit (v) Added (vi) Deducted
(vii) loss (viii) Loss (ix) Added
(x) Higher

Test Your Understanding - II

1. (b) 2. (c) 3. (a) 4. (a) 5. (c) 6. (b)

Test Your Understanding - III

1. (T) 2. (T) 3. (F) 4. (T) 5. (F) 6. (T) 7. (T) 8. (T) 9. (F)

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Trial Balance and Rectification of Errors

6

Learning Objectives

After studying this chapter, you will be able to :

- *state the meaning of trial balance;*
- *enumerate the objectives of preparing trial balance ;*
- *prepare trial balance;*
- *explain the types of errors;*
- *state various process of locating errors ;*
- *identify the errors which affect the agreement of trial balance and those which do not affect the agreement of trial balance;*
- *rectify the errors without preparing suspense account; and*
- *rectify the errors with suspense account.*

In the earlier chapters, you have learnt about the basic principles of accounting that for every debit there will be an equal credit. It implies that if the sum of all debits equals the sum of all credits, it is presumed that the posting to the ledger in terms of debit and credit amounts is accurate. The trial balance is a tool for verifying the correctness of debit and credit amounts. It is an arithmetical check under the double entry system which verifies that both aspects of every transaction have been recorded accurately. This chapter explains the meaning and process of preparation of trial balance and the types of errors and their rectification.

6.1 Meaning of Trial Balance

A trial balance is a statement showing the balances, or total of debits and credits, of all the accounts in the ledger with a view to verify the arithmatical accuracy of posting into the ledger accounts. Trial balance is an important statement in the accounting process as it shows the final position of all accounts and helps in preparing the final statements. The task of preparing the statements is simplified because the accountant can take the balances of all accounts from the trial balance instead of going through the whole ledger. It may be noted that the trial balance is usually prepared with the balances of accounts.

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Trial Balance of .....as on March 31, 2014

Account Title	*L.F.*	*Debit Balance* ₹	*Credit Balance* ₹
Total			

Fig. 6.1: *Showing format of a trial balance*

It is normally prepared at the end of an accounting year. However, an organisation may prepare a trial balance at the end of any chosen period, which may be monthly, quarterly, half yearly or annually depending upon its requirements.

In order to prepare a trial balance following steps are taken:

- Ascertain the balances of each account in the ledger.
- List each account and place its balance in the debit or credit column, as the case may be. (If an account has a zero balance, it may be included in the trial balance with zero in the column for its normal balance).
- Compute the total of debit balances column.
- Compute the total of the credit balances column.
- Verify that the sum of the debit balances equal the sum of credit balances. If they do not tally, it indicate that there are some errors. So one must check the correctness of the balances of all accounts. It may be noted that all assets expenses and receivables account shall have debit balances whereas all liabilities, revenues and payables accounts shall have credit balances (refer figure 6.2).

6.2 Objectives of Preparing the Trial Balance

The trial balance is prepared to fulfill the following objectives :

1. To ascertain the arithmetical accuracy of the ledger accounts.
2. To help in locating errors.
3. To help in the preparation of the financial statements. (Profit & Loss account and Balance Sheet).

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Account Title	*L.F.*	*Debit Balance* ₹	*Credit Balance* ₹
• Capital			✓
• Land and Buildings		✓	
• Plant and Machinery		✓	
• Equipment		✓	
• Furniture and Fixtures		✓	
• Cash in Hand		✓	
• Cash at Bank		✓	
• Debtors		✓	
• Bills Receivable		✓	
• Stock of Raw Materials		✓	
• Stock of Finished Goods		✓	
• Purchases		✓	
• Carriage Inwards		✓	
• Carriage Outwards		✓	
• Sales			✓
• Sales Return		✓	
• Purchases Return			✓
• Interest Paid		✓	
• Commission/Discount Received			✓
• Salaries		✓	
• Long Term Loan			✓
• Bills Payable			✓
• Creditors			✓
• Advances from Customers			✓
• Drawings		✓	
Total		**xxx**	**xxx**

Fig. 6.2 : Illustrative trial balance

6.2.1 To Ascertain the Arithmetical Accuracy of Ledger Accounts

As stated earlier, the purpose of preparing a trial balance is to asceitain whether all debits and credit are properly recorded in the ledger or not and that all accounts have been correctly balanced. As a summary of the ledger, it is a list of the accounts and their balances. When the totals of all the debit balances

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and credit balances in the trial balance are equal, it is assumed that the posting and balancing of accounts is arithmetically correct. However, the tallying of the trial balance is not a conclusive proof of the accuracy of the accounts. It only ensures that all debits and the corresponding credits have been properly recorded in the ledger.

6.2.2 To Help in Locating Errors

When a trial balance does not tally (that is, the totals of debit and credit columns are not equal), we know that at least one error has occured. The error (or errors) may have occured at one of those stages in the accounting process: (1) totalling of subsidiary books, (2) posting of journal entries in the ledger, (3) calculating account balances, (4) carrying account balances to the trial balance, and (5) totalling the trial balance columns.

It may be noted that the accounting accuracy is not ensured even if the totals of debit and credit balances are equal because some errors do not affect equality of debits and credits. For example, the book-keeper may debit a correct amount in the wrong account while making the journal entry or in posting a journal entry to the ledger. This error would cause two accounts to have incorrect balances but the trial balance would tally. Another error is to record an equal debit and credit of an incorrect amount. This error would give the two accounts incorrect balances but would not create unequal debits and credits. As a result, the fact that the trial balance has tallied does not imply that all entries in the books of original record (journal, cash book, etc.) have been recorded and posted correctly. However, equal totals do suggest that several types of errors probably have not occured.

6.2.3 To Help in the Preparation of the Financial Statements

Trial balance is considered as the connecting link between accounting records and the preparation of financial statements. For preparing a financial statement, one need not refer to the ledger. In fact, the availability of a tallied trial balance is the first step in the preparation of financial statements. All revenue and expense accounts appearing in the trial balance are transferred to the trading and profit and loss account and all liabilities, capital and assets accounts are transferred to the balance sheet.
(Preparation of the financial statements is explained in chapters, 9 and 10).

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6.3 Preparation of Trial Balance

Theoritically spreading, a trial balance can be prepared in the following three ways:

(i) Totals Method
(ii) Balances Method
(iii) Totals-cum-balances Method

6.3.1 Totals method

Under this method, total of each side in the ledger (debit and credit) is ascertained separately and shown in the trial balance in the respective columns. The total of debit column of trial balance should agree with the total of credit column in the trial balance because the accounts are based on double entry system. However, this method is not widely used in practice, as it does not help in assuming accuracy of balances of various accounts and and preparation of the fianancial statements.

6.3.2 Balances Method

This is the most widely used method in practice. Under this method trial balance is prepared by showing the balances of all ledger accounts and then totalling up the debit and credit columns of the trial balance to assure their correctness. The account balances are used because the balance summarises the net effect of all transactions relating to an account and helps in preparing the financial statements. It may be noted that in trial balance, normally in place of balances in individual accounts of the debtors, a figure of sundry debtors is shown, and in place of individual accounts of creditors, a figure of sundry creditors is shown.

6.3.3 Totals-cum-balances Method

This method is a combination of totals method and balances method. Under this method four columns for amount are prepared. Two columns for writing the debit and credit totals of various accounts and two columns for writing the debit and credit balances of these accounts. However, this method is also not used in practice because it is time consuming and hardly serves any additional or special purpose.

Let us now learn how will the trial balance be prepared using each of these methods with the help of the following example:

Mr. Rawat's ledger shows the following accounts for his business. Help him in preparing the trial balance using: (i) Totals method, (ii) Balances method, (iii) Totals-cum-Balances method.

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Rawat's Capital Account

Dr. **Cr.**

Date	*Particulars*	*J.F.*	*Amount* ₹	*Date*	*Particulars*	*J.F.*	*Amount* ₹
2014				2014			
Dec. 31	Balance c/d		60,000	Jan. 01	Balance b/d		40,000
					Cash		20,000
			60,000	2015			60,000
				Jan. 01	Balance b/d		60,000

Rohan's Account

Dr. **Cr.**

Date	*Particulars*	*J.F.*	*Amount* ₹	*Date*	*Particulars*	*J.F.*	*Amount* ₹
2014				2014			
	Cash		40,000	Jan. 01	Balance b/d		10,000
Dec. 31	Balance c/d		20,000		Purchases		50,000
			60,000	2015			60,000
				Jan. 1	Balance b/d		20,000

Machinery Account

Dr. **Cr.**

Date	*Particulars*	*J.F.*	*Amount* ₹	*Date*	*Particulars*	*J.F.*	*Amount* ₹
2014				2014			
Dec. 31	Balance b/d		20,000		Depreciation		3,000
				Dec. 31	Balance c/d		17,000
			20,000				20,000
2015							
Jan. 01	Balance b/d		17,000				

Rahul's Account

Dr. **Cr.**

Date	*Particulars*	*J.F.*	*Amount* ₹	*Date*	*Particulars*	*J.F.*	*Amount* ₹
2014				2014			
Jan. 01	Balance b/d		15,000		Cash		55,000
	Sales		60,000	Dec. 31	Balance c/d		20,000
2015			75,000				75,000
Jan. 01	Balance b/d		20,000				

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Sales Account

Dr. **Cr.**

Date	*Particulars*	*J.F.*	*Amount* ₹	*Date*	*Particulars*	*J.F.*	*Amount* ₹
				2014			
					Rahul		60,000
					Cash		10,000
							70,000

Cash Account

Dr. **Cr.**

Date	*Particulars*	*J.F.*	*Amount* ₹	*Date*	*Particulars*	*J.F.*	*Amount* ₹
2014				2014			
Jan. 01	Balanc e b/d		15,000		Rohan		40,000
	Capital		20,000		Wages		5,000
	Rahul		55,000		Purchases		12,000
	Sales		10,000	Dec. 31	Balance c/d		43,000
			1,00,000				1,00,000
2015							
Jan. 01	Balance b/d		43,000				

Wages Account

Dr. **Cr.**

Date	*Particulars*	*J.F.*	*Amount* ₹	*Date*	*Particulars*	*J.F.*	*Amount* ₹
2014							
	Cash		5,000				
			5,000				

Depreciation Account

Dr. **Cr.**

Date	*Particulars*	*J.F.*	*Amount* ₹	*Date*	*Particulars*	*J.F.*	*Amount* ₹
2014							
	Machinery		3,000				
			3,000				

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Purchases Account

Dr. **Cr.**

Date	*Particulars*	*J.F.*	*Amount* ₹	*Date*	*Particulars*	*J.F.*	*Amount* ₹
2014							
	Rohan		50,000				
	Cash		12,000				
			62,000				

The trial balance under the three methods is illustrated below:

(i) Trial Balance as at March 31, 2014
(Using Totals Method)

Account Title	*L.F.*	*Debit Total* ₹	*Credit Total* ₹
Rawat			60,000
Rohan		40,000	60,000
Machinery		20,000	3,000
Rahul		75,000	55,000
Sales			70,000
Cash		1,00,000	57,000
Wages		5,000	
Depreciation		3,000	
Purchases		62,000	
		3,05,000	3,05,000

(ii) Trial Balance as at March 31, 2014
(Using Balances Method)

Account Title	*L.F.*	*Debit Balance* ₹	*Credit Balance* ₹
Rawat's Capital			60,000
Rohan's Capital			20,000
Machinery		17,000	
Rahul		20,000	
Sales			70,000
Cash		43,000	
Wages		5,000	
Depreciation		3,000	
Purchases		62,000	
Total		1,50,000	1,50,000

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(iii) Trial Balance as at March 31, 2014
(Using Totals-cum-Balances Method)

Account Title	*L.F.*	*Debit Total* ₹	*Credit Total* ₹	*Debit Balance* ₹	*Credit Balance* ₹
Rawat's Capital			60,000		60,000
Rohan		40,000	60,000		20,000
Machinery		20,000	3,000	17,000	
Rahul		75,000	55,000	20,000	
Sales			70,000		70,000
Cash		1,00,000	57,000	43,000	
Wages		5,000		5,000	
Depreciation		3,000		3,000	
Purchases		62,000		62,000	
Total		3,05,000	3,05,000	1,50,000	1,50,000

Test Your Understanding - I

Indicate against each amount wheather it is a debit or a credit balance, and prepare a trial balance as at March 31, 2014 based on the following balances:

Accounts Title	*Amount* ₹
Capital	1,00,000
Drawings	16,000
Machinery	20,000
Sales	2,00,000
Purchases	2,10,000
Sales return	20,000
Purchases return	30,000
Wages	40,000
Goodwill	60,000
Interest received	15,000
Discount allowed	6,000
Bank overdraft	22,000
Bank loan	90,000
Debtors :	
Nathu	55,000
Roopa	20,000
Creditors :	
Reena	35,000
Ganesh	25,000
Cash	54,000
Stock on April 01, 2013	16,000

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6.4. Significance of Agreement of Trial Balance

It is important for an accountant that the trial balance should tally. Normally a tallied trial balance means that both the debit and the credit entries have been made correctly for each transaction. However, as stated earlier, the agreement of trial balance is not an absolute proof of accuracy of accounting records. A tallied trial balance only proves, to a certain extent, that the posting to the ledger is arithmetically correct. But it does not guarantee that the entry itself is correct. There can be errors, which affect the equality of debits and credits, and there can be errors, which do not affect the equality of debits and credits. Some common errors include the following:

- Error in totalling of the debit and credit balances in the trial balance.
- Error in totalling of subsidiary books.
- Error in posting of the total of subsidiary books.
- Error in showing account balances in wrong column of the tiral balance, or in the wrong amount.
- Omission in showing an account balance in the trial balance.
- Error in the calculation of a ledger account balance.
- Error while posting a journal entry: a journal entry may not have been posted properly to the ledger, i.e., posting made either with wrong amount or on the wrong side of the account or in the wrong account.
- Error in recording a transaction in the journal: making a reverse entry, i.e., account to be debited is credited and amount to be credited is debited, or an entry with wrong amount.
- Error in recording a transaction in subsidiary book with wrong name or wrong amount.

6.4.1 Classification of Errors

Keeping in view the nature of errors, all the errors can be classified into the following four categories:

- Errors of Commission
- Errors of Omission
- Errors of Principle
- Compensating Errors

6.4.2 Errors of Commission

These are the errors which are committed due to wrong posting of transactions, wrong totalling or wrong balancing of the accounts, wrong casting of the subsidiary books, or wrong recording of amount in the books of original entry, etc. For example: Raj Hans Traders paid ₹25,000 to Preetpal Traders (a supplier of goods). This transaction was correctly recorded in the cashbook.

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But while posting to the ledger, Preetpal's account was debited with ₹ 2,500 only. This constitutes an error of commission. Such an error by definition is of clerical nature and most of the errors of commission affect in the trial balance.

6.4.3 Errors of Omission

The errors of omission may be committed at the time of recording the transaction in the books of original entry or while posting to the ledger. These can be of two types:

(i) error of complete omission
(ii) error of partial omission

When a transaction is completely omitted from recording in the books of original record, it is an error of complete omission. For example, credit sales to Mohan ₹ 10,000, not entered in the sales book. When the recording of transaction is partly omitted from the books, it is an error of partial omission. If in the above example, credit sales had been duly recorded in the sales book but the posting from sales book to Mohan's account has not been made, it would be an error of partial omission.

6.4.4 Errors of Principle

Accounting entries are recorded as per the generally accepted accounting principles. If any of these principles are violated or ignored, errors resulting from such violation are known as errors of principle. An error of principle may occur due to incorrect classification of expenditure or receipt between capital and revenue. This is very important because it will have an impact on financial statements. It may lead to under/over stating of income or assets or liabilities, etc. For example, amount spent on additions to the buildings should be treated as capital expenditure and must be debited to the asset account. Instead, if this amount is debited to maintenance and repairs account, it has been treated as a revenue expense. This is an error of principle. Similarly, if a credit purchase of machinery is recorded in purchases book instead of journal proper or rent paid to the landlord is recorded in the cash book as payment to landlord, these errors of principle. These errors do not affect the trial balance.

6.4.5 Compensating Errors

When two or more errors are committed in such a way that the net effect of these errors on the debits and credits of accounts is nil, such errors are called compensating errors. Such errors do not affect the tallying of the trial balance. For example, if purchases book has been overcast by ₹ 10,000 resulting in excess debit of ₹ 10,000 in purchases account and sales returns book is undercast by ₹ 10,000 resulting in short debit to sales returns account is a

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case of two errors compensating each other's effect. One plus is set off by the other minus, the net effect of these two errors is nil and so they do not affect the agreement of trial balance.

6.5 Searching of Errors

If the trial balance does not tally, it is a clear indication that at least one error has occured. The error (or errors) needs to be located and corrected before preparing the financial statements.

If the trial balance does not tally, the accountant should take the following steps to detect and locate the errors :

- Recast the totals of debit and credit columns of the trial balance.
- Compare the account head/title and amount appearing in the trial balance, with that of the ledger to detect any difference in amount or omission of an account.
- Compare the trial balance of current year with that of the previous year to check additions and deletions of any accounts and also verify whether there is a large difference in amount, which is neither expected nor explained.
- Re-do and check the correctness of balances of individual accounts in the ledger.
- Re-check the correctness of the posting in accounts from the books of original entry.
- If the difference between the debit and credit columns is divisible by 2, there is a possibility that an amount equal to one-half of the difference may have been posted to the wrong side of another ledger account. For example, if the total of the debit column of the trial balance exceeds by ₹ 1,500, it is quite possible that a credit item of ₹750 may have been wrongly posted in the ledger as a debit item. To locate such errors, the accountant should scan all the debit entries of an amount of ₹ 750.
- The difference may also indicate a complete omission of a posting. For example, the difference of ₹ 1,500 given above may be due to omissions of a posting of that amount on the credit side. Thus, the accountant should verify all the credit items with an amount of ₹ 1,500.
- If the difference is a multiple of 9 or divisible by 9, the mistake could be due to transposition of figures. For example, if a debit amount of ₹ 459 is posted as ₹ 954, the debit total in the trial balance will exceed the credit side by ₹ 495 (i.e. 954 – 459 = 495). This difference is divisible by 9. A mistake due to wrong placement of the decimal point may also be checked by this method. Thus, a difference in trial balance divisible by 9 helps in checking the errors for a transposed mistake.

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6.6 Rectification of Errors

From the point of view of rectification, the errors may be classified into the following two categories:

(a) errors which do not affect the trial balance.

(b) errors which affect the trial balance.

This distinction is relevant because the errors which do not affect the trial balance usually take place in two accounts in such a manner that it can be easily rectified through a journal entry whereas the errors which affect the trial balance usually affect one account and a journal entry is not possible for rectification unless a suspense account has been opened. Such errors are rectified by passing a nullifying entry in the respective account as explained before under 6.6.2.

6.6.1 Rectification of Errors which do not Affect the Trial Balance

These errors are committed in two or more accounts. Such errors are also known as two sided errors. They can be rectified by recording a journal entry giving the correct debit and credit to the concerned accounts.

Examples of such errors are – complete omission to record an entry in the books of original entry; wrong recording of transactions in the book of accounts; complete omission of posting to the wrong account on the correct side, and errors of principle.

The rectification process essentially involves:

- Cancelling the effect of wrong debit or credit by reversing it; and
- Restoring the effect of correct debit or credit.

  For this purpose, we need to analyse the error in terms of its effect on the accounts involved which may be:

  (i) Short debit or credit in an account; and/or

  (ii) Excess debit or credit in an account.

Therefore, rectification entry can be done by:

(i) debiting the account with short debit or with excess credit,

(ii) crediting the account with excess debit or with short credit.

The procedure for rectification for such errors is explained with the help of following examples:

(a) Credit sales to Mohan ₹ 10,000 were not recorded in the sales book. This is an error of complete omission. Its affect is that Mohan's account has not been debited and Sales account has not been credited. Accordingly, recording usual entry for credit sales will rectify the error.

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Mohan's A/c	Dr.	10,000	
To Sales A/c			10,000

(b) Credit sales to Mohan ₹ 10,000 were recorded as ₹ 1,000 in the sales book. This is an error of commission. The effect of wrong recording is shown below:

Mohan's A/c	Dr.	1,000	
To Sales A/c			1,000

Correct effect should have been:

Mohan's A/c	Dr.	10,000	
To Sales A/c			10,000

Now that Mohan's account has to be given an additional debit of ₹ 9,000 and sales account has to be credited with additional amount of ₹ 9,000, rectification entry will be:

Mohan's A/c	Dr.	9,000	
To Sales A/c			9,000

(c) Credit sales to Mohan ₹ 10,000 were recorded as ₹ 12,000. This is an error of commission. The effect of wrong entry made has been:

Mohan's A/c	Dr.	12,000	
To Sales A/c			12,000

Correct effect should have been:

Mohan's A/c	Dr.	10,000	
To Sales A/c			10,000

You can see that there is an excess debit of ₹ 2,000 in Mohan's account and excess credit of ₹ 2,000 in sales account.

The, rectification entry will be recorded as follows:

Sales A/c	Dr.	2,000	
To Mohan's A/c			2,000

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(d) Credit sales to Mohan ₹ 10,000 was correctly recorded in the sales book but was posted to Ram's account. This is an error of commission. The effect of wrong posting has been:

Ram's A/c	Dr.	10,000	
To Sales A/c			10,000

Correct effect should have been :

Mohan's A/c	Dr.	10,000	
To Sales A/c			10,000

Notice that there is no error in sales account. But Ram's account has been debited with ₹ 10,000 instead of Mohan's account.

Hence rectification entry will be:

Mohan's A/c	Dr.	10,000	
To Ram's A/c			10,000

(e) Rent paid ₹ 2,000 was wrongly shown as payment to landlord in the cash book:
The effect of wrong posting has been:

Landlord's A/c	Dr.	2,000	
To Cash A/c			2,000

Correct effect should have been:

Rent A/c	Dr.	2,000	
To Cash A/c			2,000

Landlord's account has been wrongly debited instead of Rent account.

Hence, rectification entry will be:

Rent A/c	Dr.	2,000	
To Landlord's A/c			2,000

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Test Your Understanding - II

Record the rectification entry for the following transactions:

1. Credit sales to Rajni ₹ 5,000 recorded in Purchases book:
   This is an error of .....
   State the wrong entry recorded in the book of accounts

Correct effect should have been:

The rectification entry will be:

2. Furniture purchased from M/s Rao Furnishigs for ₹ 8,000 was entered into the purchases book.
   This is the error of .....
   State the wrong entry recorded in the book of accounts

Correct effect should have been:

The rectification entry will be:

3. Cash sales to Radhika ₹ 15,000 was shown as receipt of commission in the cash book.
   This is the error of .....
   State the wrong entry recorded in the book of accounts

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Correct effect should have been:

The rectification entry will be:

4. Cash received from Karim ₹ 6,000 posted to Nadeem.
This is the error of .....
State the wrong entry recorded in the book of accounts:

Correct effect should have been:

The rectification entry will be:

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6.6.2 Rectification of Errors Affecting Trial Balance

The errors which affect only one account can be rectified by giving an exaplanatory note in the account affected or by recording a journal entry with the help of the Suspense Account. Suspense Account is explained later in this chapter. Examples of such errors are error of casting; error of carrying forward; error of balancing; error of posting to correct account but with wrong amount; error of posting to the correct account but on the wrong side; posting to the wrong side with the wrong amount; omitting to show an account in the trial balance.

An error in the books of original entry, if discovered before it is posted to the ledger, may be corrected by crossing out the wrong amount by a single line and writing the correct amount above the crossed amount and initialling it. An error in an amount posted to the correct ledger account may also be corrected in a

similar way, or by making an additional posting for the difference in amount and giving an explanatory note in the particulars column. But errors should never be corrected by erasing or overwriting reduces the authenticity of accounting records and give an impression that something is being concealed. A better way therefore is by noting the correction on the appropriate side for neutralising the effect of the error. Take for example a case where Shyam's account was credited short by ₹ 190. This will be rectified by an additional entry for ₹ 190 on the credit side of his account as follows.

Shyam's Account

Dr. **Cr.**

Date	*Particulars*	*J.F.*	*Amount* ₹	*Date*	*Particulars*	*J.F.*	*Amount* ₹
					Difference in amount posted short on.....		190

Take another example, purchases book was undercast by ₹ 1,000. The effect of this entry is on purchases account (debit side) where the total of purchases book is posted

Purchases Account

Dr. **Cr.**

Date	*Particulars*	*J.F.*	*Amount* ₹	*Date*	*Particulars*	*J.F.*	*Amount* ₹
	Undercasting purchases book for the month of....		1,000				

Suspense Account

Even if the trial balance does not tally due to the existence of one sided errors, accountant has to carry forward his accounting process prepare financial statements. The accountant tallies his trial balance by putting the difference on shorter side as 'suspense account'.

The process of opening of suspense account can be understood with the help of the following example:

Consider the sales book of an organisation.

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Sales Book (Journal)

Date	*Invoice No.*	*Name of customers (Accounts to be debited)*	*L.F.*	*Amount* ₹
		Ashok traders		20,000
		Bimal service centre		10,000
		Chopra enterprises		5,000
		Diwakar and sons		15,000
				50,000

If sales to Diwakar and sons were not posted to his account, ledger will show the following position:

Ashok Traders Account

Dr. **Cr.**

Date	*Particulars*	*J.F.*	*Amount* ₹	*Date*	*Particulars*	*J.F.*	*Amount* ₹
	Sales		20,000		Balance c/d		20,000
			20,000				20,000

Bimal Service Centre's Account

Dr. **Cr.**

Date	*Particulars*	*J.F.*	*Amount* ₹	*Date*	*Particulars*	*J.F.*	*Amount* ₹
	Sales		10,000		Balance c/d		10,000
			10,000				10,000

Chopra Enterprises Account

Dr. **Cr.**

Date	*Particulars*	*J.F.*	*Amount* ₹	*Date*	*Particulars*	*J.F.*	*Amount* ₹
	Sales		5,000		Balance c/d		5,000
			5,000				5,000

Sales Account

Cr. **Dr.**

Date	*Particulars*	*J.F.*	*Amount* ₹	*Date*	*Particulars*	*J.F.*	*Amount* ₹
					Sundries		*50,000*

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The trial balance when prepared on the basis of above balances will not tally. Its credit column total will amount to ₹ 50,000 and debit column total to ₹ 35,000. The trial balance would differ with ₹ 15,000. This difference will be temporarily put to suspense account and trial balance will be made to agree in the ledger.

In the above case, difference in trial balance has arisen due to one sided error (omission of posting to Diwakar and sons's account). In a real situation, there can be many other such one-sided errors which cause a difference in trial balance and thus result in opening of the suspense account. Till the all errors affecting agreement of trial balance are not located it is not possible to rectify them and tally the trial balance in such a situation, is shown in the Suspense account, make the total of debit and credit columns and proceed further with the accounting process.

When the errors are located and the specific accounts and amounts involved are identified, the amounts are transferred from suspense account to the relevant accounts thereby closing the suspense account. Thus, suspense account is not placed in any particular category of accounts and is just a temporary phenomenon.

While rectifying one-sided errors using suspense account, the following steps are taken:

(i) Identify the account affected due to error.

(ii) Ascertain the amount of excess debit/credit or short debit/credit in the affected account.

(iii) If the error has resulted in excess debit or short credit in the affected account, credit the account with the amount of excess debit or short credit.

(iv) If the error has resulted in excess credit or short debit in the affected account, debit the account with the amount of excess credit or short debit.

(v) Complete the journal entry by debiting or crediting the suspense account as another account affected otherwise.

We will now discuss the process of rectification using suspense account:

(a) Credit sales to Mohan ₹ 10,000 were not posted to his account. This is an error of partial omission comitted while posting entries of the sales book.

Wrong effect has been:

Mohan's A/c	Dr.	Nil	
To Sales A/c			10,000

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Correct effect should have been:

Mohan's A/c	Dr.	10,000	
To Sales A/c			10,000

The rectification entry will be :

Mohan's A/c	Dr.	10,000	
To Suspense A/c			10,000

(b) Credit sales to Mohan ₹ 10,000 were posted to his account as ₹ 7000. This is an error of commission. Mohan's account has been debited with ₹ 7,000 instead of ₹ 10,000 resulting in short debit of ₹ 3,000.
The wrong effect has been:

Mohan's A/c	Dr.	7,000	
To Sales A/c			10,000

Correct effect should have been:

Mohan's A/c	Dr.	10,000	
To Sales A/c			10,000

Hence, rectification entry will be:

Mohan's A/c	Dr.	3,000	
To Suspens A/c			3,000

(*c*) Credit sales to Mohan ₹ 10,000 were posted to his account as ₹ 12,000. This is an error of commission. The wrong effect has been:

Mohan's A/c	Dr.	12,000	
To Sales A/c			10,000

Correct effect should have been

Mohan's A/c	Dr.	10,000	
To Sales A/c			10,000

The rectification entry will be:

Suspense A/c	Dr.	2,000	
To Mohan's A/c			2,000

(*d*) Purchases book overcast by ₹ 1,000. Errors in casting of subsidiary books affect only those accounts where totals of the subsidiary books involved are

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posted. The accounts of individual parties are not affected. Consider the following example.

Purchases (Journal) Book

Date	*Invoice No.*	*Name of suppliers (Accounts to be credited)*	*L.F.*	*Amount* ₹
		Dheru		8,000
		Chandraprakash		7,000
		Sachin		6,000
				21,000
		Wrong total due to overcasting		22,000

Dheru's Account

Dr. **Cr.**

Date	*Particulars*	*J.F.*	*Amount* ₹	*Date*	*Particulars*	*J.F.*	*Amount* ₹
					Purchases		8,000

Chandraprakash's Account

Dr. **Cr.**

Date	*Particulars*	*J.F.*	*Amount* ₹	*Date*	*Particulars*	*J.F.*	*Amount* ₹
					Purchases		7,000

Sachin's Account

Dr. **Cr.**

Date	*Particulars*	*J.F.*	*Amount* ₹	*Date*	*Particulars*	*J.F.*	*Amount* ₹
					Purchases		6,000

Purchases Account

Dr. **Cr.**

Date	*Particulars*	*J.F.*	*Amount* ₹	*Date*	*Particulars*	*J.F.*	*Amount* ₹
	Sundries		22,000				

As you can notice that there is no error in accounts of Dheeru, Chanderprakash and Sachin. Only purchases account has been debited with ₹ 1,000 extra. Hence, rectification entry will be:

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Suspense A/c	Dr.	1,000	
To Purchases A/c			1,000

6.6.3 Rectification of Errors in the Next Accounting Year

If some errors committed during an accounting year are not located and rectified before the finalisation of financial statements, suspense account cannot be closed and its balance will be carried forward to the next accounting period. When the errors committed in one accounting year are located and rectified in the next accounting year, profit and loss adjustment account is debited or credited in place of accounts of expenses/losses and incomes/ gains in order to avoid impact on the income statement of next accounting period. You will learn about this aspect at an advanced stage of your studies in accounting.

Box 1

Guiding Principles of Rectification of Errors

1. If error is committed in books of original entry then assume all postings are done accordingly.
2. If error is at the posting stage then assume that recording in the subsidiary books has been correctly done.
3. If error is in posting to a wrong account (without mentioning side and amount of posting) then assume that posting has been done on the right side and with the right amount.
4. If posting is done to a correct account but with wrong amount (without mentioning side of posting) then assume that posting has been done on the correct side.
5. If error is posting to a wrong account on the wrong side (without mentioning amount of posting) then assume that posting has been done with the amount as per the original recording of the transaction.
6. If error is of posting to a wrong account with wrong amount (without mentioning the side of posting) then assume that posting has been done on the right side.
7. If posting is done to a correct account on the wrong side (without mentioning amount of posting) then assume that posting has been done with correct amount as per original recording.
8. Any error in posting of individual transactions in subsidiaries books relates to individual account only, the sales account, purchase account, sales return account or purchases return account are not involved.

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9. If a transaction is recorded in cash book, then the error in posting relates to the other affected account, not to cash account/bank account
10. If a transaction is recorded through journal proper, then the phrase 'transaction was not posted' indicates error in both the accounts involved, unless stated otherwise.
11. Error in casting of subsidiary books will affect only that account where total of the particular book is posted leaving the individual personal accounts unaffected.

Test Your Understanding - III

Show the effect through Journal entries:

1. Credit sales to Mohan ₹ 10,000 were posted to his account as ₹ 12,000
   This is an error of .....
   The wrong effect has been:

The correct effect should have been:

The rectification entry will be.

2. Cash paid to Neha ₹ 2,000 was not posted to her account. This is an error of .....
   The wrong effect has been:

The correct effect should have been:

The rectification entry will be:

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3. Sales returns from Megha ₹ 1,600 were posted to her account as ₹ 1,000.
This is an error of .....
The wrong effect has been:

The correct effect should have been:

The rectification entry will be:

4. Depreciation written off on furniture ₹ 1,500 was not posted to depreciation account. This is an error of .....
The wrong effect has been:

The correct effect should have been:

The rectification entry:

Illustration 1

Rectify the following errors:

Credit purchases from Raghu ₹ 20,000

(i) were not recorded.
(ii) were recorded as ₹ 10,000.
(iii) were recorded as ₹ 25,000.
(iv) were not posted to his account.
(v) were posted to his account as ₹ 2,000.
(vi) were posted to Reghav's account.
(vii) were posted to the debit of Raghu's account.
(viii) were posted to the debit of Raghav.
(ix) were recorded through sales book.

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Solution

(i)

Purchases A/c	Dr.	20,000	
To Raghu's A/c			20,000

(Credit purchases from Raghu omitted to be recorded, now corrected)

(ii)

Purchases A/c	Dr.	10,000	
To Raghu's A/c			10,000

(Credit purchases from Raghu recorded as ₹ 10,000 instead of ₹ 20,000, now corrected)

(iii)

Raghu's A/c	Dr.	5,000	
To Purchases A/c			5,000

(Credit purchases from Raghu recorded as ₹ 25,000 instead of ₹ 20,000).

(iv)

Suspense A/c	Dr.	20,000	
To Raghu's A/c			20,000

(Credit purchases from Raghu not posted to his account now corrected).

(v)

Suspense A/c	Dr.	18,000	
To Raghu's A/c			18,000

(Credit purchases from Raghu ₹ 20,000 posted to his account as ₹ 2,000

(vi)

Raghav's A/c	Dr.	20,000	
To Raghu's A/c			20,000

(Credit purchases from Raghu wrongly credited to Raghav, now corrected)

(vii)

Suspense A/c	Dr.	40,000	
To Raghu's A/c			40,000

(Credit purchases from Raghu ₹ 20,000 wrongly posted to the debit of his account, now corrected).

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(viii)

Suspense A/c	Dr.	40,000	
To Raghav's A/c			20,000
To Raghu's A/c			20,000

(Credited purchases from Raghu ₹ 20,000 wrongly debited to Raghav, now corrected).

(ix)

Sales A/c	Dr.	20,000	
Purchases A/c	Dr.	20,000	
To Raghu's A/c			40,000

(Credit purchases from Raghu wrongly recorded through sales book, now corrected).

Illustration 2

Rectify the following errors :
Cash sales ₹ 16,000

(i) were not posted to sales account.
(ii) were posted as ₹ 6,000 in sales account.
(iii) were posted to commission account.

Solution

(i)

Suspense A/c	Dr.	16,000	
To Sales A/c			16,000

(Cash sales not posted to sales account now rectified)

(ii)

Suspense A/c	Dr.	10,000	
To Sales A/c			10,000

(Cash sales ₹ 16,000 were posted to sales account as ₹ 6,000, now rectified)

(iii)

Commission A/c	Dr.	16,000	
To Sales A/c			16,000

(Cash sales posted to commission account instead of sales account, now corrected)

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Illustration 3

Depreciation written-off as the machinery ₹ 2,000

(i) was not posted at all
(ii) was not posted to machinery account
(iii) was not posted to depreciation account

Solution

(i) It was recorded through journal proper. From journal proper posting to all the accounts are made individually. Hence, no posting was made to depreciation account and machinery account. Therefore, rectification entry will be :

Depreciation A/c	Dr.	2,000	
To Machinery A/c			2,000
(Depreciation on machinery not posted, now corrected)			

(ii) In this case posting was not made to machinery account. It is to be assumed that depreciation account should have been correctly debited. Therefore, rectification entry shall be :

Suspense A/c	Dr.	2,000	
To Machinery A/c			2,000
(Depreciation on machinery not posted to Machinery account, now corrected).			

(iii) In this case depreciation account was not been debited. However, machinery account must have been correctly credited. Therefore, rectification entry shall be :

Depreciation A/c	Dr.	2,000	
To Suspense A/c			2,000
(Depreciation on machinery not posted to Depreciation account, now corrected).			

Illustration 4

Trial balance of Anurag did not agree. It showed an excess credit ₹ 10,000. Anurag put the difference to suspense account. He located the following errors :

(i) Sales return book over cast by ₹ 1,000.
(ii) Purchases book was undercast by ₹ 600.
(iii) In the sales book total of page no. 4 was carried forward to page 5 as ₹ 1,000 instead of ₹ 1,200 and total of page 8 was carried forward to page 9 as ₹ 5,600 instead of ₹ 5,000.
(iv) Goods returned to Ram ₹ 1,000 were recorded through sales book.
(v) Credit purchases from M & Co. ₹ 8,000 were recorded through sales book.
(vi) Credit purchases from S & Co. ₹ 5,000 were recorded through sales book. However, S & Co. were correctly credited.
(vii) Salary paid ₹ 2,000 was debited to employee's personal account.

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Solution

(i)

Suspense A/c	Dr.	1,000	
To Sales Return A/c			1,000
(Sales returns book overcast by ₹ 1,000, now corrected).			

(ii)

Purchases A/c	Dr.	600	
To Suspense A/c			600
(Purchases book undercast by ₹ 600, now corrected)			

(iii)

Sales A/c	Dr.	400	
To Suspense A/c			400
(Error in carry forward of sales book, now corrected).			

Note: *Errors in carry forward the total of one page to another during a period finally affects the total of that book resulting in error of under/overcasting. In this case, carry forward from page 4 to 5 resulted in undercasting of ₹ 200 and carry forward from page 8 to page 9 resulted in overcasting of ₹ 600. Overall overcasting being ₹ 600–200 = ₹ 400.*

(iv)

Sales A/c	Dr.	1,000	
To Return Outwards A/c			1,000
(Return Outwards wrongly recorded through sales book, now rectified).			

(v)

Purchases A/c	Dr.	8,000	
Sales A/c	Dr.	8,000	
To M & Co.'s A/c			16,000
(Credit purchases wrongly recorded through sales book, now rectified).			

(vi)

Purchases A/c	Dr.	5,000	
Sales A/c	Dr.	5,000	
To Suspense A/c			10,000
(Credit purchases wrongly recorded through sales book, however suppliers account correctly credited, now rectified).			

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(vii)

Salary A/c	Dr.	2,000	
To Employee's personal A/c			2,000

(Salary paid wrongly debited to employee's personal account, now corrected)

Suspense Account

Dr. **Cr.**

Date	*Particulars*	*J.F.*	*Amount* ₹	*Date*	*Particulars*	*J.F.*	*Amount* ₹
	Difference as per trial balance		10,000		Purchases		600
	Sales return		1,000		Sales		400
					Purchases		5,000
					Sales		5,000
			11,000				11,000

Illustration 5

Trial balance of Rahul did not agree. Rahul put the difference to suspense account. Subsequently, he located the following errors :

(i) Wages paid for installation of Machinery ₹ 600 was posted to wages account.
(ii) Repairs to Machinery ₹ 400 debited to Machinery account.
(iii) Repairs paid for the overhauling of second hand machinery purchased ₹ 1,000 was debited to Repairs account.
(iv) Own business material ₹ 8,000 and wages ₹ 2,000 were used for construction of building. No adjustment was made in the books.
(v) Furniture purchased for ₹ 5,000 was posted to purchase account as ₹ 500.
(vi) Old machinery sold to Karim at its book value of ₹ 2,000 was recorded through sales book.
(vii) Total of sales returns book ₹ 3,000 was not posted to the ledger.

Rectify the above errors and prepare suspense account to ascertain the original difference in trial balance.

(i)

Machinery A/c	Dr.	600	
To Wages A/c			600

(Wages paid for installation of machinery wrongly debited to wages account, now rectified)

(ii)

Repairs A/c	Dr.	400	
To Machinery A/c		400	

(Repairs paid wrongly debited to machinery account now rectified)

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(iii)

Machinery A/c	Dr.	1,000	
To Repairs A/c			1,000

(Repairs for overhauling of second hand machinery purchased, wrongly debited to repairs account, now rectified).

(iv)

Building A/c	Dr.	10,000	
To Purchases A/c			8,000
To Wages A/c			2,000

(Material and wages used for construction of Building, not debited to building account).

(v)

Furniture A/c	Dr.	5,000	
To Purchases A/c			500
To Suspense A/c			4,500

(Furniture purchased for ₹ 5,000 wrongly debited to purchases account as ₹ 500, now rectified).

(vi)

Sales A/c	Dr.	2,000	
To Machinery			2,000

(Sale of machinery wrongly recorded in sales book, now rectified).

(vii)

Sales Return A/c	Dr.	3,000	
To Suspense A/c			3,000

(Total of sales returns book not posted to ledger, now rectified).

Suspense Account

Date	*Particulars*	*J.F.*	*Amount* ₹	*Date*	*Particulars*	*J.F.*	*Amount* ₹
	Difference as per trial balance		7,500		Furniture Sales return		4,500 3.000
			7,500				7,500

Hence, original difference in Trial Balance was ₹ 7,500 excess on the Credit side.

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Illustration 6

Trial balance of Anant Ram did not agree. It showed an excess credit of ₹ 16,000. He put the difference to suspense account. Subsequently the following errors were located:

(i) Cash received from Mohit ₹ 4,000 was posted to Mahesh as ₹ 1,000.

(ii) Cheque for ₹ 5,800 received from Arnav in full settlement of his account of ₹ 6,000, was dishonoured. No entry was passed in the books on dishonour of the cheque.

(iii) ₹ 800 received from Khanna, whose account had previously been written off as bad, was credited to his account.

(iv) Credit sales to Manav for ₹ 5,000 was recorded through the purchases book as ₹ 2,000.

(v) Purchases book undercast by ₹ 1,000.

(vi) Repairs on machinery ₹ 1,600 wrongly debited to Machinery account as ₹ 1,000.

(vii) Goods returned by Nathu ₹ 3,000 were taken into stock. No entry was recorded in the books.

Solution

(i)

Mahesh's A/c	Dr.	1,000	
Suspense A/c	Dr.	3,000	
To Mohit's A/c			4,000
(Cash received from Mohit ₹ 4,000 wrongly posted to Mahesh as ₹1,000, now rectified)			

(ii)

Arnav's A/c	Dr.	6,000	
To Bank A/c			5,800
To Discount Allowed A/c			200
(Cheque received from Arnav for ₹ 5,800 in full settlement of his account of ₹ 6,000, dishonoured but no entry made in books, now rectified)			

(iii)

Khanna's A/c	Dr.	800	
To Bad debts recovered A/c			800
(Bad debts recovered wrongly credited to Khanna's account, now rectified)			

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(iv)

Manav's A/c	Dr.	7,000	
To Purchases A/c			2,000
To Sales A/c			5,000
(Credit sales to Manav ₹ 5,000 wrongly recorded through purchases book as ₹ 2,000, now rectified)			

(v)

Purchases A/c	Dr.	1,000	
To Suspense A/c			1,000
(Purchases book undercast by ₹ 1,000)			

(vi)

Repairs A/c	Dr.	1,600	
To Machinery A/c			1,000
To Suspense A/c			600
(Repairs on machinery ₹ 1,600 wrongly debited to machinery account as ₹ 1,000, now rectified)			

(vii)

Sales Return A/c	Dr.	3,000	
To Nathu's A/c			3,000
(Sales return from Nathu not recorded)			

Suspense Account

Dr. **Cr.**

Date	*Particulars*	*J.F.*	*Amount* ₹	*Date*	*Particulars*	*J.F.*	*Amount* ₹
	Difference as per trial balance		16,000		Purchases		1,000
	Mohit		3,000		Repairs		600
					Balance c/d		17,400
			19,000				19,000

Note: *Even after rectification of errors suspense account is showing a debit balance of ₹ 17,400. This is due to non-detection of errors affecting trial balance. Balance of suspense account will be carried forward to the next year and will be eliminated as and when all the remaining errors affecting trial balance are located.*

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Illustration 7

Trial balance of Kailash did not agree. He put the difference to suspense account. The following errors were discovered :

(i) Goods withdrawn by Kailash for personal use ₹ 500 were not recorded in the books.
(ii) Discount allowed to Ramesh ₹60 on receiving ₹ 2,040 from him was not recorded in the books.
(iii) Discount received from Rohan ₹ 50 on paying ₹ 3,250 to him was not posted at all.
(iv) ₹ 700 received from Khalil, a debtor, whose account had earlier been written-off as bad, were credited to his personal account.
(v) Cash received from Govil, a debtor, ₹ 5,000 was posted to his account as ₹ 500.
(vi) Goods returned to Mahesh ₹ 700 were posted to his account as ₹ 70.
(vii) Bill receivable from Narayan ₹ 1,000 was dishonoured and wrongly debited to allowances account as ₹ 10,000.

Give journal entries to rectify the above errors and prepare suspense account to ascertain the amount of difference in trial balance.

Solution

(i)

Drawings A/c	Dr.	500	
To Purchases A/c			500
(Goods withdrawn by proprietor for personal use not recorded, now rectified).			

(ii)

Discount allowed A/c	Dr.	60	
To Ramesh's A/c			60
(Discount allowed to Ramesh not recorded, now rectified)			

(iii)

Rohan's A/c	Dr.	50	
To Discount received A/c			50
(Discount received from Rohan not posted , now corrected)			

(iv)

Khalil's A/c	Dr.	700	
To Bad debts recovered A/c			700
(Bad debts recovered wrongly credited to debtor's personal account, now corrected)			

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(v)

Suspense A/c	Dr.	4,500	
To Govil's A/c			4,500

(Cash received from Govil ₹ 5,000 wrongly posted to his account as ₹ 500)

(vi)

Mahesh's A/c	Dr.	630	
To Suspense A/c			630

(Goods returned to Mahesh ₹ 700 wrongly posted to his account as ₹ 70, now corrected)

(vii)

Narayan's A/c	Dr.	1,000	
Suspense A/c	Dr.	9,000	
To Allowances A/c			10,000

(Bill receivables from Narayan ₹ 1,000 wrongly debited to allowances account as ₹ 10,000).

Suspense Account

Dr. **Cr.**

Date	*Particulars*	*J.F.*	*Amount* ₹	*Date*	*Particulars*	*J.F.*	*Amount* ₹
	Govil		4,500		Mahesh		630
	Allowances		9,000		Difference as per trial balance		12,870
			13,500				13,500

Test Your Understanding - IV

Tick the Correct Answer

(1) Agreement of trial balance is affected by:
- (a) One sided errors only.
- (b) Two sided errors only.
- (c) Both (a) and (b).
- (*d*) None of the above.

(2) Which of the following is not an error of principle:
- (a) Purchase of furniture debited to purchases account.
- (*b*) Repairs on the overhauling of second hand machinery purchased debited to repairs account.

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(c) Cash received from Manoj posted to Saroj.
(d) Sale of old car credited to sales account.

(3) Which of the following is not an error of commission:
(a) Overcasting of sales book.
(b) Credit sales to Ramesh ₹ 5,000 credited to his account.
(c) Wrong balancing of machinery account.
(d) Cash sales not recorded in cash book.

(4) Which of following errors will be rectified through suspense account:
(*a*) Sales return book undercast by ₹ 1,000.
(b) Sales return by Madhu ₹ 1,000 not recorded.
(c) Sales return by Madhu Rs 1,000. recorded as ₹ 100.
(d) Sales return by Madhu ₹ 1,000 recorded through purchases returns book

(5) If the trial balance agrees, it implies that:
(a) There is no error in the books.
(b) There may be two sided errors in the book.
(c) There may be one sided error in the books.
(d) There may be both two sided and one sided errors in the books.

(6) If suspense account does not balance off even after rectification of errors it implies that:
(a) There are some one sided errors only in the books yet to be located.
(b) There are no more errors yet to be located.
(c) There are some two sided errors only yet to be located.
(d) There may be both one sided errors and two sided errors yet to be located.

(7) If wages paid for installation of new machinery is debited to wages Account, it is:
(a) An error of commission.
(b) An error of principle.
(c) A compensating error.
(d) An error of omission.

(8) Trial balance is:
(a) An account.
(b) A statement.
(c) A subsidiary book.
(d) A principal book.

(9) A Trial balance is prepared:
(a) After preparation financial statement.
(b) After recording transactions in subsidiary books.
(c) After posting to ledger is complete.
(d) After posting to ledger is complete and accounts have been balanced,

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Key Terms Introduced in the Chapter

- Trial Balance
- Error of Commission
- Error Omission
- Compensating Error
- Error of Principle
- Suspense Account

Summary with Reference to Learning Objectives

1. *Meaning of trial balance*: A statement showing the abstract of the balance (debit/credit) of various accounts in the ledger.
2. *Objectives of trial balance*: The main objectives of preparing the trial balance are : (i) to ascertain the arithmetical accuracy of the ledger accounts; (ii) to help in locating errors; and (iii) to help in the preparatioon of the final accounts.
3. *Preparation of trial balance by the balance method*: In this method, the trial balance has three columns. The first column is for the head of the account, the second column for writing the debit balance and the third for the credit balance of each account in the ledger.
4. *Various types of errors*:
   (i) *Errors of commission*: Errors caused due to wrong recording of a transaction, wrong totalling, wrong casting, wrong balancing, etc.
   (ii) *Errors of Omission*: Errors caused due to omission of recording a transaction entirely or party in the books of account.
   (iii) *Errors of Principle*: Errors arising due to wrong classificatrion of receipts and payments between revenue and capital receipts and revenue and capital expenditure.
   (iv) *Compensating errors*: Two or more errors committed in such a way that they nullify the effect of each other on the debits and credits.
5. *Rectification of errors*: Errors affecting only one account can be rectified by giving an explanatory note or by passing a journal entry. Errors which affect two or more accounts are rectified by passing a journal entry.
6. *Meaning and utility of suspense account*: An account in which the difference in the trial balance is put till such time that errors are located and rectified. It facilitates the preparation of financial statements even when the trial balance does not tally.
7. *Disposal of suspense account*: When all the errors are located and rectified the suspense account stands disposed off.

Questions for Practice

Short Answers

1. State the meaning of a trial balance?
2. Give two examples of errors of principle?
3. Give two examples of errors of commission?
4. What are the methods of preparing trial balance?
5. What are the steps taken by an accountant to locate the errors in the trial balance?
6. What is a suspense account? Is it necessary that is suspense account will balance off after rectification of the errors detected by the accountant? If not, then what happens to the balance still remaining in suspense account?
7. What kinds of errors would cause difference in the trial balance. Also list examples that would not be revealed by a trial balance?
8. State the limitations of trial balance?

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Long Answers

1. Describe the purpose for the preparation of trial balance.
2. Explain errors of principle and give two examples with measures to rectify them.
3. Explain the errors of commission and give two examples with measures to rectify them.
4. What are the different types of errors that are usually committed in recording business transaction.
5. As an accountant of a company, you are disappointed to learn that the totals in your new trial balance are not equal. After going through a careful analysis, you have discovered only one error. Specifically, the balance of the Office Equipment account has a debit balance of ₹ 15,600 on the trial balance. However, you have figured out that a correctly recorded credit purchase of pendrive for ₹ 3,500 was posted from the journal to the ledger with a ₹ 3,500 debit to Office Equipment and another ₹ 3,500 debit to creditors accounts. Answer each of the following questions and present the amount of any misstatement :
   (a) Is the balance of the office equipment account overstated, understated, or correctly stated in the trial balance?
   (b) Is the balance of the creditors account overstated, understated, or correctly stated in the trial balance?
   (c) Is the debit column total of the trial balance overstated, understated, or correclty stated?
   (d) Is the credit column total of the trial balance overstated, understated, or correctly stated?
   (e) If the debit column total of the trial balance is ₹ 2,40,000 before correcting the error, what is the total of credit column.

Numerical Questions

1. Rectify the following errors:
   (i) Credit sales to Mohan ₹ 7,000 were not recorded.
   (ii) Credit purchases from Rohan ₹ 9,000 were not recorded.
   (iii) Goods returned to Rakesh ₹ 4,000 were not recorded.
   (iv) Goods returned from Mahesh ₹ 1,000 were not recorded.
2. Rectify the following errors:
   (i) Credit sales to Mohan ₹ 7,000 were recorded as ₹700.
   (ii) Credit purchases from Rohan ₹ 9,000 were recorded as ₹ 900.
   (iii) Goods returned to Rakesh ₹ 4,000 were recorded as ₹ 400.
   (iv) Goods returned from Mahesh ₹ 1,000 were recorded as ₹100.
3. Rectify the following errors:
   (i) Credit sales to Mohan ₹ 7,000 were recorded as ₹7,200.
   (ii) Credit purchases from Rohan ₹ 9,000 were recorded as ₹ 9,900.
   (iii) Goods returned to Rakesh ₹ 4,000 were recorded as ₹ 4,040.
   (iv) Goods returned from Mahesh ₹ 1,000 were recorded as ₹1,600.

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4. Rectify the following errors:
   (a) Salary paid ₹ 5,000 was debited to employee's personal account.
   (b) Rent Paid ₹ 4,000 was posted to landlord's personal account.
   (c) Goods withdrawn by proprietor for personal use ₹ 1,000 were debited to sundry expenses account.
   (d) Cash received from Kohli ₹ 2,000 was posted to Kapur's account.
   (e) Cash paid to Babu ₹ 1,500 was posted to Sabu's account.
5. Rectify the following errors:
   (a) Credit Sales to Mohan ₹ 7,000 were recorded in purchases book.
   (b) Credit Purchases from Rohan ₹ 9,00 were recorded in sales book.
   (c) Goods returned to Rakesh ₹ 4,000 were recorded in the sales return book.
   (d) Goods returned from Mahesh ₹ 1,000 were recorded in purchases return book.
   (e) Goods returned from Nahesh ₹ 2,000 were recorded in purchases book.
6. Rectify the following errors:
   (a) Sales book overcast by ₹ 700.
   (b) Purchases book overcast by ₹ 500.
   (c) Sales return book overcast by ₹ 300.
   (d) Purchase return book overcast by ₹ 200.
7. Rectify the following errors:
   (a) Sales book undercast by ₹300.
   (b) Purchases book undercast by ₹400.
   (c) Return Inwards book undercast by ₹200.
   (d) Return outwards book undercast by ₹100.
8. Rectify the following errors and ascertain the amount of difference in trial balance by preparing suspense account:
   (a) Credit sales to Mohan ₹ 7,000 were not posted.
   (b) Credit purchases from Rohan ₹ 9,000 were not posted.
   (c) Goods returned to Rakesh ₹ 4,000 were not posted.
   (d) Goods returned from Mahesh ₹ 1,000 were not posted.
   (e) Cash paid to Ganesh ₹ 3,000 was not posted.
   (f) Cash sales ₹ 2,000 were not posted.

   (*Ans*: Difference in trial balance ₹ 2,000 excess credit).
9. Rectify the following errors and ascertain the amount of difference in trial balance by preparing suspense account:
   (a) Credit sales to Mohan ₹ 7,000 were posted as ₹ 9,000.
   (b) Credit purchases from Rohan ₹ 9,000 were posted as ₹ 6,000.
   (c) Goods returned to Rakesh ₹ 4,000 were posted as ₹ 5,000.
   (d) Goods returned from Mahesh ₹ 1,000 were posted as ₹ 3,000.
   (e) Cash sales ₹ 2,000 were posted as ₹ 200.

   (*Ans*: Difference in trial balance ₹ 5,800 excess debit.)

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10. Rectify the following errors:
    (a) Credit sales to Mohan ₹ 7,000 were posted to Karan.
    (b) Credit purchases from Rohan ₹ 9,000 were posted to Gobind.
    (c) Goods returned to Rakesh ₹ 4,000 were posted to Naresh.
    (d) Goods returned from Mahesh ₹ 1,000 were posted to Manish.
    (e) Cash sales ₹ 2,000 were posted to commission account.
11. Rectify the following errors assuming that a suspense account was opened. Ascertain the difference in trial balance.
    (a) Credit sales to Mohan ₹ 7,000 were posted to the credit of his account.
    (b) Credit purchases from Rohan ₹ 9,000 were posted to the debit of his account as ₹ 6,000.
    (c) Goods returned to Rakesh ₹ 4,000 were posted to the credit of his account.
    (d) Goods returned from Mahesh ₹ 1,000 were posted to the debit of his account as ₹ 2,000.
    (e) Cash sales ₹ 2,000 were posted to the debit of sales account as ₹ 5,000.

    (*Ans*: Difference in trial balance ₹ 3,000 excess debit).
12. Rectify the following errors assuming that a suspense account was opened. Ascertain the difference in trial balance.
    (a) Credit sales to Mohan ₹ 7,000 were posted to Karan as ₹ 5,000.
    (b) Credit purchases from Rohan ₹ 9,000 were posted to the debit of Gobind as ₹ 10,000.
    (c) Goods returned to Rakesh ₹ 4,000 were posted to the credit of Naresh as ₹ 3,000.
    (d) Goods returned from Mahesh ₹ 1,000 were posted to the debit of Manish as ₹ 2,000.
    (e) Cash sales ₹ 2,000 were posted to commission account as ₹ 200.

    (*Ans***:** Difference in trial balance ₹ 14, 800 excess debit).
13. Rectify the following errors assuming that suspense account was opened. Ascertain the difference in trial balance.
    (a) Credit sales to Mohan ₹ 7,000 were recorded in Purchase Book. However, Mohan's account was correctly debited.
    (b) Credit purchases from Rohan ₹ 9,000 were recorded in sales book. However, Rohan's account was correctly credited.
    (c) Goods returned to Rakesh ₹ 4,000 were recorded in sales return book. However, Rakesh's account was correctly debited.
    (d) Goods returned from Mahesh ₹ 1,000 were recorded through purchases return book. However, Mahesh's account was correctly credited.
    (e) Goods returned to Naresh ₹ 2,000 were recorded through purchases book. However, Naresh's account was correctly debited.

    (*Ans*: Difference in trial balance ₹ 6,000 excess debit).

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14. Rectify the following errors :
    (a) Furniture purchased for ₹ 10,000 wrongly debited to purchases account.
    (b) Machinery purchased on credit from Raman for ₹ 20,000 was recorded through purchases book.
    (c) Repairs on machinery ₹ 1,400 debited to machinery account.
    (d) Repairs on overhauling of secondhand machinery purchased ₹ 2,000 was debited to Repairs account.
    (e) Sale of old machinery at book value of ₹ 3,000 was credited to sales account.
15. Rectify the following errors assuming that suspension account was opened. Ascertain the difference in trial balance.
    (a) Furniture purchased for ₹ 10,000 wrongly debited to purchase account as ₹ 4,000.
    (b) Machinery purchased on credit from Raman for ₹ 20,000 recorded through Purchases Book as ₹ 6,000.
    (c) Repairs on machinery ₹ 1,400 debited to Machinery account as ₹ 2,400.
    (d) Repairs on overhauling of second hand machinery purchased ₹ 2,000 was debited to Repairs account as ₹ 200.
    (e) Sale of old machinery at book value ₹ 3,000 was credited to sales account as ₹ 5,000.

    (*Ans* : Difference in trial balance ₹ 8,800 excess credit).
16. Rectify the following errors :
    (a) Depreciation provided on machinery ₹ 4,000 was not posted.
    (b) Bad debts written off ₹ 5,000 were not posted.
    (c) Discount allowed to a debtor ₹ 100 on receiving cash from him was not posted.
    (d) Discount allowed to a debtor ₹ 100 on receiving cash from him was not posted to discount account.
    (e) Bill receivable for ₹ 2,000 received from a debtor was not posted.
17. Rectify the following errors :
    (a) Depreciation provided on machinery ₹ 4,000 was posted as ₹ 400.
    (b) Bad debts written off ₹ 5,000 were posted as ₹ 6,000.
    (c) Discount allowed to a debtor ₹ 100 on receiving cash from him was posted as ₹ 60.
    (d) Goods withdrawn by proprietor for personal use ₹ 800 were posted as ₹ 300.
    (e) Bill receivable for ₹ 2,000 received from a debtor was posted as ₹ 3,000.
18. Rectify the following errors assuming that suspense account was opened. Ascertain the difference in trial balance.
    (a) Depreciation provided on machinery ₹ 4,000 was not posted to Depreciation account.

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(b) Bad debts written-off ₹ 5,000 were not posted to Debtors account.

(c) Discount allowed to a debtor ₹ 100 on receiving cash from him was not posted to discount allowed account.

(d) Goods withdrawn by proprietor for personal use ₹ 800 were not posted to Drawings account.

(e) Bill receivable for ₹ 2,000 received from a debtor was not posted to Bills receivable account.

(*Ans*: Difference in trial balance ₹ 1,900 excess credit).

19. Trial balance of Anuj did not agree. It showed an excess credit of ₹ 6,000. He put the difference to suspense account. He discovered the following errors

(a) Cash received from Ravish ₹ 8,000 posted to his account as ₹ 6,000.

(b) Returns inwards book overcast by ₹ 1,000.

(c) Total of sales book ₹ 10,000 was not posted to Sales account.

(d) Credit purchases from Nanak ₹ 7,000 were recorded in sales Book. However, Nanak's account was correctly credited.

(e) Machinery purchased for ₹ 10,000 was posted to purchases account as ₹ 5,000. Rectify the errors and prepare suspense account.

(*Ans*: Total of suspense account ₹ 19,000).

20. Trial balance of Raju showed an excess debit of ₹ 10,000. He put the difference to suspense account and discovered the following errors :

(a) Depreciation written-off the furniture ₹ 6,000 was not posted to Furniture account.

(b) Credit sales to Rupam ₹ 10,000 were recorded as ₹ 7,000.

(c) Purchases book undercast by ₹ 2,000.

(d) Cash sales to Rana ₹ 5,000 were not posted.

(e) Old Machinery sold for ₹ 7,000 was credited to sales account.

(f) Discount received ₹ 800 from kanan on playing cash to him was not posted. Rectify the errors and prepare suspense account.

(*Ans*: Balance carried forward in suspense account ₹ 1,000 (cr.)).

21. Trial balance of Madan did not agree and he put the difference to suspense account. He discovered the following errors:

(a) Sales return book overcast by ₹ 800.

(b) Purchases return to Sahu ₹ 2,000 were not posted.

(c) Goods purchased on credit from Narula ₹ 4,000 though taken into stock, but no entry was passed in the books.

(d) Installation charges on new machinery purchased ₹ 500 were debited to sundry expenses account as ₹ 50.

(e) Rent paid for residential accommodation of madam (the proprietor) ₹ 1,400 was debited to Rent account as ₹ 1,000.

Rectify the errors and prepare suspense account to ascertain the difference in trial balance.

(*Ans*: Difference in trial balance ₹ 2,050 excess credit).

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22. Trial balance of Kohli did not agree and showed an excess debit of ₹ 16,300. He put the difference to a suspense account and discovered the following errors:
    (a) Cash received from Rajat ₹ 5,000 was posted to the debit of Kamal as ₹ 6,000.
    (b) Salaries paid to an employee ₹ 2,000 were debited to his personal account as ₹ 1200.
    (c) Goods withdrawn by proprietor for personal use ₹ 1,000 were credited to sales account as ₹ 1,600.
    (d) Depreciation provided on machinery ₹ 3,000 was posted to Machinery account as ₹ 300.
    (e) Sale of old car for ₹ 10,000 was credited to sales account as ₹ 6,000. Rectify the errors and prepare suspense account.

    (*Ans*: total of suspense account : ₹ 17,700).
23. Give journal entries to rectify the following errors assuming that suspense account had been opened.
    (a) Goods distributed as free sample ₹ 5,000 were not recorded in the books.
    (b) Goods withdrawn for personal use by the proprietor ₹ 2,000 were not recorded in the books.
    (c) Bill receivable received from a debtor ₹ 6,000 was not posted to his account.
    (d) Total of Returns inwards book ₹ 1,200 was posted to Returns outwards account.
    (e) Discount allowed to Reema ₹ 700 on receiving cash from her was recorded in the books as ₹ 70.

    (*Ans*: Difference in trial balance ₹ 3,600 excess debit).
24. Trial balance of Khatau did not agree. He put the difference to suspense account and discovered the following errors :
    (a) Credit sales to Manas ₹ 16,000 were recorded in the purchases book as ₹ 10,000 and posted to the debit of Manas as ₹ 1,000.
    (b) Furniture purchased from Noor ₹ 6,000 was recorded through purchases book as ₹ 5,000 and posted to the debit of Noor ₹ 2,000.
    (c) Goods returned to Rai ₹ 3,000 recorded through the Sales book as ₹ 1,000.
    (d) Old machinery sold for ₹ 2,000 to Maneesh recorded through sales book as ₹ 1,800 and posted to the credit of Manish as ₹ 1,200.
    (e) Total of Returns inwards book ₹ 2,800 posted to Purchase account.

    Rectify the above errors and prepare suspense account to ascertain the difference in trial balance.

    (*Ans*: Difference in trial balance ₹ 15,000 excess debit).
25. Trial balance of John did not agree. He put the difference to suspense account and discovered the following errors :
    (a) In the sales book for the month of January total of page 2 was carried forward to page 3 as ₹ 1,000 instead of ₹ 1200 and total of page 6 was carried forward to page 7 as ₹ 5,600 instead of ₹ 5,000.

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(b) Wages paid for installation of machinery ₹ 500 was posted to wages account as ₹ 50.
(c) Machinery purchased from R & Co. for ₹ 10,000 on credit was entered in Purchase Book as ₹ 6,000 and posted there from to R & Co. as ₹ 1,000.
(d) Credit sales to Mohan ₹ 5,000 were recorded in Purchases Book.
(e) Goods returned to Ram ₹ 1,000 were recorded in Sales Book.
(f) Credit purchases from S & Co. for ₹ 6,000 were recorded in sales book. However, S & Co. was correctly credited.
(g) Credit purchases from M & Co. ₹ 6,000 were recorded in Sales Book as ₹ 2,000 and posted there from to the credit of M & Co. as ₹ 1,000.
(h) Credit sales to Raman ₹ 4,000 posted to the credit of Raghvan as ₹ 1,000.
(i) Bill receivable for ₹ 1,600 from Noor was dishonoured and posted to debit of Allowances account.
(j) Cash paid to Mani ₹ 5,000 against our acceptance was debited to Manu.
(k) Old furniture sold for ₹ 3,000 was posted to Sales account as ₹ 1,000.
(l) Depreciation provided on furniture ₹ 800 was not posted.
(m) Material ₹ 10,000 and wages ₹ 3,000 were used for construction of building. No adjustment was made in the books.

Rectify the errors and prepare suspense to ascertain the difference in trial balance.

(*Ans* : Difference in trial balance ₹ 13,850 excess credit).

Checklist to Test Your Understanding

Test your understanding - I

Trial Balance Total ₹ 5,17,000

Test your understanding - II

1.	Purchases A/c	Dr.	5,000	
	To Rajni's A/c			5,000
	Rajni's A/c	Dr.	5,000	
	To Sales A/c			5,000
	Rajni's A/c	Dr.	10,000	
	To Sales A/c			5,000
	To Purchases A/c			5,000
2.	Purchases A/c	Dr.	8,000	
	To Rao's A/c			8,000

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	Furniture A/c	Dr.	8,000	
	To Purchases A/c			8,000
3.	Cash A/c	Dr.	15,000	
	To Commission A/c			15,000
	Cash A/c	Dr.	15,000	
	To Sales A/c			15,000
	Commission A/c	Dr.		15,000
	To Sales A/c			15,000
4.	Cash A/c	Dr.	6, 000	
	To Nadeem's A/c			6,000
	Cash A/c	Dr.	6,000	
	To Karim's A/c			6,000

Test Your Understanding - III

1. Error of Commission

	Mohan's A/c	Dr.	12, 000	
	To Sales A/c			12,000
	Mohan's A/c	Dr.	10,000	
	To Sales A/c			10,000
	Suspense A/c	Dr.	2,000	
	To Mohan's A/c			2,000

2. Error of Partial omission

	xxx A/c	Dr.	2,000	
	To Cash A/c			2,000
	Neha's A/c	Dr.	2,000	
	To Suspense A/c			2,000
	Neha's A/c	Dr.	2,000	
	To Suspense A/c			2,000

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3. Error of Commission

Sales Return A/c	Dr.	1,600	
To Megha's A/c			1,600

Sales Returns A/c	Dr.	1,600	
To Megha's A/c			1,600

Suspense A/c	Dr.	600	
To Megha's A/c			600

4. Error of Commission

xxx	Dr.	1,500	
To Furniture A/c			1,500

Depreciation A/c	Dr.	1,500	
To Furniture A/c			1,500

Depreciation A/c	Dr.		1,500
To Suspense A/c			1,500

Test Your Understanding - IV

1. (c) 2. (c) 3. (d) 4. (a) 5. (b) 6. (a) 7. (b) 8. (b) 9. (d)

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